Frequently Asked Questions

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FAQs on TDS on Rent

What are the provisions in the Income-tax Act that govern the deduction of tax at source on rent payments?

The tax deduction from rent payments is mandated by section 194-I and 194IB of the Income-tax Act.

Section 194-I provides for the deduction of tax by any person (excluding specified individuals or HUFs) from the sum paid or payable as rent to a

resident person which exceeds Rs. 50,000 per month or part of month during the financial year.

Section 194-IB provides for a tax deduction by specified Individuals or HUFs from the rent paid or payable, if the rent exceeds Rs. 50,000 per month or part of the month during the financial year.

What is the meaning of Rent for the purpose of section 194-I and section 194IB?

For the purpose of section 194-I, rent means any sum paid for the use of land, building, plant, machinery, equipment, furniture, or fittings under any lease, sub-lease, tenancy, or any other arrangement or agreement.

For Section 194-IB, Rent means any sum paid or payable for the use of any land or buildings or both under any lease, sub-lease, tenancy, or any other arrangement or agreement.

Who is liable to deduct tax at source (TDS) on rental payments under section 194-I?

Any person, other than an Individual or HUF, responsible for paying rent is required to deduct tax under section 194-I. An individual or HUF engaged in the business or profession having turnover or gross receipts exceeding Rs. 1 crore or Rs. 50 lakhs respectively.

Further, no deduction shall be made if the rent is credited or paid to a business trust, being a real estate investment trust, in respect of any real estate asset, referred to in clause (23FCA) of section 10, owned directly by such business trust.

When the tax is required to be deducted under section 194-I?

Tax is required to be deducted under section 194-I only if the rent is payable to a person who is a resident of India.

The tax shall be deducted at the time of credit of such rent or payment to the payee, whichever is earlier.

What is the threshold limit prescribed for the deduction of tax under section 194-I?

The tax shall be deducted by the payer if the amount paid or payable exceeds Rs. 50,000 per month or part of month during the financial year.

However, in the case of joint owners of a property, the threshold limit of Rs. 50,000 applies to each owner individually if their share in the property is definite and ascertainable.

What is the rate at which tax is required to be deducted under section 194-I?

The rate of deduction of tax at source (TDS) is 2% in case rent is paid for the use of plant, machinery, or equipment. However, if rent is paid for the use of land, building (including factory building), or land appurtenant thereto or furniture or fittings, the rate of tax would be 10%.

Further, these rates will not be enhanced by surcharge or health and education cess.

What will be the rate of TDS under section 194-I if the payee does not furnish PAN?

As per section 206AA, if the payee does not furnish PAN, tax shall be deducted at a rate higher of the following:

- The rate prescribed in the relevant provisions of the Act, or
- Rate or rates in force, or
- 20%

What will be the rate of TDS under section 194-I if payee is a non-filer of income-tax return?

As per section 206AB, if the payee has not furnished its return of income as per section 139(1) and the due date has expired, tax is required to be deducted at a rate higher of the following:

- Twice the rate prescribed in the relevant provisions of the Act, or
- Twice the rates in force, or
- 5%

Note: The provisions of section 206AB not applicable w.e.f. 01-04-2025

What will be the rate of TDS under section 194-I if payee is a non-filer of income-tax return and also doesn't furnish his PAN?

In this case, the tax shall be deducted at the rates specified under section 206AA or section 206AB, whichever is higher.

Note: The provisions of section 206AB not applicable w.e.f. 01-04-2025.

How to deduct tax at source under section 194-I in case the building is let out along with machinery or other equipment?

The rental proceeds are considered as composite rent in case other assets such as plant, machinery, or equipment are also let out along with land or building. The tax deduction in such case would be as under:

(a) If there is a separate agreement for letting out of land or building and letting out of other assets:

The tax shall be deducted at the rate of 10% from the payment of rent of land or building and 2% from the rental payment of machinery, plant, or equipment.

(b) If there is no separate agreement for letting out of land or building and letting out of other assets:

The tax shall be deducted at the rate of 10% or 2% depending upon the substantial element of the rent agreement. If the renting of machinery, plant, or equipment is incidental to the renting of land or building, tax shall be deducted at the rate of 10%.

Whether payee can claim for nil/lower deduction of tax under section 194-I?

Yes, where estimated tax liability of an assessee justifies nil deduction of tax, he can file a declaration to the deductor for nil deduction of tax under Section 197A. Further, he also has the option to apply before the assessing officer for a nil or lower deduction certificate under Section 197.

What is the time limit to deposit the tax amount deducted under section 194-I?

Tax deducted at source under section 194-I is required to be deposited to the credit of the Central Government through Challan ITNS 281 within 7 days from the end of the month in which tax was deducted. However, the tax deducted during the month of March shall be deposited by 30th April of the next financial year.

If deductor is a government office and tax is required to be deposited without submitting an Income-tax Challan, the Govt. Dept. shall deposit the tax on the same day on which tax has been deducted.

Is there any requirement to furnish TDS Statement for tax deducted under section 194-I?

The person responsible for deduction of tax at source under section 194-I is required to file a statement of tax deducted at source in Form 26Q on quarterly basis.

Whether the deductor is required to issue TDS Certificates to the deductee?

The deductor is required to issue a TDS certificate to the deductee in Form No. 16A within 15 days from the due date of furnishing of the TDS Statement.

Who is required to deduct tax on rent under section 194-IB?

Any individual or HUF, who is not covered under section 194-I, is required to deduct tax at source under section 194IB on rental payments.

When it is required to deduct tax at source under section 194IB?

The section provides the following timelines for deduction of tax at source:

(a) Where the property is let out for the whole year

Tax shall be deducted at the time of payment or credit of rent to the account of the payee for the last month of the financial year, whichever happens, earlier.

(b) Where the property is vacated during the year

If property is vacated during the year, tax shall be deducted at the time of payment or credit of rent to the account of the payee for the last month of tenancy, whichever happens earlier.

What is the threshold limit prescribed for rent for section 194IB?

The tax shall be deducted under this section if the rent for a month or part of the month exceeds Rs. 50,000 during the financial year.

What is the rate at which tax is required to be deducted under section 194IB?

The tax shall be required to be deducted under section 194IB at the rate of 2%. Further, the rate will not be enhanced by a surcharge or health and education cess.

However, tax deducted under this section shall not exceed the amount of rent paid for the last month of the financial year or the termination of tenancy, as the case may be.

What will be the rate of TDS under section 194-IB if the payee does not furnish PAN?

As per section 206AA, if the payee does not furnish PAN, tax shall be deducted at a rate higher of the following:

- The rate prescribed in the relevant provisions of the act, or
- The rate or rates in force, or
- 20%

However, deduction at a higher rate will prevail subject to the condition that the amount of TDS cannot exceed the amount of rent for the last month of the financial year or the termination of tenancy, as the case may be.

What will be the rate of TDS under section 194-IB if payee is a non-filer of income-tax return?

Section 206AB provides for deduction of tax at higher rate if the deductee has not furnished the return of income for a specified period. However, the provisions of Section 206AB are not applicable if tax is required to be deducted under section 194-IB.

Note: The provisions of section 206AB not applicable w.e.f. 01-04-2025.

Whether assessee is required to obtain Tax Deduction or Collection Number (TAN) in case tax is to be deducted under section 194-IB?

There is no requirement to apply or obtain Tax Deduction or Collection Account Number (TAN) for deducting tax under this section. Hence, a deductor can use his PAN in place of TAN.

What is the time limit to deposit the tax amount deducted under section 194-IB?

Where tax is deducted under section 194-IB, it is required to be deposited through a challan-cum-statement in Form No. 26QC within 30 days from the last day of the month in which such tax is deducted. No further statement or form is required to be furnished. In case more than one seller, Form 26AS shall be fill up more than according to no. of seller. TDS cerficate shaal be issued to all seller

Whether the deductor is required to issue TDS certificates to the deductee under section 194-IB?

A certificate in Form No. 16C shall be issued by the deductor where tax is deducted under section 194-IB. The form shall be issued within 15 days from the due date of furnishing challan-cum-statement in Form No. 26QC.

FAQs on TDS or TCS on sale or purchase of goods

What is Section 194Q of the Income-tax Act?

Section 194Q of the Income-tax Act deals with the deduction of tax at source (TDS) on the payment of any sum to a resident for the purchase of any goods. The tax shall be deducted at the time of credit or payment, whichever is earlier.

Who is required to deduct tax at source under section 194Q?

The buyer, who is responsible to make payment to a resident seller, is required to deduct tax at source under section 194Q if the following conditions are satisfied:

a) He is carrying on a business;

b) He is paying any sum to a resident person for the purchase of any goods;

c) Total sales, gross receipts or turnover from the business exceeds Rs. 10 crores during the financial year immediately preceding the financial year in which such goods are purchased; and

d) Goods are purchased for a value or aggregate of value exceeding Rs. 50 lakhs in any previous year

What is the threshold limit for the deduction of tax under section 194Q?

Tax is required to be deducted from the purchase value exceeding Rs. 50 lakhs.

When is a tax required to be deducted under section 194Q?

Tax is required to be deducted at the time of credit of such sum to the account of the seller or at the time of payment thereof by any mode, whichever is earlier.

What is the rate of tax deduction under section 194Q?

The tax is required to be deducted at the rate of 0.1%. This rate shall not be subject to any surcharge or Health & Education Cess.

Whether the provision of section 194Q apply where the buyer is a non-resident?

Tax is required to be deducted by a non-resident buyer only if the purchase of goods is effectively connected with the permanent establishment in India.

Whether the provision of section 194Q applies where a seller is a person whose income is exempted from income tax?

No tax is required to be deducted where goods are purchased from a seller who as a person is exempt from income tax under the Income-tax Act or any other Act passed by the Parliament.

However, this exemption is not available if only part of the income of the seller is exempt from tax.

What would be the rate of TDS under section 194Q if seller does not furnish his PAN to the buyer?

As per section 206AA, if the deductee does not furnish PAN, tax shall be

deducted at a rate higher of the following:

- The rate prescribed in the relevant provisions of the act, or
- Rate or rates in force, or
- 5%

What would be the rate of TDS under section 194Q if seller is a non-filer of the Income-tax return?

As per section 206AB, if the deductee has not furnished its return of income as per section 139(1) and the due date has expired, tax is required to be deducted at a rate higher of the following:

- Twice the rate prescribed in the relevant provisions of the act, or
- Twice the rates in force, or
- 5%

Note: The provisions of section 206AB not applicable w.e.f. 01-04-2025

What will be the rate of TDS under section 194Q if the seller is a non-filer of income-tax return and also doesn't furnish his PAN?

In this case, the tax shall be deducted at the rates specified under section 206AA or section 206AB, whichever is higher.

Note: The provisions of section 206AB not applicable w.e.f. 01-04-2025.

How to deduct tax at source if a a transaction falls under Section 194Q as well as Section 194-O?

If a transaction is covered both under Section 194-O and Section 194Q, the tax is required to be deducted under Section 194-O and not under Section 194Q.

Whether the provision of section 194Q is applied where a transaction is carried through recognised stock exchanges?

The provisions of Section 194Q shall not be applicable in relation to transactions in securities (and commodities) which are traded through recognised stock exchanges or cleared and settled by the recognised clearing corporation, including recognised stock exchanges or recognised clearing corporations located in International Financial Service Centre (IFSC).

What is the treatment of GST and other state levies & taxes while deducting tax under section 194Q?

(a) Where tax is deductible at the time of credit

Tax under section 194Q shall be deducted on the amount credited without including GST & other non-GST levies such as VAT, Sales Tax, Excise Duty, CST, etc. if the following conditions are satisfied:

i. Tax is deducted at the time of credit of the amount in the account of the seller; and

ii. The component of GST and non-GST levies comprised in the amount payable to the seller is indicated separately as per the terms of the agreement or contract between the buyer and the seller.

(b) Where tax is deductible at the time of payment

If the tax is deducted on a payment basis because the payment is earlier than the credit, the tax would be deducted on the whole amount as it is not possible to identify the payment with the GST component or non-GST levies component to be invoiced in future.

What is the treatment of purchase returns while deducting tax under section 194Q?

Where the seller has refunded the money against the purchase return, the tax deducted may be adjusted against the next purchase against the same seller.

However, where the purchase return is replaced by the goods, no adjustment is required.

What is Section 206C(1H) of the Income-tax Act?

Section 206C(1H) of the Income-tax Act deals with collection of tax at source (TCS) from buyer on sale of goods if the aggregate value of such sale consideration received in any previous year exceeds Rs. 50 lakh.

Who is responsible for collecting tax under section 206C(1H)?

The tax shall be collected by the seller who receives any amount as consideration exceeding Rs. 50 lakh for the sale of any goods, only if his total sales, gross receipts, or turnover from the business exceeds Rs. 10 crores during the financial year immediately preceding the financial year in which such goods are sold.

What is the rate at which tax is collectible under section 206C(1H)?

The tax shall be collected at the rate of 0.1%. This rate shall not be subject to any surcharge or Health & Education Cess.

What is the threshold limit for the collection of tax under section 206C(1H)?

Tax is required to be collected with the sale consideration received in excess of Rs. 50 lakhs during the year.

When is a tax required to be collected under section 206C(1H)?

Tax is required to be collected at the time of receipt of such sum from the buyer.

What is the consequence if the buyer does not furnish his PAN to the seller?

As per section 206CC, if the buyer does not furnish PAN to seller, tax shall be collected at a rate higher of the following:

- At twice the rate prescribed in Section 206C(1H) of the act, or
- 1%

What will be the rate of TCS under section 206C(1H) if buyer is a non-filer of income-tax return?

As per section 206CCA, if the buyer has not furnished its return of income as per section 139(1) and the due date has expired, tax is required to be collected at a rate higher of the following:

- Twice the rate prescribed in the relevant provisions of the act, or
- 5%

What will be the rate of TCS if both Section 206CC and Section 206CCA are applicable?

If the buyer has neither furnished his PAN to the seller nor furnished his return of income for the previous year whose due date as per section 139(1) has expired, the tax shall be collected at the rates specified under section 206CC or section 206CCA, whichever is higher.

How to deal with a transaction which is covered both under section 194Q as well as section 206C(1H)?

If a transaction is subject to TDS under Section 194Q, the buyer shall have the first obligation to deduct the tax. If he does so, the seller will not have any obligation to collect the tax under Section 206C(1H).

How to deal with a transaction which is covered both under section 194-O as well as section 206C(1H)?

If a transaction is covered both within the purview of Section 194-O as well as Section 206C(1H), tax is required to be deducted under Section 194-O. Once the e-commerce operator has deducted the tax on a transaction, the seller is not required to collect the tax under Section 206C(1H) on the same transaction.

Whether tax is collectible under section 206C(1H) if goods are exported out of India?

No tax is to be collected under section 206C(1H) in respect of goods that are exported out of India.

Whether TCS provision of section 206C(1H) applies if buyer is a person whose income is exempted from income tax?

No tax is required to be collected where goods are sold to a buyer who as a person is exempt from income tax under the Income-tax Act or any other Act passed by the Parliament.

However, this exemption is not available if only part of the income of the buyer is exempt from tax.

FAQs on Higher rate of TDS under section 206AA

What are the provisions of Section 206AA of the Income Tax Act, 1961?

Section 206AA provides that where any person is entitled to receive any income on which tax is deductible at source, he is required to furnish his PAN to the deductor. In case the PAN is not furnished, the tax shall be deducted at a higher rate under section 206AA.

What is the rate of tax if provisions of Section 206AA are applicable?

As per Section 206AA, if the recipient fails to furnish his PAN to the deductor then tax shall be deducted at the highest of the following rates:
(a) At the rate specified in the relevant provision of the Income-tax Act; or

(b) At the rate or rates in force; or
(c) At the rate of 20%

Is there any exception to the higher rate prescribed as per section 206AA?

The rate of 20% shall be reduced to 5% in the case where:

a) Tax is required to be deducted by an e-commerce operator under section 194-O; or

b) Tax is required to be deducted by a buyer under section 194Q.

Is there any exemption available to a person from the provisions of section 206AA?

The provisions of section 206AA shall not be applicable in respect of the following income received by a non-resident (or a foreign company):

(a) Interest on bonds referred to under Section 194LC;

(b) Specified payments as referred under Rule 37BC; and

(c) Income in respect of investment in Category I or Category II AIFs as referred under Rule 114AAB.

What are the provisions of Section 206AB?

As per section 206AB, where any person fails to furnish his return of income for a specified period and tax deducted/collected during that period exceeds the specified limit, the deductor shall deduct the tax at a higher rate under section 206AB.

When do provisions of section 206AB apply?

The provisions of section 206AB apply if the following conditions are satisfied:

a) Deductee has not filed the return of income for the assessment year relevant to the previous year immediately preceding the financial year in which tax is required to be deducted;

b) The due date to file the return of income of such assessment year, as prescribed under section 139(1), has expired; and

c) The aggregate amount of tax deducted and collected at source is Rs. 50,000 or more in the said previous year.

Which sum or income is liable for a higher rate of TDS under section 206AB?

Tax is required to be deducted at higher rates in respect of every sum or income or amount from which tax is deductible under any provision of Chapter XVII-B except the sum or income or amount on which tax is deductible under any of the following provisions:

a. Section 192: TDS on Salary;

b. Section 192A: TDS on withdrawal from EPF;
c. Section 194B: TDS on winning from lotteries, crossword puzzles, gambling, betting, etc.
d. Section 194BB: TDS on winning from racehorses;
e. Section 194-IA: TDS from payment of consideration to buy an Immovable Property other than rural agricultural land;
f. Section 194-IB: TDS from payment of rent by certain Individuals or HUF;
g. Section 194LBC: TDS on income in respect of investment in Securitization Trust;
h. Section 194M: TDS from payment to the contractor, commission agent, broker, or professional by certain Individuals or HUF;
i. Section 194N: TDS on cash withdrawal; and
j. Section 194S: Payment on transfer of Virtual Digital Asset (if the payer is a specified person)

Further, the tax shall not be deducted at higher rates under this provision if such sum (or income or amount) is paid (or payable or credited) to a non-resident who does not have a permanent establishment (PE) in India or to a person who is not required to furnish the return of income for the specified period and is notified by the Central Government.

What is the rate of tax under section 206AB?

Where tax is required to be deducted under this provision, the tax shall be deducted at the higher of the following rates:

a) Twice the rate specified in the relevant provision of the Act; or

b) Twice the rate or rates in force; or

c) 5%.

How to check the return filing status of a person for deduction of tax at source under Section 206AB?

The Income-tax Department has issued a new functionality ""Compliance Check for section 206AB & 206CCA"" on https://report.insight.gov.in to check the IT Return filing status of the deductee. The tax deductor can feed the single PAN or multiple PANs of a person and get a response from the functionality if such a person is a specified person for the purpose of section 206AB.

What is the applicable rate of deduction of tax in case both Section 206AA and Section 206AB apply to a person?

In case both the provisions of Section 206AA and section 206AB apply to a person, that is, the person has neither furnished his PAN to the deductor nor he furnished his return of income for the specified period, the tax shall be deducted at the rates provided in Section 206AA or section 206AB, whichever is higher.

FAQs in respect of filling-up of the Income-tax return forms for Assessment Year 2026-27

I am a non-resident. The Taxpayer Identification Number (TIN) is not allotted in my jurisdiction of residence. How do I report the same in the column on "residential status"?

In case TIN has not been allotted in the jurisdiction of residence, the passport number should be mentioned instead of TIN. Name of the country in which the passport was issued should be mentioned in the column "jurisdiction of residence".

I am a director in a foreign company which does not have PAN. How do I report the same against the column "Whether you were Director in a company at any time during the previous year?"

You should choose "foreign company" in the drop-down provided for "type of company". In such case, PAN is not mandatory. However, PAN should be mentioned, if such foreign company has been allotted a PAN.

I have sold land and earned capital gains. Whether I have to mention the date and sale of such land sold in the ITR forms?

It is mandatory to furnish the date of purchase and date of sale of land or building if the income arising from the transfer is taxable under the head of 'Capital Gains'.

Whether an individual who is a non-resident, or resident but not ordinary resident (RNOR)) is also required to disclose details of his directorship in a foreign company which does not have any income accruing or arising in India?

Yes.

I have held shares of a company during the previous year, which are listed in a recognized stock exchange outside India. Whether I am required to report the requisite details against the column "Whether you have held unlisted equity shares at ...read more

I have held shares of a company during the previous year, which are listed in a recognized stock exchange outside India. Whether I am required to report the requisite details against the column "Whether you have held unlisted equity shares at any time during the previous year?

No.

I have held equity shares of a company which were previously listed in a recognised stock exchange, but delisted subsequently, and became unlisted. How do I report PAN of company in the column "whether you have held unlisted equity shares at....read more

I have held equity shares of a company which were previously listed in a recognised stock exchange, but delisted subsequently, and became unlisted. How do I report PAN of company in the column "whether you have held unlisted equity shares at any time during the previous year"?

In such cases, PAN of the company may be furnished if it is available. In case PAN of delisted company cannot be obtained, you may enter a default value in place of PAN, as "NNNNN0000N".

In case unlisted equity shares are acquired or transferred by way of gift, will, amalgamation, merger, demerger, or bonus issue etc., how to report the "cost of acquisition" and "sale consideration" in the relevant column?

You may enter zero or the appropriate value against "cost of acquisition" or "sale consideration" in such cases. Please note that the details of unlisted equity shares held during the year are required only for the purpose of

reporting. The quantitative details entered in this column are not relevant for the purpose of computation of total income or tax liability.

I hold shares in an unlisted foreign company which has been duly reported in the Schedule FA. Whether I am required to report the same again in the column "Whether you have held unlisted equity shares at any time during the previous year?"

Yes.

I have held unlisted equity shares as stock-in-trade of business during the previous year. Whether I have to report the same in the column "Whether you have held unlisted equity shares at any time during the previous year?"

Yes.

Please clarify whether holding of equity shares of a Co-operative Bank or Credit Societies, which are unlisted, are required to be reported?

The details of equity shareholding in any entity which is registered under the Companies Act, and is not listed on any recognised stock exchange, is only required to be reported.

I have sold land and building to a non-resident. Whether I need to report the PAN of buyer in the table A1/B1 in Schedule CG?

As mentioned in ITR form, quoting of PAN of buyer is mandatory only if tax is deducted under section 194-IA or is mentioned in the documents.

I am resident and have sold land and building situated outside India. Whether I need to report the details of property and identity of buyer in Schedule CG?

The details of property and name of buyer should invariably be mentioned. However, quoting of PAN of buyer is mandatory only if tax is deducted under section 194-IA or is mentioned in the documents.

Whether it is mandatory to provide ISIN details and scrip-wise computation of Long Term Capital Gains (LTCG) arising on sale of Shares/Mutual Funds units on which STT has been paid?

The tools for computation of LTCG under sections 112A and 115AD have been provided in the departmental utility for the convenience of taxpayers. These are optional tools designed for computation of the final figures of LTCG, which is then populated in the respective items in Schedule CG. Alternatively, the taxpayers can themselves compute the aggregate long term gain or loss manually, and input the same directly in the respective items in Schedule CG.

An unlisted company is required to furnish details of assets and liabilities in the Schedule AL-1 of ITR-6? Please clarify whether details of assets held as stock-in-trade of business are also required to be reported therein.

In case jewellery/motor vehicle etc. is held as stock-in-trade of business, the drop-down value "stock-in-trade" should be selected against the field "purpose for which used", while filling up details in the relevant table (table 'I' or table 'H'). In such cases, only the aggregate values are required to be filled up, and the particular details of each asset held as stock-in-trade is not required to be reported.

I hold foreign assets during the previous year which have been duly reported in the Schedule FA. Whether I am required to report such

foreign asset again in the Schedule AL (if applicable)?

Yes.

An unlisted company is required to furnish details of shareholding as at the end of previous year in the Schedule SH-1 of ITR-6. Please clarify whether these details are required to be furnished in case of an unlisted foreign company.

Not required.

An unlisted company is required to furnish details of assets and liabilities in the Schedule AL-1 of ITR-6. Please clarify whether these details are required to be furnished in case of an unlisted foreign company.

Not required.

Please clarify whether a farmer producer company as defined in section 581A of Companies Act, 1956 is required to furnish details of shareholding in the Schedule SH-1 of ITR-6?

No. However, please ensure to tick the option 'Yes' against the item "whether the company is a producer company as defined in section 581A of Companies Act, 1956?" in Part-A General.

A company is required to disclose break-up of all payments and receipts during the year, in foreign currency, as per Schedule FD of ITR-6 (if it is not required to get the accounts audited u/s 44AB). Please clarify whether only the receipts/payments relat

Yes. In Schedule FD, the break-up of receipts and payments in foreign currency is required to be reported only in respect of business operations in India.

In schedule TDS, one is required to enter the head under which corresponding receipt has been offered. In some cases, TDS is deducted by the payer in current year, but corresponding income is to be offered in future years. How to fill up Schedule TDS in s

In such cases, no TDS credit should be claimed under the column "in own hands" for the current year. If this is done, the column "Corresponding receipt offered" is greyed-off and is not required to be filled up.

General FAQs

What is Income-tax?

It is a tax levied by the Government of India on the income of every person. The provisions governing the Income-tax are covered in the Income-tax Act, 1961.

What is the administrative framework of Income-tax?

The revenue functions of the Government of India are managed by the Ministry of Finance. The Finance Ministry has entrusted the task of administration of direct taxes like Income-tax, Wealth tax, etc., to the Central Board of Direct Taxes (CBDT). The CBDT is a part of Department of Revenue in the Ministry of Finance.

CBDT provides essential inputs for policy framing and planning of direct taxes and also administers the direct tax laws through the Income-tax

Department. Thus, Income-tax Law is administrated by the Income-tax Department under the control and supervision of the CBDT.

What is the period for which a person's income is taken into account for the purpose of Income-tax?

Income-tax is levied on the annual income of a person. The year under the Income-tax Law is the period starting from 1st April and ending on 31st March of next calendar year. The Income-tax Law classifies the year as (1) Previous year, and (2) Assessment year.

The year in which income is earned is called as previous year and the year in which the income is charged to tax is called as assessment year.

e.g., Income earned during the period of 1st April, 2025 to 31st March, 2026 is treated as income of the previous year 2025-26. Income of the previous year 2025-26 will be charged to tax in the next year, *i.e.,* in the assessment year 2026-27.

Who is supposed to pay Income-tax?

Income-tax is to be paid by every person. The term 'person' as defined under the Income-tax Act under section 2(3) covers in its ambit natural as well as artificial persons.

For the purpose of charging Income-tax, the term 'person' includes Individual, Hindu Undivided Families [HUFs], Association of Persons [AOPs], Body of individuals [BOIs], Firms, LLPs, Companies, Local authority and any artificial juridical person not covered under any of the above.

Thus, from the definition of the term 'person' it can be observed that, apart from a natural person, *i.e.,* an individual, any sort of artificial entity will also be liable to pay Income-tax.

How does the Government collect Income-tax?

Taxes are collected by the Government through three means: a) voluntary payment by taxpayers into various designated Banks. For example, Advance Tax and Self Assessment Tax paid by the taxpayers, b) Taxes deducted at source [TDS] from the income of the receiver, and c) Taxes collected at source [TCS]. It is the constitutional obligation of every person earning income to compute his income and pay taxes correctly.

In the Challan there are terms like Income-tax on companies & Income-tax other than companies. What do they mean?

The tax that is to be paid by the companies on their income is called as corporate tax, and for payment of same in the challan it is mentioned as Income-tax on Companies (Corporation tax)-0020. Tax paid by non-corporate assessees is called as Income-tax, and for payment of the same in the challan it is to be mentioned as Income-tax (other than Companies)-0021.

How is advance tax calculated and paid?

Advance tax is to be calculated on the basis of expected tax liability of the

year. Advance tax is to be paid in instalments as given below:

a) In case of all the assessees (other than the eligible assessees as referred to in section 44AD and 44ADA) :

i) Atleast to 15 per cent – On or before 15th June

ii) Atleast to 45 per cent – On or before 15th September

iii) Atleast to 75 per cent – On or before 15th December

iv) Atleast to 100 per cent –On or before 15th March

b) In case of eligible assessee as referred to in section 44AD and 44ADA:

100 per cent – On or before 15th March

Note: Any tax paid on or before 31st day of March shall also be treated as advance tax paid during the same financial year.

The deposit of advance tax is made through challan ITNS 280 by ticking the relevant column, *i.e.*, advance tax.

What is tax on regular assessment and how is it paid?

Under the Income-tax Act, every person has the responsibility to correctly compute and pay his due taxes. Where the Department finds that there has been understatement of income and resultant tax due, it takes measures to compute the actual tax amount that ought to have been paid. This demand raised on the person is called as Tax on regular assessment. The tax on regular assessment-400 has to be paid within 30 days of receipt of the notice of demand .

What are the precautions that I should take while filling-up the tax payment challan?

While making payment of tax, apart from other things, one should clearly mention following :

- Head of payment, *i.e.*, Corporation Tax/Income-tax (other than companies)
- Amount and mode of payment of tax
- Type of payment [*i.e.,* Advance tax/Self assessment tax/Tax on regular assessment/Tax on Dividend/Tax on distributed Income to Unit holders/ Surtax]
- Assessment year
- The unique identification number called as PAN [Permanent Account Number] allotted by the IT Department.

Do I need to insist on some proof of payment from the Banker to whom I have submitted the challan?

The counter-foil of the Income-tax Challan filled by taxpayers, should be stamped and returned by the bank. Please ensure that the bank stamp

contains BSR (Bankers Serial number code), Challan Identification Number (CIN) and the date of payment.

Is my responsibility under the Income-tax Act over once taxes are paid?

No, you are thereafter responsible for ensuring that the tax credits are available in your tax credit statement and TDS/TCS certificates received by you and that full particulars of income and tax payment are submitted to the Income-tax Department in the form of Return of Income which is to be filed before the due date prescribed in this regard.

Who is an Assessing Officer?

He/She is an officer of the Income-tax Department who has been given jurisdiction over a particular geographical area in a city/town or over a class of persons. You can find out from the PRO or from the Departmental website http://www.incometaxindia.gov.in about the officer administering the law which could be based on your geographical jurisdiction or the nature of income earned by you. One can also before section 2(7A) of Income tax Act.

Income-tax is levied on the income of every person. As per Income-tax Law what constitutes income?

Under the Income-tax Law, the word income has a very broad and inclusive meaning. In case of a salaried person all that is received from an employer in cash, kind or as a facility is considered as an income. For a businessman his net profit will constitute his income. Income may also flow from investments in the form of Interest, Dividend, Commission, etc. Further, income may be earned on account of sale of capital assets like building, gold, etc.

Income shall be computed as per relevant provision of Income-tax Act, 1961 which lays down detail condition for computation of income chargeable to tax under various heads of income

What is exempt income and taxable income?

An exempt income is not charged to tax, *i.e.,* Income-tax Law specifically grants exemption from tax to such income. Incomes which are chargeable to tax are called as taxable incomes.

What is revenue receipt and capital receipt?

Receipts can be classified into two kinds: A) Revenue receipt, B) Capital receipt.

Revenue receipts are recurring in nature like salary, profit from business, interest income, etc.

Capital receipts are generally of isolated nature like receipt on account of sale of residential building, personal jewellery, etc.

Are all receipts, i.e., capital and revenue receipts, charged to tax?

The general rule under the Income-tax Law is that all revenue receipts are taxable, unless they are specifically granted exemption from tax and all capital receipts are exempt from tax, unless there is a specific provision for taxing them.

I am an agriculturist. Is my income taxable?

Agricultural income is not taxable. However, if you have non-agricultural income too, then while calculating tax on non-agricultural income, your agricultural income will be taken into account for rate purpose. For meaning of Agricultural Income refer section 2(IA) of the Income-tax Act.

Under the Income-tax Law is income from animal husbandry considered as an agricultural income?

No.

Do I need to maintain any records or proof of earnings?

For every source of income you have to maintain proof of earning and the records specified under the Income-tax Act. In case no such records are prescribed, you should maintain reasonable records with which you can support the claim of income.

As an agriculturist, am I required to maintain any proof of earnings and expenditures incurred?

Even if you have only agricultural income, you are advised to maintain some proof of your agricultural earnings/expenses.

If I win a lottery or prize money in a competition, am I required to pay Income-tax on it?

Yes, such winnings are liable to flat rate of tax at 30% without any basic exemption limit. In such a case the payer of prize money will generally deduct tax at source (i.e., TDS) from the winnings and will pay you only the balance amount.

If my income is taxed in India as well as abroad, can I claim any sort of relief on account of double taxation?

Yes, you can claim relief in respect of income which is charged to tax both in India as well as abroad. Relief is either granted as per the provisions of double taxation avoidance agreement entered into with that country (if any) by the Government of India or by allowing relief as per section 91 of the Act in respect of tax paid in the foreign country.

What does Profession mean?

Profession means exploitation of one's skills and knowledge independently. Profession includes vocation. Some examples are legal, medical, engineering, architecture, accountancy, technical consultancy, interior decoration, artists, writers, etc.

What books of account have been prescribed to be maintained by a person carrying on business/profession under the Income-tax Act?

The Income-tax Act does not prescribe any specific books of account for a person engaged in business or in non-specified profession. However, such a person is expected to keep and maintain such book of account and other documents as may enable the Assessing Officer to compute his total income in accordance with the provisions of the Act, if:-.

Particulars	Individual or HUF	Any other assessee
In case of existing business or profession, income or gross turnover in any one of the 3 preceding previous years exceeds the following- • Income from business or profession • Turnover/gross receipts in the business or profession	Rs. 2,50,000 Rs. 25,00,000	Rs. 1,20,000 Rs. 10,00,000
In case of newly setup business or profession, income or gross turnover of the first previous year is likely to exceed the following- • Income from business or profession • Turnover/gross receipts in the business or profession	Rs. 2,50,000 Rs. 25,00,000	Rs. 1,20,000 Rs. 10,00,000

For companies the books of account are prescribed under the Companies Act. Further, the Institute of Chartered Accountants of India has prescribed various Accounting Standards and Guidelines that are required to be followed by the business entities As regards the maintenance of books of account by a professional, who is engaged in specified profession has to maintain certain prescribed books of account, if the annual receipts from the profession exceed Rs. 1,50,000 in all the three years immediately preceding the previous year (in case of newly set up profession, his annual receipts in the profession for that year are likely to exceed Rs. 1,50,000).

Specified profession covers profession of legal, medical, engineering,

architectural, accountancy, company secretary, technical consultancy, interior decoration, authorised representative, film artist or information technology.

For more details on the provisions relating to maintenance of books of account you may refer provisions of section 44AA read with Rule 6F of the Income-tax Rules, 1962.

Where should the books of account of business be kept and for how long?

All the books of account and related documents should be kept at the principal place of business, *i.e.*, where the business or profession is generally carried on. These documents should be preserved for a minimum of six years from the end of relevant Assessment year, i.e., for a total of 7 financial year from the end of relevant year. However, when the assessment has been reopened, all books of account and other documents which were kept and maintained at the time of reopening of assessment should continue to be so kept and maintained till the assessment so reopened has been completed.

My name is not updated as per Protean (formerly NSDL eGov) Website?

In case of mismatch in details as per PAN and the income tax portal, an assessee may file grievance. Click here /Pages/tax-services/pan-grievances.aspx for steps for filing grievance related to PAN.

How to check status of Aadhaar PAN linking?

You can check your Aadhaar-PAN Linking status from the following link: https://eportal.incometax.gov.in/iec/foservices/#/pre-login/bl-link-aadhaar

Please give me email of income tax ombudsman?

Please see the following link to check the list of Email Id of income tax ombudsman: https://www.incometaxindia.gov.in/Pages/ombudsman/know-your-ombudsman.aspx

FAQs on Computation of Tax

When do I have to pay the taxes on my income?

The taxes on income can be finalized only on the completion of the previous year. However, to enable a regular flow of funds and for easing the process of collection of taxes, Income-tax Act has provisions for payment of taxes in advance during the year of earning itself or before completion of previous year. It is also known as Pay as your earn concept.

Taxes are collected by the Government through the following means:

1. Voluntary payment by taxpayers into various designated Banks such as Advance tax, Self-Assessment tax, etc.
2. Taxes deducted at source
3. Taxes collected at source
4. Equalisation Levy

Under how many heads the income of a taxpayer is classified?

Section 14 of the Income-tax Act has classified the income of a taxpayer under five different heads of income, *viz.:*

- Salaries
- Income from house property
- Profits and gains of business or profession
- Capital gains
- Income from other sources

What is gross total income?

Total income of a taxpayer from all the heads of income (as discussed in previous FAQ) is referred to as Gross Total Income.

What is the difference between gross total income and total income?

Total Income is the income on which tax liability is determined. It is necessary to compute total income to ascertain tax liability. section 80C to 80U provides certain deductions which can be claimed from Gross Total Income (GTI). After claiming these deductions from GTI, the income remaining is called as Total Income. In other words, GTI *less* Deductions (under section 80C to 80U) = Total Income (TI). Total income can also be understood as taxable income. Following table gives a better understanding of the difference between GTI and TI :

Computation of gross total income and Taxable Income

Particulars	***Amount***
Income from salary	XXXXX
Income from house property	XXXXX
Profits and gains of business or profession	XXXXX
Capital gains	XXXXX
Income from other sources	XXXXX
Gross Total Income	**XXXXX**
Less : Deductions under Chapter VI-A (*i.e.* under section 80C to 80U)	(XXXXX)
Total Income (i.e., taxable income)	**XXXXX**

Note : Inter source losses, inter head losses, brought forward losses, unabsorbed depreciation, etc., (if any) will have to be adjusted (as per the Income-tax Law) while computing the gross total income.

Note: If the eligible assessee has opted for concessional tax regime under section 115BAA, 115BAB, 115BAC, 115BAD and 115BAE the total income of assessee is computed without claiming specified exemptions or deductions:

How to round off total income before computing tax liability?

As per section 288A, total income computed in accordance with the provisions of the Income-tax Law, shall be rounded off to the nearest multiple of ten. Following points should be kept in mind while rounding off the total income:

- First any part of rupee consisting of any paisa should be ignored.

After ignoring paisa, if such amount is not in multiples of ten, and last figure in that amount is five or more, the amount shall be increased to the next higher amount which is in multiple of ten and if the last figure is less than five, the amount shall be reduced to the next lower amount which is in multiple of ten and the amount so rounded off shall be deemed to be the total income of the taxpayer.

Illustration for better understanding

If the taxable income of Mr. Keshav is Rs. 2,52,844.99, then first paisa shall be ignored, *i.e.,* 0.99 paisa shall be ignored) and the remaining amount of Rs. 2,52,844 shall be rounded off to Rs. 2,52,840 (since last figure is less than five). If the total income is Rs. 2,52,845 or Rs. 2,52,846.01, then it shall be rounded off to Rs. 2,52,850 (since the last figure is five or above).

Can I claim deduction for my personal and household expenditure while calculating my taxable income or profit?

No, you cannot claim deduction of personal expenses while computing the taxable income.

While computing income under various heads, deduction can be claimed only for those expenses which are provided under the Income-tax Act.

Most of my income is given away in charity and I am left with just enough money to meet my personal requirements. What will be considered as my income?

What is done after the income is earned by you will not give you tax exemption. However, contribution to approved institutions will give you the benefit of deduction from taxable income under section 80G subject to limits specified therein.

My daughter stays in USA. She owns a house in India and has let it out. She has asked tenants to pay rent to me. She has not received any rent. Is she still liable to tax? What if she transfers the house to me?

Rental income is charged to tax in the hands of the owner of the property. Your daughter is the owner of the house and, therefore, she is liable to pay tax, even though you receive rent.

Is there any limit of income below which I need not pay tax?

At this moment Individual, HUF, AOP, and BOI having income below Rs. 2,50,000 need not pay any Income-tax. In respect of resident individuals of

the age of 60 years and above but below 80 years, the basic exemption limit is Rs. 3,00,000 and in respect of resident individuals of 80 years and above, the limit is Rs. 5,00,000. For other categories of persons such as co-operative societies, firms, companies and local authorities, no basic exemption limit exists and, hence, they have to pay taxes on their entire income chargeable to tax.

Further, if an individual, HUF, AOP, BOI, and AJP opted for new tax regime under Section 115BAC, threshold limit of Rs. 4,00,000 shall be applicable to them. (applicable w.e.f. Assessment Year 2026-27)

How to compute the total tax liability?

After ascertaining the total income, *i.e.,* income liable to tax, the next step is to compute the tax liability for the year. Tax liability is to be computed by applying the rates prescribed in this regard. Following table will help in understanding the manner of computation of the total tax liability of the taxpayer.

Computation of total income and tax liability for the year

Particulars	***Amount***
Income from salary	XXXXX
Income from house property	XXXXX
Profits and gains of business or profession	XXXXX
Capital gains	XXXXX
Income from other sources	XXXXX
Total of head wise income	XXXXX
Set off of losses	XXXXX
Gross Total Income	***XXXXX***
Less : Deductions under Chapter VI-A (*i.e.,* under section 80C to 80U))	(XXXXX)
Total Income (i.e., taxable income)	***XXXXX***
Tax on total income to be computed at the applicable rates (for rates of tax, refer "Tax Rate" section)	XXXXX
Less : Rebate under section 87A (discussed in later FAQ)	(XXXXX)
Tax Liability After Rebate	XXXXX
Add: Surcharge (discussed in later FAQ)	XXXXX

Tax Liability After Surcharge	XXXXX
Add: Health & Education cess @ 4% on tax liability after surcharge	XXXXX
Tax liability before rebate under sections 86, section 89, sections 90, 90A and 91 (if any) (*)	XXXXX
Less : Rebate under sections 86, section 89, sections 90, 90A and 91(if any) (*)	(XXXXX)
Tax liability for the year before pre-paid taxes	XXXXX
Less: Prepaid taxes in the form of TDS, TCS and advance tax	(XXXXX)
Tax payable/Refundable	XXXXX

(*) Rebate under section 86 is available to a member of association of persons (AOP) or body of individuals (BOI) in respect of income received by such member from the AOP/BOI.

Rebate (*i.e.,* relief) under section 89 is available to a salaried employee in respect of sum received towards arrears of salary, gratuity, etc.

Rebate under sections 90, 90A and 91 is available to a taxpayer in respect of double taxed income, *i.e.,* income which is taxed in India as well as abroad.

Note : For provisions relating to Minimum Alternate Tax (MAT) in case of corporate taxpayers and Alternate Minimum Tax (AMT) in case of non-corporate taxpayers refer tutorial on "MAT/AMT".

How to round off the tax liability?

As per section 288B, tax payable by the taxpayer or tax refundable to the taxpayer shall be rounded off to the nearest multiple of ten, following points should be kept in mind while rounding off the tax :

- First any part of rupee consisting of any paisa should be ignored.
- After ignoring paisa, if such amount is not a multiples of ten, and the last figure in that amount is five or more, the amount shall be increased to the next higher amount which is a multiple of ten and if the last figure is less than five, the amount shall be reduced to the next lower amount which is a multiple of ten; and the amount so rounded off shall be deemed to be the tax payable by the taxpayer or refundable to the taxpayer.

Illustration for better understanding

If the tax liability or refund due to Mr. Keshav is Rs. 2,52,844.99, then first paisa shall be ignored, (*i.e.,* 0.99 paisa shall be ignored) and the remaining amount of Rs. 2,52,844 shall be rounded off to Rs. 2,52,840 (since last figure is less than five). If the tax liability or refund due is Rs. 2,52,845 or Rs. 2,52,846.01, then it shall be rounded off to Rs. 2,52,850 (since the last figure is five or above).

What is rebate under section 87A for F.Y 2025-26 and who can claim it?

An individual who is resident in India and whose total income does not exceed Rs. 5,00,000 is entitled to claim rebate under section 87A. Rebate under section 87A is available in the form of deduction from the tax liability. Rebate under section 87A will be lower of 100% of income-tax liability or Rs. 12,500. In other words, if the tax liability exceeds Rs. 12,500, rebate will be available to the extent of Rs. 12,500 only and no rebate will be available if the total income (i.e. taxable income) exceeds Rs. 5,00,000.

Further, a maximum rebate of Rs. 60,000 is allowed under section 87A from the amount of income tax on total income, which is chargeable to tax under section 115BAC(1A). However, this rebate is allowed if the total income of assessee chargeable to tax under section 115BAC(1A) is up to Rs. 12,00,000.

Furthermore, if the total income chargeable to tax exceeds Rs. 12,00,000 and the tax payable on such income exceeds the difference between the total income and Rs. 12,00,000, he can claim a rebate with marginal relief to the extent of the difference between the tax payable on such total income and the amount by which it exceeds Rs. 12,00,000.

Can a partnership firm or HUF claim rebate under section 87A?

Rebate under section 87A is available only to a resident individual, hence, any person other than a resident individual cannot claim rebate under section 87A.

Can a non-resident claim rebate under section 87A?

Rebate under section 87A is available only to an individual who is resident in India, hence, non-residents cannot claim rebate under section 87A.

What is surcharge and how it is computed?

Surcharge is an additional tax levied on the amount of income-tax. In case of individuals/HUF/AOP/BOI/artificial juridical person, surcharge is levied @ 10% on the amount of income-tax where the total income of the taxpayer exceeds Rs. 50 lakh but doesn’t exceeds Rs. 1 crore.

Surcharge is levied @ 15% of income-tax where the total income of the taxpayer exceeds Rs. 1 crore but doesn't exceeds Rs. 2 crore.*(*)*.

Surcharge is levied @ 25% of income-tax where the total income of the taxpayer exceeds Rs. 2 crore but doesn’t exceeds Rs. 5 crore*(*)*.

Surcharge is levied @ 37% of income-tax where the total income of the taxpayer exceeds Rs. 5 crore*(*)*.

Notes:

(a) The surcharge rate for AOP with all members as a company, shall be capped at 15%.

(b) The enhanced surcharge of 25% & 37%, as the case may be, is not levied, from income chargeable to tax under sections 111A, 112, 112A and 115AD.

(c) The surcharge rate is nil if the total income of a 'specified fund' as referred to section 10(4D) includes any income in respect of securities as given under section 115AD(1)(a).

(d) If assessee opted for tax regime under section 115BAC(1A), the enhanced surcharge rate of 37% isn't levied. In other words, f the total income of an assessee exceeds Rs. 5 crores, the surcharge rate will be 25% instead of 37%.

In case of Firm, and local authority surcharge is levied at 12% if total income exceeds Rs 1 crore. In case of co-operative society, surcharge is levied at 7% if total income exceeds Rs 1 crore but doesn't exceeds Rs. 10 crore and surcharge is levied at 12% if total income exceeds Rs 1 crore. In case where a co-operative society opted for the alternative tax regime under section 115BAD or 115BAE, the surcharge is levied at a rate of 10% on total income of Rs. 1 crore or more. In case of a domestic company surcharge is levied @ 7% on the amount of income-tax if the total income exceeds Rs. 1 crore but does not exceed Rs. 10 crore and @ 12% on the amount of income-tax if total income exceeds Rs. 10 crore (*). In case where a domestic company opted for alternative tax regime under section 115BAA or section 115BAB, the surcharge is levied at a rate of 10% on total income of Rs. 1 crore or more.

In case of a foreign company surcharge is levied @ 2% on the amount of income-tax if the total income exceeds Rs. 1 crore but does not exceed Rs. 10 crore and @ 5% on the amount of income-tax if total income exceeds Rs. 10 crore ***(*)***.

(*) A taxpayer can claim marginal relief from the amount of surcharge, subject to certain conditions. Refer to next FAQ for concept of marginal relief.

Illustration for better understanding

Mr. Kapoor is a doctor, his total income for the year amounted to Rs. 44,00,000. Will he be liable to pay surcharge, if yes, then how much?

**

Surcharge is additional tax levied on the amount of income-tax. In case of individuals surcharge is levied @ 10% on the amount of income-tax where the total income of the taxpayer exceeds Rs. 50 lakh. In this case, total income of Mr. Kapoor is below Rs. 50 lakh, hence, he will not be liable to pay surcharge.

What is marginal relief and how it is computed?

The concept of marginal relief is designed to provide relaxation from levy of surcharge to a taxpayer where the total income exceeds marginally above Rs. 50 lakh, Rs. 1 crore, Rs. 2 crore, Rs. 5 crore or Rs. 10 crore, as the case may be.

Thus, while computing surcharge, in case of taxpayers (i.e. Individuals/HUF/AOP/BOI/artificial juridical person) having total income of more than Rs. 50 lakh marginal relief shall be available in such a manner that the net amount payable as income-tax and surcharge shall not exceed the total amount payable as income-tax on total income of Rs. 50 lakh by more than the amount of income that exceeds Rs. 50 lakh.

In case of a company, surcharge is levied @ 7% (2% in case of foreign

company) on the amount of income-tax if the total income exceeds Rs. 1 crore but does not exceed Rs. 10 crore and @ 12% (5% in case of foreign company) on the amount of income-tax if total income exceeds Rs. 10 crore. Hence, in case of company whose total income exceeds Rs. 1 crore but does not exceeds Rs. 10 crore, marginal relief will be computed as discussed above, but in the case of company having total income above Rs. 10 crore marginal relief is available in such a manner that the net amount payable as income-tax and surcharge shall not exceed the total amount payable as income-tax and surcharge on total income of Rs. 10 crore by more than the amount of income that exceeds Rs. 10 crore.

Illustration for better understanding

Mr. Mukesh is salaried employee (age 40 years). His total income from salary for the year 2023-24 amount to Rs. 51,00,000. Will he liable to pay surcharge, if yes, then how much and will he get the benefit of margin relief?

**

Surcharge is additional tax levied on the amount of income-tax. In case of taxpayers (i.e. Individuals/HUF/AOP/BOI/artificial juridical person), surcharge is levied @ 10% on the amount of income-tax where the total income of the taxpayer exceeds Rs. 50 lakh. In this case, total income of Mr. Mukesh exceeds Rs. 50 lakh and hence he will be liable to pay surcharge. Marginal relief is available in cases where the total income is slightly above Rs. 50 Lakh. The Computation of normal tax liability (i.e. liability without marginal relief) and tax liability under marginal relief (i.e. liability after marginal relief) will be as follows:

(1) Normal tax liability (i.e. without marginal relief)

Tax on total income before surcharge (*)	13,42,500
Add: Surcharge (@10% on the amount of income-tax of Rs. 13,42,500	1,34,250
Tax liability after surcharge (i.e., normal tax liability)	14,76,750

(*) The normal tax rates for the financial year 2025-26 applicable to an individual below the age of 60 years are as follows:

- Nil upto income of Rs. 2,50,000
- 5% for income above Rs. 2,50,000 but upto Rs. 5,00,000
- 20% for income above Rs. 5,00,000 but upto Rs. 10,00,000
- 30% for income above Rs. 10,00,000.

Apart from above rates, cess will be computed separately.

(2) Tax liability under marginal relief (i.e. after marginal relief)

Tax on Rs. 50 lakh (at the above discussed rates)	13,12,500
Add: Income above Rs. 50 lakh	1,00,000
Tax liability under marginal relief	14,12,500

Conclusion

Normal tax liability (*i.e.* without marginal relief) comes to Rs. 14,76,750 and tax liability under marginal relief comes to Rs. 14,12,500. It can be observed that tax liability under marginal relief is lower and, hence, Rs. 14,12,500 will be the tax liability before cess. Total tax liability will be computed as follows:

	Rs.
Tax liability after marginal relief (*)	14,12,500
Add: Health & education cess @ 4%	56,500
Tax liability	14,69,000

(*) In this case, surcharge paid by Mr. Mukesh will be Rs. 70,000 computed as follows:

	Rs.
Tax liability (before cess) on Rs. 51,00,000 after considering the provisions of marginal relief	14,12,500
Tax liability (before cess) at normal rates on Rs. 51,00,000 if surcharge is not levied	13,42,500
Surcharge (*i.e.* increase in tax liability)	70,000

Illustration for better understanding

Mr. Raja is businessman (age 35 years). His total income for the year 2025-26 amounted to Rs. 1,02,00,000. Will he be liable to pay surcharge, if yes, then how much and will he get the benefit of marginal relief?

**

Surcharge is additional tax levied on the amount of income-tax. In case of taxpayers (i.e. Individuals/HUF/AOP/BOI/artificial juridical person), surcharge is levied @ 10% on the amount of income-tax where the total

income of the taxpayer exceeds Rs. 1 crore. In this case, total income of Mr. Raja exceeds Rs. 1 crore and hence he will be liable to pay surcharge. Marginal relief is available in cases where the total income is slightly above Rs. 1 crore. The Computation of normal tax liability (i.e. liability without marginal relief) and tax liability under marginal relief (i.e. liability after marginal relief) will be as follows:

(1) Normal tax liability (i.e. without marginal relief)

Tax on total income before surcharge (*)	28,72,500
Add: Surcharge (@15% on the amount of income-tax of Rs. 28,72,500)	4,30,875
Tax liability after surcharge (i.e., normal tax liability)	33,03,375

(*) The normal tax rates for the financial year 2025-26 applicable to an individual below the age of 60 years are as follows:

- Nil upto income of Rs. 2,50,000
- 5% for income above Rs. 2,50,000 but upto Rs. 5,00,000
- 20% for income above Rs. 5,00,000 but upto Rs. 10,00,000
- 30% for income above Rs. 10,00,000.

Apart from above rates, cess will be computed separately.

(2) Tax liability under marginal relief (i.e. after marginal relief)

Tax on Rs. 1 crore (at the above discussed rates)	28,12,500
Add: Surcharge on income-tax @ 10% (if income is Rs. 1 crore)	2,81,250
Add: Income above Rs. 1 crore	2,00,000
Tax liability under marginal relief	32,93,750

Conclusion

Normal tax liability (*i.e.* without marginal relief) comes to Rs. 33,03,375 and tax liability under marginal relief comes to Rs. 32,93,750. It can be observed that tax liability under marginal relief is lower and, hence, Rs. 32,93,750 will be the tax liability before cess. Total tax liability will be computed as follows:

	Rs.

Tax liability after marginal relief (*)	32,93,750
Add: Health & education cess @ 4%	1,31,750
Tax liability	34,25,500

Illustration for better understanding

Mr. Karan is a businessman (age 35 years). His total income for the year 2025-26 amounted to Rs. 1,07,00,000. Will he be liable to pay surcharge, if yes, then how much and will he get the benefit of marginal relief?

**

Surcharge is additional tax levied on the amount of income-tax. In case of taxpayers (i.e. Individuals/HUF/AOP/BOI/artificial juridical person) surcharge is levied @ 15% on the amount of income-tax where the total income of the taxpayer exceeds Rs. 1 crore. In this case, total income of Mr. Karan exceeds Rs. 1 crore and hence he will be liable to pay surcharge. Marginal relief is available in cases where the total income is slightly above Rs. 1 crore. The computation of normal tax liability (*i.e.* liability without marginal relief) and tax liability under marginal relief (*i.e.* liability after marginal relief) will be as follows :

(1) Normal tax liability (i.e. without marginal relief)

Tax on total income before surcharge (*)	30,22,500
Add: Surcharge (@15% on the amount of income-tax of Rs. 30,22,500)	4,53,375
Tax liability after surcharge (i.e., normal tax liability)	34,75,875

(*) Tax rates are discussed in previous illustration.

(2) Tax liability under marginal relief (i.e. after marginal relief)

Tax on Rs. 1 crore (at the rates discussed in previous illustration)	28,12,500
Add: Income above Rs. 1 crore	7,00,000
Tax liability under marginal relief	35,12,500

Conclusion

Normal tax liability (*i.e.* without marginal relief) comes to Rs. 34,75,875 and tax liability under marginal relief comes to Rs. 35,12,500. It can be observed

that normal tax liability (i.e. without marginal relief) is lower and, hence, Rs. 34,75,875 will be the tax liability before cess. Total tax liability will be computed as follows:

	Rs.
Normal tax liability i.e. tax liability after surcharge of Rs. 4,53,375	34,75,875
Add: Health & education cess @ 4%	1,39,035
Tax liability	36,14,910

What is minimum alternate tax?

For details on minimum alternate tax (MAT) refer to tutorial on "Minimum Alternate Tax and Alternate Minimum Tax"

What is alternate minimum tax?

For details on alternate minimum tax (AMT) refer to tutorial on "Minimum Alternate Tax and Alternate Minimum Tax"

FAQs on the Income Declaration Scheme, 2016

Where an undisclosed income in the form of investment in asset is declared under the Scheme and tax, surcharge and penalty is paid on the fair market value of the asset as on 01.06.2016, then will the declarant be liable for capital gains on sale of such

Yes, the declarant will be liable for capital gains under the Income-tax Act on sale of such asset in future. As per the current provisions of the Income-tax Act, the capital gains is computed by deducting cost of acquisition from the sale price. However, since the asset will be taxed at its fair market value the cost of acquisition for the purpose of Capital Gains shall be the fair market value as on 01.06.2016 and the period of holding shall start from the said date (i.e. the date of determination of fair market value for the purposes of the Scheme).

Where a notice under section 142(1)/ 143(2)/ 148/ 153A/ 153C of the Income-tax Act has been issued to a person for an assessment year will he be ineligible from making a declaration under the Scheme?

The person will only be ineligible from declaration for those assessment years for which a notice under section 142(1)/143(2)/148/153A/153C is issued and the proceeding is pending before the Assessing Officer. He is free to declare undisclosed income for other years for which no notice under above referred sections has been issued.

As per the Scheme, declaration cannot be made where an undisclosed asset has been acquired during any previous year relevant to an assessment year for which a notice under section 142, 143(2), 148, 153A or 153C of the Income-tax Act has been issued. If th

The declarant will not be eligible for declaration under the Scheme where the undisclosed income relates to the assessment year in respect of which notice under section 142, 143(2), 148, 153A or 153C of the Income-tax Act has been issued and served on the declarant on or before 31st day of May, 2016. The declarant is required to file a declaration regarding receipt of any such notice in Form-1.

In a case where the undisclosed income is represented in the form of investment in asset and such asset is partly from income that has been assessed to tax earlier, then what shall be the method of computation of undisclosed income represented by such und

As per sub-rule (2) of rule 3 of the Income Declaration Scheme Rules, 2016, where investment in any asset is partly from an income which has been assessed to tax, the undisclosed income represented in form of such asset will be the fair market value of the asset determined in accordance with sub-rule (1) of rule 3 as reduced by an amount which bears to the value of the asset as on the 1.6.2016, the same proportion as the assessed income bears to the total cost of the asset. This is illustrated by an example as under:

Investment in acquisition of asset in previous year 2013-14 is of Rs.500 out of which Rs.200 relates to income assessed to tax in A.Y. 2012-13 and Rs.300 is from undisclosed income pertaining to previous year 2013-14. The fair market value of the asset as on 01.06.2016 is Rs.1500. The undisclosed income represented by this asset under the scheme shall be:

$$1500 \text{ minus } \left(1500 \times \frac{200}{500}\right) = \text{Rs.}900$$

Can a declaration be made of undisclosed income which has been assessed to tax and the case is pending before an Appellate Authority?

As per section 189 of the Finance Act, 2016, the declarant is not entitled to re-open any assessment or reassessment made under the Income-tax Act. Therefore, he is not entitled to avail the tax compliance in respect of such income. However, he can declare other undisclosed income for the said assessment year which has not been assessed under the Income-tax Act.

Can a person against whom a search/ survey operation has been initiated file declaration under the Scheme?

(*a*) The person is not eligible to make a declaration under the Scheme if a search has been initiated and the time for issuance of notice under section

153A has not expired, even if such notice for the relevant assessment year has not been issued. In this case, however, the person is eligible to file a declaration in respect of an undisclosed income in relation to an assessment year which is prior to assessment years relevant for the purpose of notice under section 153A.

(*b*) In case of survey operation the person is barred from making a declaration under the Scheme in respect of an undisclosed income in which the survey was conducted. The person is, however, eligible to make a declaration in respect of an undisclosed income of any other previous year.

Where a search/ survey operation was conducted and the assessment has been completed but certain income was neither disclosed nor assessed, then whether such unassessed income can be declared under the Scheme?

Yes, such undisclosed income can be declared under the Scheme.

What are the consequences if no declaration under the Scheme is made in respect of undisclosed income prior to the commencement of the Scheme?

As per section 197(c) of the Finance Act, 2016, where any income has accrued or arisen or received or any asset has been acquired out of such income prior to the commencement of the Scheme and no declaration is made under the Scheme, then such income shall be deemed to have been accrued, arisen or received or the value of the asset acquired out of such income shall be deemed to have been acquired in the year in which a notice under section 142/143(2)/148/153A/153C is issued by the Assessing Officer and the provisions of the Income-tax Act shall apply accordingly.

If a declaration of undisclosed income is made under the Scheme and the same was found ineligible due to the reasons listed in section 196 of the Finance Act, 2016, then will the person be liable for consequences under section 197(c) of the Finance Act, 2

In respect of such undisclosed income which has been duly declared in good faith but not found eligible, then such income shall not be hit by section 197(c) of the Finance Act, 2016. However, such undisclosed income may be assessed under the normal provisions of the Income-tax Act, 1961.

If a person declares only a part of his undisclosed income under the Scheme, then will he get immunity under the Scheme in respect of the part income declared?

It is expected that one should declare all his undisclosed income. However, in such a case the person will get immunity as per the provisions of the Scheme in respect of the undisclosed income declared under the Scheme and no immunity will be available in respect of the undisclosed income which is not declared.

Can a person declare under the Scheme his undisclosed income which has been acquired from money earned through corruption?

No. As per section 196(b) of the Finance Act, 2016, the Scheme shall not apply, *inter-alia,* in relation to prosecution of any offence punishable under the Prevention of Corruption Act, 1988. Therefore, declaration of such undisclosed income cannot be made under the Scheme. However, if such a declaration is made and in an event it is found that the income represented money earned through corruption it would amount to misrepresentation of facts and the declaration shall be void under section 193 of the Finance Act, 2016. If a declaration is held as void, the provisions of the Income-tax Act shall apply in respect of such income as they apply in relation to any other undisclosed income.

Whether at the time of declaration under the Scheme, will the Principal Commissioner/Commissioner do any enquiry in respect of the declaration made?

After the declaration is made, the Principal Commissioner/ Commissioner will enquire whether any proceeding under section 142(1)/ 143(2)/ 148/ 153A/ 153C is pending for the assessment year for which declaration has been made. Apart from this no other enquiry will be conducted by him at the time of declaration.

Will the declarations made under the Scheme be kept confidential?

The Scheme incorporates the provisions of section 138 of the Income-tax Act relating to disclosure of information in respect of assessees. Therefore, the information in respect of declaration made is confidential as in the case of return of income filed by assessees.

If a person declares income under this scheme then what is the due date for payment of tax calculated on declared income?

If a person declared income under this scheme then he is required to pay the amount of tax, surcharge and penalty as per the following schedule:-

1. Minimum of 25% of tax, surcharge and penalty to be paid by 30th November, 2016;
2. A further amount of 25% of tax, surcharge and penalty to be paid by 31st March, 2017; and
3. The balance amount to be paid on or before 30th September, 2017.
4. However, in case the amount of tax, surcharge and penalty, has not been paid within the due date, the Central Government may notify the class of persons who may make the payment of such amount on or before a notified date, along with the interest on such amount, at the rate of 1% of every month or part of a month, from the due date to the date of such payment. [Inserted by the Finance (no. 2) Act, 2019 w.e.f., 01-06-2016]

Is it necessary to file a valuation report of an undisclosed income represented in the form of investment in asset along with the declaration under the Scheme?

It is not mandatory to file the valuation report of the undisclosed income represented in the form of investment in asset along with the declaration. However, the declarant should have the valuation report. While e-filing the declaration on the departmental website a facility for uploading the documents will be available.

How a person can claim refund of excess amount deposited towards payment of tax on declared income?

There is no provisions to claim refund of excess tax payment made under this scheme. However, the Central Government shall notify the class of persons to whom the excess amount paid towards the tax, surcharge and penalty shall be refunded. [Inserted by the Finance (no. 2) Act, 2019 w.e.f., 01-06-2016]

FAQs on filing the return of income

What is a return of income?

ITR stands for Income Tax Return. It is a prescribed form through which the particulars of income earned by a person in a financial year and taxes paid on such income are communicated to the Income-tax Department. It also allows carry -forward of loss and claim refund from income tax department. Different forms of returns of income are prescribed for filing of returns for different Status and Nature of income. These forms can be downloaded from https://www.incometax.gov.in/iec/foportal

What are the forms of return prescribed under the Income-tax Law?

Under Income-tax Law, different forms of returns are prescribed for different classes of taxpayers. The return forms are known as ITR forms (Income Tax Return Forms). The forms of return prescribed under the Income-tax Law for filing of return of income for the assessment year 2026-27 (*i.e.*, financial year 2025-26) are as follows:

Return Form	***Brief Description***
ITR - 1	Also known as SAHAJ is applicable to resident other than not ordinarily resident) having total income up to Rs.50 lakh, having Income from Salaries, one house property, other sources (Interest etc.), long-term capital gains under Section 112A up to Rs. 1.25 lakh, and agricultural income up to Rs. 5000
ITR - 2	It is applicable to an individual or an Hindu Undivided Family not having income chargeable to income-tax under the head “Profits or gains of business or profession”
ITR - 3	It is applicable to an individual or a Hindu Undivided Family who has any income chargeable to tax under the head business or profession
ITR - 4	Also known as SUGAM is applicable Individuals, HUFs and Firms (other than LLP) being a resident having total income upto Rs.50 lakh and having income from business and profession which is computed under sections 44AD, 44ADA or 44AE and having long-term capital gains under Section 112A upto Rs. 1.25 lakh.

ITR - 5	This Form can be used by a person being a firm, LLP, AOP, BOI, artificial juridical person referred to in section 2(31)(vii), cooperative society and local authority. However, a person who is required to file the return of income under section 139(4A) or 139(4B) or 139(4C) or 139(4D) shall not use this form (*i.e.,* trusts, political parties, institutions, colleges)
ITR - 6	It is applicable to a company, other than a company claiming exemption under section 11 (exemption under section 11 can be claimed by charitable/religious trust).
ITR - 7	It is applicable to a persons including companies who are required to furnish return under section 139(4A) or section 139(4B) or section 139(4C) or section 139(4D) (*i.e.,* trusts, political parties, institutions, colleges).
ITR - V	It is the acknowledgement of filing the return of income.

What are the different modes of filing the return of income?

The Return Form can be filed with the Income-tax Department in any of the following ways, -

(i) by furnishing the return in a paper form;

(ii) by furnishing the return electronically under digital signature;

(iii) by transmitting the data in the return electronically under electronic verification code;

(iv) by transmitting the data in the return electronically and thereafter submitting the verification of the return in Return Form ITR-V;

Note

Where the return of income is filed in the manner given at (iv) without digital signature, then the taxpayer should take two printed copies of Form ITR-V. One copy of ITR-V, duly signed by the taxpayer, is to be sent (within the period specified in this regard, i.e., 120 days) by ordinary post or speed post to "Income-tax Department - CPC, Post Bag No. 1, Electronic City Post Office, Bengalore-560100 (Karnataka). The other copy may be retained by the taxpayer for his record.

Which mode of filing of return is applicable to whom?

*The applicable return of income shall be furnished by a person mentioned in column (*ii*) of the Table below to whom the conditions specified in column (*iii*) apply, in the manner specified in column (*iv*) thereof:—*

Sl.	Person	Condition	Manner of furnishing return of income
(i)	**(ii)**	**(iii)**	**(iv)**

1	*Individual or Hindu undivided family*	(a)	*Accounts are required to be audited under section 44AB of the Act;*	
		(b)	*A super senior citizen (whose age is 80 years or above at any time during the previous year) who furnishes the return either in ITR-1 or ITR-4*	(A) *Electronically under digital signature; or* (B) *Transmitting the data electronically in the return under electronic verification code;* (A) *Electronically under digital signature; or* (B) *Transmitting the data electronically in the return under electronic verification code; or* (C) *Transmitting the data in the return electronically and thereafter submitting the verification of the return in Form ITR-V; or* (D) *Paper form;*
		(c)	*In any other case*	(A) *Electronically under digital signature; or* (B) *Transmitting the data electronically in the return under electronic verification code; or* (C) *Transmitting the data in the return electronically and thereafter submitting the verification of the return in Form ITR-V;* **]**
2	*Company*	*In all cases.*		*Electronically under digital signature.*
3	*A person required to furnish the return in Form ITR-7*	(a)	*In case of a political party;*	*Electronically under digital signature;*

		(b) In any other case	*(A) Electronically under digital signature; or*
			(B) Transmitting the data in the return electronically under electronic verification code; or
			(C) Transmitting the data in the return electronically and thereafter submitting the verification of the return in Form ITR-V.
4	*Firm or limited liability partnership or any person (other than a person mentioned in Sl. 1 to 3 above) who is required to file return in Form ITR-5*	*(a) Accounts are required to be audited under section 44AB of the Act;*	*Electronically under digital signature;*
		(b) In any other case.	*(A) Electronically under digital signature; or*
			(B) Transmitting the data in the return electronically under electronic verification code; or
			(C) Transmitting the data in the return electronically and thereafter submitting the verification of the return in Form ITR-V

Is it necessary to attach any documents along with the return of income?

ITR return forms are attachment less forms and, hence, the taxpayer is not required to attach any document (like proof of investment, TDS certificates, etc.) along with the return of income (whether filed manually or filed

electronically). However, these documents should be retained by the taxpayer and should be produced before the tax authorities when demanded in situations like assessment, inquiry, etc.

As discussed above, no documents are to be attached along with the return of income, however, in case of a taxpayer who is required to furnish a report of audit under section 10(23C)(iv), 10(23C)(v), 10(23C)(vi), 10(23C)via), 10A, 10AA, 12A(1)(b), 44AB, 44DA, 50B, 80-IA, 80-IB, 80-IC, 80-ID, 80JJAA, 80LA, 92E, 115JB or 115VW or to give a notice under section 11(2)(a) shall furnish it electronically on or before the date of filing the return of income.

Who can use ITR – 1 (SAHAJ)?

Return Form ITR - 1 (SAHAJ) can be used by an individual whose total income includes:

(1) Income from salary/pension; or

(2) Income from one house property (excluding cases where loss is brought forward from previous years); or

(3) Income from other sources (excluding winnings from lottery and income from race horses, income taxable under section 115BBDA or Income of the nature referred to in section 115BBE).

(4) Long-term capital gains under section 112A up to Rs. 1.25 lakh

Further, in a case where the income of another person like spouse, minor child, etc., is to be clubbed with the income of the taxpayer, this return form can be used only when such income falls in any of the above categories.

ITR	Description
ITR - 1 (SAHAJ)	For Individuals having Income from Salaries, one house property, other sources (Interest etc.) and having total income upto Rs.50 lakh

Who cannot use ITR – 1 (SAHAJ)?

Return Form ITR - 1 (SAHAJ) cannot be used by an individual:

- Who is a Non-resident or Not Ordinarily Resident
- Who is a Director of a company
- Whose total income exceeds Rs. 50 lakhs
- Who has income from more than 1 house property
- Who has held unlisted equity shares at any time during the previous year
- Who claims deduction under section 80QQB or section 80RRB in respect of royalty from patents or books
- Who is a person in whose case tax has been deducted under section 194N.

- Who is a person in whose case payment or deduction of tax has been deferred under section 191(2) or section 192(1C)
- Who claims deduction under section 10AA or Part-C of Chapter VI-A
- Who has brought forward loss or losses to be carried forward under any head
- Person claiming deduction under section 57 from income taxable under the head 'Other Sources'(other than deduction allowed from family pension)
- Who wants to claim relief under section 90 or section 91
- Who wants to claim credit of tax deducted at source in the hands of any other person.
- Who has any assets (including Financial Interest in an entity) located outside India.
- Who has signing authority in any account outside India
- Who has any income to be apportioned in accordance with provisions of section 5A
- Who has any of the following income:

a) Income from Business or Profession

b) Capital Gains

c) Income taxable under the head 'Other sources' which is taxable at special rate

d) Dividend income exceeding Rs. 10 lakhs taxable under section 115BBDA

e) Unexplained income (i.e., cash credit, unexplained investment, etc.) taxable at 60% under section 115BBE

f) Agricultural Income exceeding Rs. 5,000

g) Long-term capital gains under section 112A exceeding Rs. 1.25 lakh

h) Income from any source outside India

Who can use ITR – 2?

Form ITR – 2 can be used by an individual and Hindu Undivided Family who is not eligible to file ITR-1 Sahaj and not having income from “profit and gains of business or profession” and also not having income from “Profits and gains of business or profession” in the nature of interest, salary, bonus, commission or remuneration, by whatever name called, due to, or received by him from a partnership firm.

Further, in case where the income of another person like spouse, minor child, etc., is to be clubbed with the income of the taxpayer, this Return Form can be used if income to be clubbed falls in any of the above categories.

ITR	Description	
ITR - 2	It is applicable to an individual and HUFs whose income	PDF

chargeable to income-tax under the head "Profits or gains of business or profession" is in the nature of interest, salary, bonus, commission or remuneration, by whatever name called, due to, or received by him from a partnership firm	

Who cannot use ITR – 2?

Form ITR - 2 cannot be used by an individual and HUF whose total income for the year includes income from profit and gains from business or profession and also having income in the nature of interest, salary, bonus, commission or remuneration, by whatever name called, due to, or received by him from partnership firm

Who can use ITR – 3?

Form ITR – 3 can be used by an individual or a Hindu Undivided Family who is having income from profits and gains of business or profession. ITR – 3 is also required to be filed by a person whose income is chargeable to tax under the head "Profits and gains ofbusiness or profession" is in the nature of interest, salary, bonus, commission or remuneration, by whatever name called, due to, or received by him from a partnership firm.

Who cannot use ITR – 3?

Form ITR – 3 cannot be used by any person other than an individual or a HUF. Further, an individual or a HUF not having income from business or profession cannot use ITR – 3.

Who can use ITR – 4 (SUGAM)?

Form ITR – 4 (SUGAM) can be used by an Individual/HUF/Firm (Other than LLP) whose total income for the year includes:

(a) Business income computed as per the provisions of section 44AD or 44AE; or;

(b) Income from Profession as computed as per the provisions of 44ADA; or

(c) Income from salary/pension; or

(d) Income from one house property (excluding cases where loss is brought forward from previous years); or

(e) Income from other sources (excluding winnings from lottery and income from race horses, dividend income in excess of Rs. 10 lakhs or unexplained Income, etc. as referred to in section 115BBE)

(f) Long-term capital gains under section 112A upto Rs. 1.25 lakh.

Further, in a case where the income of another person like spouse, minor child, etc., is to be clubbed with the income of the taxpayer, this return form can be used where income to be clubbed falls in any of the above categories.

Who cannot use ITR – 4 (SUGAM)?

Form ITR – 4 (SUGAM) cannot be used by an individual/HUF:

• Who is a Non-resident or Not Ordinarily Resident
• Who is a Director of a company
• Whose total income exceeds Rs. 50 lakhs
• Who has income from more than one House Property
• Who has held unlisted equity shares at any time during the previous year
• Who claims deduction under section 80QQB or section 80RRB in respect of royalty from patent or books
• Who claims deduction under section 10AA or Part-C of Chapter VI-A
• Who has brought forward loss or losses to be carried forward under any head
• Who has income of the nature specified in section 17(2)(vi) on which tax is payable or deductible under section 191(2) or section 192(1C).
• Person claiming deduction under section 57 from income taxable under the head 'Other Sources' (other than deduction allowed from family pension)
• Who wants to claim relief under section 90 and section 91
• Who wants to claim credit of tax deducted at source in the hands of any other person.
• Who has any assets (including Financial Interest in an entity) located outside India.
• Who has signing authority in any account outside India
• Who has any income to be apportioned in accordance with provisions of section 5A
• Who has any of the following income:
a) Income from Business or Profession other than computed under section 44AD/ 44ADA/ 44AE.
b) Capital Gains or Loss
c) Income taxable under the head 'Other sources' which is taxable at special rate
d) Dividend income exceeding Rs. 10 lakhs taxable under Section 115BBDA
e) Unexplained income (i.e., cash credit, unexplained investment, etc.) taxable at 60% under section 115BBE
f) Agricultural Income exceeding Rs. 5,000
g) Income from any source outside India
h) Income from speculative business and other special incomes.
i) Income from agency business or commission or brokerage
j) Long-term capital gains under section 112A exceeding Rs. 1.25 lakh.

In case the assesse keeps and maintains all books of accounts and other documents referred to in section 44AA, and also gets his accounts audited and obtains an audit report as per section 44AB, filling up the Form ITR – 4 (SUGAM) is not mandatory. In such a case, other regular return forms viz. Form ITR – 3 or Form ITR – 5, as applicable, should be used.

Who can use ITR – 5?

Form ITR – 5 can be used by a person being a firm, LLP, AOP, BOI, Artificial Juridical Person (AJP) referred to in section 2(31)(vii), local authority referred to in section 2(31)(vi), representative assessee referred to in section 160(1)(iii) or (iv), cooperative society, society registered under Societies Registration Act, 1860 or under any other law of any State, trust other than trusts eligible to file Form ITR – 7, estate of deceased person, estate of an insolvent, business trust referred to in section 139(4E) and investments fund referred to in section 139(4F).

Who cannot use ITR – 5?

Form ITR – 5 cannot be used by, a person who is required to file the return of income under section 139(4A) or 139(4B) or 139(4C) or 139(4D) (i.e., trusts, political party, institutions, colleges).

Who can use ITR – 6?

Form ITR – 6 can be used by a company, other than a company claiming exemption under section 11 (charitable/religious trust can claim exemption under section 11).

Who cannot use ITR – 6?

Form ITR – 6 cannot be used by a company claiming exemption under section 11 (charitable/religious trust can claim exemption under section 11).

Who can use ITR – 7?

Form ITR – 7 can be used by persons including companies who are required to furnish return under section 139(4A) or section 139(4B) or section 139(4C) or section 139(4D) (i.e., trusts, political party, institutions, colleges).

Who cannot use ITR – 7?

Form ITR – 7 cannot be used by a person who is not required to furnish return under section 139(4A) or section 139(4B) or section 139(4C) or section 139(4D) (i.e., trusts, political party, institutions, colleges).

How to file the return of income electronically?

Income-tax Department has established an independent portal for e-filing of return of income. The taxpayers can log on to https://www.incometax.gov.in/iec/foportal for e-filing the return of income.

Click here to view the step by step procedure to file Income-tax return online.

What is e-filing utility provided by the Income-tax Department?

The Income-tax Department has provided free e-filing utility (i.e., Java & excel) to generate e-return and furnishing of return electronically. The e-filing utility provided by Department is simple, easy to use and also contains instructions on how to use it. By using the e-filing utility, the taxpayers can easily file their returns of income. Utility can be downloaded from https://www.incometax.gov.in/iec/foportal

Is there any e-filing help desk established by the Income-tax Department?

In case of queries on e-filing of return, the taxpayer can contact 1800 103 0025.

What is the difference between e-filing and e-payment?

E-payment is the process of electronic payment of tax (i.e., by net banking or SBI's debit/credit card) and e-filing is the process of electronically furnishing of return of income. Using the e-payment and e-filing facility, the taxpayer can discharge his obligations of payment of tax and furnishing of return easily and quickly.

Will I be put to any disadvantage by filing my return?

No, on the contrary by not filing your return inspite of having taxable income, you will be liable to the penalty and prosecution provisions under the Income-tax Act.

What are the benefits of filing my return of income?

Filing of return is your duty and earns for you the dignity of consciously contributing to the development of the nation. Apart from this, your income-tax returns validate your credit worthiness before financial institutions and make it possible for you to access many financial benefits such as bank credits, etc.

What are the benefits of e-filing the return of income?

E-filing can be done from any place at any time and it saves time and efforts. It is simple, easy and faster. The e-filed returns are generally processed faster as compared to returns filed manually.

Is it necessary to file return of income when I do not have any positive income?

If you have sustained a loss in the financial year, which you propose to carry forward to the subsequent year for adjustment against subsequent year(s) positive income, you must make a claim of loss by filing your return before the due date.

What are the due dates for filing returns of income/loss?

Due date of filing of return of income

Sr. No.	*Status of the taxpayer*	*Due date*
1	Any company other than a company who is required to furnish a report in Form No. 3CEB under section 92E (i.e. other than covered in 2 below)	October 31 of the assessment year
2	Any person (may be corporate/non-corporate) who is required to furnish a report in Form No. 3CEB under section 92E	November 30 of the assessment year
3	Any person (other than a company) whose accounts are to be audited under the Income-tax Law or under any other law	October 31 of the assessment year
4	A working partner of a firm whose accounts are required to be audited under this Act or under any other law.	October 31 of the assessment year
5	Any other assesse	July 31 of the assessment year .

Will I be penalized on late filing of ITR even if I am not liable to file it?

No, late filing fee under section 234F not leviable in case you are not required to file ITR as per section 139 but filing it voluntary though after the

due date.

If I fail to furnish my return within the due date, will I be fined or penalized?

As per section 234F, late filing fees of Rs. 5,000 shall be payable if return furnished after due date specified under section 139(1). However amount of late filing fees to be paid shall be Rs.1,000, if the total income of the person does not exceed Rs.5 lakhs.

Can a return be filed after the due date?

Return of income which has not been furnished on or before the due date specified under section 139(1) is called belated return. Belated return of income is furnished under section 139(4).
Any person who has not furnished a return of income within the time period allowed under section 139(1) or within the time period allowed under a notice issued under section 142(1), may furnish return for any previous year - at any time 3 months before the end of the relevant assessment year or before completion of the assessment, whichever is earlier.
However, a belated return attracts late filing fees under section 234F.
As per section 234F, late filing fees of Rs.5,000 shall be payable if return furnished after due date specified under section 139(1). However amount of late filing fees to be paid shall be Rs.1,000, if the total income of the person does not exceed Rs.5 lakhs.

Can a return of income be filed after the expiry of due date to file belated return?

Section 139 to enable the filing of an updated return. The section provides that an updated return can be filed by any person irrespective of the fact whether such person has already filed the original, belated or revised return for the relevant assessment year or not (subject to certain conditions).

An updated return can be filed at any time within 48 months [12 months till 31-03-2025] from the end of the relevant assessment year.

If I have paid excess tax how will it be refunded to me?

The excess tax can be claimed as refund by filing your Income-tax return. It will be refunded to you by crediting it in your bank account through ECS transfer. The department has been making efforts to settle refund claims at the earliest.

If I have committed any mistake in my original return, am I permitted to file a revised return to correct the mistake?

A return of income can be revised at any time 3 months before the end of the assessment year or before the assessment whichever is earlier.

How many times can I revise the return?

If a person after furnishing the return finds any mistake, omission or any wrong statement, then return should be revised within prescribed time limit.

A return can be revised at any time 3 months before the end of the Assessment Year or before the completion of the assessment; whichever is earlier.

If original return has filed in paper format or manually, then technically it cannot be revised by online mode or electronically.

Revised return can be filed online under section 139(5).

Am I required to keep a copy of the return filed as proof and for how long?

Yes, since legal proceedings under the Income-tax Act can be initiated for past years, you must maintain copy of return. After the introduction of the e-filing facility, it is very easy and simple to maintain a copy of return of income.

There are various deductions that are not reflected in the Form 16 issued by my employer. Can I claim them in my return?

Yes, it can be claimed if you are otherwise eligible to claim the same.

Why is return filing mandatory, even though all my taxes and interests have been paid and there is no refund due to me?

Amounts paid as advance tax and withheld in the form of TDS or collected in the form of TCS will take the character of your tax due only on completion of self-assessment of your income. This self-assessment is intimated to the Department by way of filing of the return of income. Only then the Government assumes rights over the taxes paid by you. Filing of return is critical for this process and, hence, has been made mandatory. Failure will attract levy of penalty.

Am I liable for any criminal prosecution [arrest/imprisonment, etc.] if I don't file my Income-tax return, even though my income is taxable?

Non-payment of tax attracts interests, penalty and prosecution. The prosecution can lead to rigorous imprisonment from 3 months to 2 years (when the tax sought to be evaded exceeds Rs. 25,00,000 the punishment could be 6 months to 7 years).

What is Form 26AS?

It is a form issued under Rule 114-I, wherein the following information related to taxpayer is published:

a) Information relating to TDS and TCS;

b) Information relating to Specified Financial Transactions (SFT);

c) Information relating to payment of taxes;

d) Information relating to demand and refund;

e) Information relating to pending proceedings;

f) Information relating to completed proceedings;

g) Information received from any officer, authority or body performing any functions under any law or information received under an agreement referred under section 90 or section 90A;

h) Relating to GST return;

i) Foreign remittance reported in Form 15CC;

j) Information in Annexure-II of the Form 24Q of the last quarter

k) Information in ITR of other taxpayer

l) Interest on Income Tax Refund;

m) Information in Form 61/61A where PAN could be populated;

n) Off Market Transactions Reported by Depository/Registrar and Transfer Agent (RTA);

o) Information about dividend reported by Registrar and Transfer Agent (RTA);

p) Information about purchase of mutual fund reported by Registrar and Transfer Agent (RTA); and

q) Information received from any other person to the extent it may be deemed fit in the interest of the revenue.

What precautions should be taken while filing the return of income?

The followings are the important steps/points/precautions to be kept in mind while filing the return of income:

1) The first and foremost precaution is to file the return of income on or before the due date. Taxpayers should avoid the practice of filing belated return. Following are the consequences of delay in filing the return of income/ Loss (other than house property loss):

a. Losses cannot be carried forward.

b. Levy of interest under section 234A.

c. Late filing fees under section 234F is levied for return filed after due date. Late filing fee of Rs. 5,000 shall be payable if return furnished after due date. However amount of late filing fees to be paid shall be Rs. 1,000, if total income does not exceed Rs. 5 Lakh.

d. Exemptions under section 10A, section 10B, are not available.

e. Deduction under 80-IA, 80-IAB, 80-IB, 80-IC , 80-ID and 80-IE, are not available.

f. Deduction under 80IAC, 80IBA, 80JJA, 80JJAA, 80LA, 80P, 80PA, 80QQB and 80RRB are not available. (From A.Y 2018-19)

2) Taxpayer should download Form 26AS and should confirm actual TDS/ TCS/Tax paid. If any discrepancy is observed then suitable action should be taken to reconcile it.

3) Compile and carefully study the documents to be used while filing the return of income like bank statement/passbook, interest certificate, investment proofs for which deductions is to be claimed, books of account and balance sheet and P&L A/c (if applicable), etc.

4) No documents are to be attached along with the return of income. The taxpayer should identify the correct return form applicable in his case. Carefully provide all the information in the return form. Confirm the calculation of total income, deductions (if any), interest (if any), tax liability/ refund, etc.

5) Ensure that other details like PAN, address, e-mail address, bank account details, etc., are correct.

6) After filling all the details in the return of income and after confirmation of all the details, one can proceed with filing the return of income. In case return is filed electronically without digital signature and without electronic verification code do not forget to post the acknowledgement of filing the return of income at CPC Bangalore within 120 days of filing return of

income.

7) Taxpayer should check the Annual Information Statement (AIS) after login to e-filing account. AIS provides the information about the prepaid taxes and prescribed financial transactions entered into by the assessee during the relevant previous year. 8) For details on e-filing please log on to https://www.incometax.gov.in/iec/foportal

What is the eligibility for claiming rebate u/s 87A?

Following are the conditions for claiming rebate under section 87A:

- An assessee is a resident Individual
- Total Income does not exceed Rs. 5,00,000
- Maximum rebate allowed is 100% of Income tax or Rs. 12,500

Rebate under section 87A is not available to a non-resident individual, resident or non-resident HUF/AOP/BOI and company.

Further, a maximum rebate of Rs. 60,000 is allowed under section 87A from the amount of income tax on total income, which is chargeable to tax under section 115BAC(1A). However, this rebate is allowed if the total income of assessee chargeable to tax under section 115BAC(1A) is up to Rs. 12,00,000. [Applicable from AY 2025-26]

Furthermore, if the total income chargeable to tax exceeds Rs. 12,00,000 and the tax payable on such income exceeds the difference between the total income and Rs. 12,00,000, he can claim a rebate with marginal relief to the extent of the difference between the tax payable on such total income and the amount by which it exceeds Rs. 12,00,000. It is also provided that where resident individuals opt for Section 115BAC, the incomes chargeable to tax at special rates (for example, capital gains taxable under Section 111A, Section 112, etc.) shall be excluded.

Which ITR form is applicable for LIC agent ?

LIC agent can use ITR-3 as LIC agent receiving the commission from insurance company.

How to file return of income?

Return of income can be filed either in hard copy (Only ITR 1/4 in specified cases) at the local office of the Income-tax Department or can be electronically filed at https://www.incometax.gov.in/iec/foportal

ITR	Description	
ITR 1 (SAHAJ)	For individuals being a resident (other than not ordinarily resident) having total income upto Rs.50 lakh and long-term	PDF

	capital gains under section 112A up to Rs. 1.25 lakh, and agricultural income up to Rs. 5000.	
ITR 2	It is applicable to an individual and HUFs who is not eligible to file Form ITR 1 (SAHAJ) and who is not having any income under the head "Profits or gains of business or profession"	PDF
ITR 3	It is applicable to an individual or a Hindu Undivided Family who is carrying on a proprietory business or profession.	PDF
ITR 4	Also known as SUGAM is applicable to individuals or Hindu Undivided Family or partnership firm (other than limited liability partnership firm) who have opted for the presumptive taxation scheme of section 44AD/ 44ADA/44AE and having long-term capital gains under section 112A up to Rs. 1.25 lakh, an	PDF

View Previous Year Return Forms

Visit the below link for step by step guide for e-Filing of Income-tax return:

https://www.incometaxindia.gov.in/Pages/tax-services/file-income-tax-return.aspx

Can total deductions exceeds the Gross Total Income (GTI)?

Deductions provided under Chapter VIA of the Income tax Act, cannot exceed the Gross Total Income (GTI). Income here means all the income accumulated in the GTI and reduced by the incomes mentioned below.

- Long term Capital Gain (LTCG) under section 112 of the Act
- Long Term Capital Gain (LTCG) under section 112A of the Act
- Short Term Capital Gains (STCG) under section 111A of the Act
- Incomes referred to in sections 115A, 115AB, 115AC, 115AD, 115BBA and 115D
- Casual incomes like winnings from lotteries, horse races, etc., under section 58(4) of the Act.

Do I need to file the income-tax return even when I have paid all the taxes in advance?

Filing of Income-tax return for individaul is mandatory for every person whose income (before considering certain exemptions and deductions) exceed maximum exemption limit. With effect from Assessment Year 2020-21, it is mandatory for every person, who is not required to furnish return of income under any other provision of section 139(1), to file return of income if during the previous year he:

1. Has deposited an amount (or aggregate of amount) in excess of Rs. 1 crore in one or more current account maintained with a bank or a co-operative bank.

2. Has incurred aggregate expenditure in excess of Rs. 2 lakh for himself or any other person for travel to a foreign country.

3. Has incurred aggregate expenditure in excess of Rs. 1 lakh towards payment of electricity bill.

4. Fulfils such other conditions as may be prescribed.

The CBDT vide notification No. 37/2022, dated 21-04-2022, has notified additional conditions under the seventh proviso to section 139(1) whereby return filing is made mandatory. These additional conditions are as follows:

1) If total sales, turnover or gross receipt of the business exceeds Rs. 60 lakh during the previous year; or

2) If total gross receipt of profession exceeds Rs. 10 lakh during the previous year; or

3) If the total of tax deducted and collected in case of a person during the previous year is Rs. 25,000 or more. The threshold limit shall be Rs. 50,000 in case of a resident individual of the age of 60 years or more; or

4) If the aggregate deposit in one or more savings bank accounts of the person is Rs. 50 lakhs or more during the previous year.

- Even when the advance taxes have been paid, the same need to be reported to the Department through Income-tax return filing procedure.
- This completes the self-assessment of income and taxes are computed on the same.
- Failure to file the income tax return will attract levy of penalty.
- Form 26AS reflects the taxes which have been reported by the third party to whom the taxes have been deposited or by whom the taxes have been deducted.
- Income-tax return helps in reconciling the records as submitted by assessee and as per Income-tax department records.
- Assessee claims refund.

FAQs on Tax Deducted at Source (TDS)

What is tax deducted at source?

For quick and efficient collection of taxes, the Income-tax Law has incorporated a system of deduction of tax at the point of generation of income. This system is called as “Tax Deducted at Source”, commonly known as TDS. Under this system tax is deducted at the origin of the income. Tax is deducted by the payer and is remitted to the Government by the payer on behalf of the payee.
The provisions of deduction of tax at source are applicable to several payments such as salary, interest, commission, brokerage, professional fees, royalty, contract payments, etc. In respect of payments to which the TDS provisions apply, the payer has to deduct tax at source on the payments made by him and he has to deposit the tax deducted by him to the

credit of the Government.

What are the payments covered under the TDS mechanism and the rates for deduction of tax at source?

Tax is deductible at source at the rates given in table (*infra*). If PAN of the deductee is not intimated to the deductor, tax will be deducted at source by virtue of section 206AA either at the rate given in the table or at the rate or rates in force or at the rate of 20 per cent, whichever is higher. Further, under section 94A(5), if payment or credit is made or given to a deductee who is located in a notified jurisdictional area, tax is deductible at the rate given in the table or at the rate of 30 per cent, whichever is higher. TDS rates for the financial year 2025-26 are as follows—

Rates for tax deduction at source*

[For Assessment year 2026-27]

Particulars	*TDS Rates (in %)*
1. In the case of a person other than a company	
1.1 where the person is resident in India-	
Section 192: Payment of salary	Normal Slab Rate
Section 192A: Payment of accumulated balance of provident fund which is taxable in the hands of an employee.	10
Section 193: Interest on securities	
a) any debentures or securities for money issued by or on behalf of any local authority or a corporation established by a Central, State or Provincial Act;	10
b) any debentures issued by a company where such debentures are listed on a recognised stock exchange in accordance with the Securities Contracts (Regulation) Act, 1956 (42 of 1956) and any rules made thereunder;	10
c) any security of the Central or State Government;	10
[i.e. 8% Savings (Taxable) Bonds, 2003 and 7.75% Saving (Taxable) Bonds, 2018, Floating Rate Savings Bonds, 2020 (Taxable) or any other notified security]	
d) interest on any other security	10
Section 194: Income by way of dividend	10

Section 194A: Income by way of interest other than "Interest on securities"	10
Section 194B: Income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort, or from gambling or betting of any form or nature whatsoever.	30
Section 194BA: Income by way of winnings from any online game	30
Section 194BB: Income by way of winnings from horse races	30
Section 194C: Payment to contractor/sub-contractor	
a) HUF/Individuals	1
b) Others	2
Section 194D: Insurance commission	5
Section 194DA: Payment in respect of life insurance policy w.e.f. 1/9/2019, the tax shall be deducted on the amount of income comprised in insurance pay-out	2
Section 194EE: Payment in respect of deposit under National Savings scheme	10
Section 194F: Payment on account of repurchase of unit by Mutual Fund or Unit Trust of India *Note: The provisions of this section are not applicable with effect from 01-10-2024*	20
Section 194G: Commission, etc., on sale of lottery tickets	2
Section 194H: Commission or brokerage	2
Section 194-I: Rent	
a) Plant & Machinery	2
b) Land or building or furniture or fitting	10

Section 194-IA: Payment on transfer of certain immovable property other than agricultural land	1
Section 194-IB: Payment of rent by individual or HUF not liable to tax audit	2
Section 194-IC: Payment of monetary consideration under Joint Development Agreements	10
Section 194J: Fees for professional or technical services:	2
i) sum paid or payable towards fees for technical services	2
ii) sum paid or payable towards royalty in the nature of consideration for sale, distribution or exhibition of cinematographic films;	10
iii) Any other sum	
Note: With effect from June 1, 2017 the rate of TDS would be 2% in case of payee engaged in business of operation of call center.	
Section 194K: Income in respect of units payable to resident person	10
Section 194LA: Payment of compensation on acquisition of certain immovable property	10
Section 194LBA(1): Business trust shall deduct tax while distributing, any interest received or receivable by it from a SPV or any income received from renting or leasing or letting out any real estate asset owned directly by it, to its unit holders.	10
Section 194LBB: Investment fund paying an income to a unit holder [other than income which is exempt under Section 10(23FBB)]	10
Section 194LBC: Income in respect of investment made in a securitisation trust (specified in *Explanation* of section 115TCA)	10

Section 194M: Payment of commission (not being insurance commission), brokerage, contractual fee, professional fee to a resident person by an Individual or a HUF who are not liable to deduct TDS under section 194C, 194H, or 194J. Tax shall be deducted under **Section 194M** with effect from 1/09/2019 when aggregate of sum credited or paid during a financial year exceeds Rs. 50 lakh.	5 *(till 30-09-2024)* 2 *(w.e.f 01-10-2024)*
Section 194N: Cash withdrawal during the previous year from one or more account maintained by a person with a banking company, co-operative society engaged in business of banking or a post office: i) in excess of Rs. 1 crore# ii) in excess of Rs. 20 lakhs* * for those persons who have not filed return of income (ITR) for three previous years immediately preceding the previous year in which cash is withdrawn, and the due date for filing ITR under section 139(1) has expired. The deduction of tax under this situation shall be at the rate of: a) 2% from the amount withdrawn in cash if the aggregate of the amount of withdrawal exceeds Rs. 20 lakhs during the previous year; or b) 5% from the amount withdrawn in cash if the aggregate of the amount of withdrawal exceeds Rs. 1 crore during the previous year. # The threshold limit of Rs. 1 crore is increased to Rs. 3 crores if the withdrawal of cash is made by co-operative society.	2 2/5
Section 194-O: Payment or credit of amount by the e-commerce operator to e-commerce participant	0.1
Section 194P: Deduction of tax by specified bank in case of senior citizen having age of 75 or more	Tax on total income as per rate in force
Section 194Q: Payment for purchase of goods of the aggregate value exceeding Rs. 50 lakhs Note: TDS is deductible on sum exceeding Rs. 50 lakhs	0.1
Section 194R: Deduction of tax in case any benefit or perquisite is provided and aggregate value of such benefit/perquisite exceeds Rs. 20,000 Note: Benefit or perquisite should be arising from business or the exercise of a profession by such	10

resident.

Section 194S: Payment on transfer of Virtual Digital Asset Note: No tax shall be deducted under this provision in the following circumstance: • If the consideration is payable by any person (other than a specified person) and its aggregate value does not exceed Rs. 10,000 during the financial year. • if the consideration is payable by a specified person and its aggregate value does not exceed Rs. 50,000 during the financial year. Specified person means: (a) An individual or a HUF, whose total sales, gross receipts or turnover does not exceed Rs. 1 crore in case of business or Rs. 50 lakhs in case of a profession, during the financial year immediately preceding the financial year in which virtual digital asset is transferred; (b) An individual or a HUF who does not have any income under the head profits and gains of business or profession.	1
Section 194T: Payments of any sum in the nature of salary, remuneration, commission, bonus or interest to a partner of the firm. Note: (1) This provision is effective from 01-04-2025 (2) No deduction if aggregate of such sum paid/ payable does not exceed Rs. 20,000 during the financial year.	10
Any Other Income	10

1.2 where the person is not resident in India*-

Section 192: Payment of Salary	Normal Slab Rate
Section 192A: Payment of accumulated balance of provident fund which is taxable in the hands of an employee.	10
Section 194B: Income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort or from gambling or betting of any form or nature whatsoever.	30

Section 194BA: Income by way of winnings from any online game	30
Section 194BB: Income by way of winnings from horse races	30
Section 194E: Payment to non-resident sportsmen/ sports association	20
Section 194EE: Payment in respect of deposits under National Savings Scheme	10
Section 194F:Payment on account of repurchase of unit by Mutual Fund or Unit Trust of India Note: The provisions of this section are not applicable with effect from 01-10-2024	20
Section 194G: Commission, etc., on sale of lottery tickets	2
Section 194LB: Payment of interest on infrastructure debt fund	5
Sec. 194LBA(2): Payment of the nature referred to in Section 10(23FC)(a)	5
Section 194LBA(2): Payment of the nature referred to in Section 10(23FC)(b)	10
Section 194LBA(3): Payment of the nature referred to in section 10(23FCA) by business trust to unit holders	30
Section 194LBB: Investment fund paying an income to a unit holder [other than income which is exempt under Section 10(23FBB)].	30
Section 194LBC: Income in respect of investment made in a securitisation trust (specified in *Explanation* of section 115TCA)	10
Section 194LC: Payment of interest by an Indian Company or a business trust in respect of money borrowed in foreign currency under a loan agreement or by way of issue of long-term bonds (including long-term infrastructure bond)	5 or 4* or 9** * In case where interest is payable in respect of Long-term Bond or Rupee Denominated Bond listed on recognised stock exchange located in IFSC ** Where money borrowed from a source outside India

	by issuing a long-term bond or rupee-denominated bond on or after 01-04-2023, which is listed only on a recognised stock exchange located in an IFSC
Section 194LD: Payment of interest on rupee denominated bond of an Indian Company or Government securities to a Foreign Institutional Investor or a Qualified Foreign Investor	5
Section 194N: Cash withdrawal during the previous year from one or more account maintained by a person with a banking company, co-operative society engaged in business of banking or a post office:	
i) in excess of Rs. 1 crore	2
ii) in excess of Rs. 20 lakhs*	2/5
* for those persons who have not filed return of income (ITR) for three previous years immediately preceding the previous year in which cash is withdrawn, and the due date for filing ITR under section 139(1) has expired. The deduction of tax under this situation shall be at the rate of: a) 2% from the amount withdrawn in cash if the aggregate of the amount of withdrawal exceeds Rs. 20 lakhs during the previous year; or b) 5% from the amount withdrawn in cash if the aggregate of the amount of withdrawal exceeds Rs. 1 crore during the previous year.	
Section 194T: Payments of any sum in the nature of salary, remuneration, commission, bonus or interest to a partner of the firm.	10
Note: (1) This provision is effective from 01-04-2025 (2) No deduction if aggregate of such sum paid/ payable does not exceed Rs. 20,000 during the financial year.	

Section 195: Payment of any other sum to a Non-resident

a) Income in respect of investment made by a Non-resident Indian Citizen	20
b) Income by way of long-term capital gains referred to in Section 115E in case of a Non-resident Indian Citizen, in respect of transfer which takes place:	12.5
c) Income by way of long-term capital gains referred to in sub-clause (iii) of clause (c) of sub-Section (1) of Section 112, in respect of transfer which takes place:	12.5
d) Income by way of long-term capital gains as referred to in Section 112A exceeding Rs. 1,25,000 in respect of transfer which takes place:	12.5
e) Income by way of short-term capital gains referred to in Section 111A in respect of transfer which takes place:	20
f) Any other income by way of long-term capital gains [not being long-term capital gains referred to in sections 10(33), 10(36)], in respect of transfer which takes place:	12.5
g) Income by way of dividend from a unit in International Financial Services Centre	10
h) Income by way of dividend [Other than (g)]	20
i) Income by way of interest payable by Government or an Indian concern on moneys borrowed or debt incurred by Government or the Indian concern in foreign currency (not being income by way of interest referred to in Section 194LB or Section 194LC)	20
j) Income by way of royalty payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern where such royalty is in consideration for the transfer of all or any rights (including the granting of a licence) in respect of copyright in any book on a subject referred to in the first proviso to sub-section (1A) of Section 115A of the Income-tax Act, to the Indian concern, or in respect of any computer software referred to in the second proviso to sub-section (1A) of Section 115A of the Income-	20

tax Act, to a person resident in India	
k) Income by way of royalty [not being royalty of the nature referred to point h) above] payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy	20
l) Income by way of fees for technical services payable by Government or an Indian concern in pursuance of an agreement made by it with the Government or the Indian concern and where such agreement is with an Indian concern, the agreement is approved by the Central Government or where it relates to a matter included in the industrial policy, for the time being in force, of the Government of India, the agreement is in accordance with that policy	20
m) Any other income	30
Section 196A: Income in respect of units of non-resident	20
Section 196B: Income from units referred to in section 115AB(1)(i)	10
Section 196B: Long-term capital gain on transfer of units referred to in section 115AB, in respect of transfer which takes place:	10 12.5
Section 196C: Income by way of interest or dividends in respect of bonds or GDR referred to in section 115AC	12.5
Section 196C: Long-term capital gain arising from transfer of bonds or GDR referred to in section 115AC, in respect of transfer which takes place:	10 12.5
Section 196D: Income of foreign Institutional Investors from securities (not being dividend or capital gain arising from such securities)	20
Note: Tax shall be deducted at the rate provided under DTAA if same is lower than the existing TDS rate of 20%.	

Section 196D(1A): Income in respect of securities referred to in section 115AD(1)(a) payable to specified fund [referred to in clause (c) of Explanation to section 10(4D)] Note: Since recipient of income is a specified fund, surcharge & health and education cess shall be nil.	10

2. In the case of a company-

2.1 where the company is a domestic company-

Section 193: Interest on securities

a) any debentures or securities for money issued by or on behalf of any local authority or a corporation established by a Central, State or Provincial Act;	10
b) any debentures issued by a company where such debentures are listed on a recognised stock exchange in accordance with the Securities Contracts (Regulation) Act, 1956 (42 of 1956) and any rules made thereunder;	10
c) any security of the Central or State Government; [i.e. 8% Saving (Taxable) Bonds, 2003 and 7.75% Saving (Taxable) Bonds, 2018, Floating Rate Savings Bonds, 2020 (Taxable) or any other notified security]	10
d) interest on any other security	10
Section 194: Dividend	10
Section 194A: Income by way of interest other than "Interest on securities"	10
Section 194B: Income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort or from gambling or betting of any form or nature whatsoever.	30
Section 194BA: Income by way of winnings from any online game	30
Section 194BB: Income by way of winnings from horse races	30
Section 194C: Payment to contractor/sub-contractor	

a) HUF/Individuals	1
b) Others	2
Section 194D: Insurance commission	10
Section 194DA: Payment in respect of life insurance policy w.e.f. 1/9/2019, the tax shall be deducted on the amount of income comprised in insurance pay-out	2
Section 194EE: Payment in respect of deposit under National Savings scheme	10
Section 194F: Payment on account of repurchase of unit by Mutual Fund or Unit Trust of India *Note: The provisions of this section are not applicable with effect from 01-10-2024*	20
Section 194G: Commission, etc., on sale of lottery tickets	2
Section 194H: Commission or brokerage	2
Section 194-I: Rent	
a) Plant & Machinery	2
b) Land or building or furniture or fitting	10
Section 194-IA:Payment on transfer of certain immovable property other than agricultural land	1
Section 194-IC:Payment of monetary consideration under Joint Development Agreements	10

Section 194J: Fees for professional or technical services:	2
i) sum paid or payable towards fees for technical services	2
ii) sum paid or payable towards royalty in the nature of consideration for sale, distribution or exhibition of cinematographic films;	10
iii) Any other sum	
Note: With effect from June 1, 2017 the rate of TDS would be 2% in case of payee engaged in business of operation of call center.	
Section 194K : Income in respect of units payable to resident person	10
Section 194LA: Payment of compensation on acquisition of certain immovable property	10
Section 194LBA(1): Business trust shall deduct tax while distributing, any interest received or receivable by it from a SPV or any income received from renting or leasing or letting out any real estate asset owned directly by it, to its unit holders.	10
Section 194LBB: Investment fund paying an income to a unit holder [other than income which is exempt under Section 10(23FBB)] .	10
Section 194LBC: Income in respect of investment made in a securitisation trust (specified in *Explanation* of section 115TCA)	10
Section 194M: Payment of commission (not being insurance commission), brokerage, contractual fee, professional fee to a resident person by an Individual or a HUF who are not liable to deduct TDS under section 194C, 194H, or 194J.	2
Tax shall be deducted under Section 194M with effect from 1/09/2019 when aggregate of sum credited or paid during a financial year exceeds Rs. 50 lakh.	
Section 194N: Cash withdrawal during the previous year from one or more account maintained by a person with a banking company, co-operative society engaged in business of banking or a post office:	2
i) in excess of Rs. 1 crore	2/5
ii) in excess of Rs. 20 lakhs*	
* for those persons who have not filed return of	

income (ITR) for three previous years immediately preceding the previous year in which cash is withdrawn, and the due date for filing ITR under section 139(1) has expired. The deduction of tax under this situation shall be at the rate of: a) 2% from the amount withdrawn in cash if the aggregate of the amount of withdrawal exceeds Rs. 20 lakhs but not exceeding Rs. 1 crore during the previous year; or b) 5% from the amount withdrawn in cash if the aggregate of the amount of withdrawal exceeds Rs. 1 crore during the previous year.	
Section 194-O: Payment or credit of amount by the e-commerce operator to e-commerce participant	0.1
Section 194P: Deduction of tax by specified bank in case of senior citizen having age of 75 or more	Tax on total income as per rate in force
Section 194Q: Payment to resident for purchase of goods of the aggregate value exceeding Rs. 50 lakhs Note: TDS is deductible on sum exceeding Rs. 50 lakhs	0.1
Section 194R: Deduction of tax in case any benefit or perquisite is provided and aggregate value of such benefit/perquisite exceeds Rs. 20,000 Note: Benefit or perquisite should be arising from business or the exercise of a profession by such resident.	10
Section 194S: Payment on transfer of Virtual Digital Asset Note: No tax shall be deducted under this provision in the following circumstance: • If the consideration is payable by any person (other than a specified person) and its aggregate value does not exceed Rs. 10,000 during the financial year. • if the consideration is payable by a specified person and its aggregate value does not exceed Rs. 50,000 during the financial year. Specified person means: (a) An individual or a HUF, whose total sales, gross receipts or turnover does not exceed Rs. 1 crore in case of business or Rs. 50 lakhs in case of a profession, during the financial year immediately preceding the financial year in which virtual digital	1

asset is transferred; (b) An individual or a HUF who does not have any income under the head profits and gains of business or profession.	
Any Other Income	10
2.2 where the company is not a domestic company*-	
Section 194B: Income by way of winnings from lotteries, crossword puzzles, card games and other games of any sort or from gambling or betting of any form or nature whatsoever.	30
Section 194BA: Income by way of winnings from any online game	30
Section 194BB: Income by way of winnings from horse races	30
Section 194E: Payment to non-resident sports association	20
Section 194G: Commission, etc., on sale of lottery tickets	2
Section 194LB: Payment of interest on infrastructure debt fund	5
Section 194LBA(2): - Payment of the nature referred to in Section 10(23FC)(a)	5
Section 194LBA(2): Payment of the nature referred to in Section 10(23FC)(b)	10
Section 194LBA(3): Business trust shall deduct tax while distributing any income received from renting or leasing or letting out any real estate asset owned directly by it to its unit holders.	35
Section 194LBB: Investment fund paying an income to a unit holder [other than income which is exempt under Section 10(23FBB)].	35
Section 194LBC: Income in respect of investment made in a securitisation trust (specified in *Explanation* of section 115TCA)	35

Section 194LC: Payment of interest by an Indian Company or a business trust in respect of money borrowed in foreign currency under a loan agreement or by way of issue of long-term bonds (including long-term infrastructure bond)	5 or 4* or 9** * In case where interest is payable in respect of Long-term Bond or Rupee Denominated Bond listed on recognised stock exchange located in IFSC ** Where money borrowed from a source outside India by issuing a long-term bond or rupee-denominated bond on or after 01-04-2023, which is listed only on a recognised stock exchange

Is there any minimum amount upto which tax is not deducted?

FAQs on Salary Income

What is considered as salary income?

Section 17 of the Income-tax Act defines the term 'salary'. However, not going into the technical definition, generally whatever is received by an employee from an employer in cash, kind or as a facility [perquisite] is considered as salary.

What are allowances?

Allowances are fixed periodic amounts, apart from salary, which are paid by an employer for the purpose of meeting some particular requirements of the employee. E.g., Tiffin allowance, transport allowance, uniform allowance, etc.

There are generally three types of allowances for the purpose of the Income-tax Act - taxable allowances, fully exempted allowances and partially exempted allowances.

Perquisites are benefits received by a person as a result of his/her official position and are over and above the salary or wages. These perquisites can be taxable or non-taxable depending upon their nature. Uniform allowance is exempt to the extent of expenditure incurred for official purposes u/s 10

(14).

My employer reimburses to me all my expenses on grocery and children's education. Would these be considered as my income?

Yes, these are in the nature of perquisites and should be valued as per the rules prescribed in this behalf.

During the year I had worked with three different employers and none of them deducted any tax from salary paid to me. If all these amounts are clubbed together, my income will exceed the basic exemption limit. Do I have to pay taxes on my own?

Yes, you will have to pay self-assessment tax and file the return of income.

Even if no taxes have been deducted from salary, is there any need for my employer to issue Form-16 to me?

Form-16 is a certificate of TDS. In your case it will not apply. However, your employer can issue a salary statement.

Is pension income taxed as salary income?

Yes. However, pension received from the United Nations Organisation is exempt.

Is Family pension taxed as salary income?

No, it is taxable as income from other sources.

If I receive my pension through a bank who will issue Form-16 or pension statement to me- the bank or my former employer?

The bank.

Are retirement benefits like PF and Gratuity taxable?

In the hands of a Government employee Gratuity and PF receipts on retirement are exempt from tax. In the hands of non-Government employee, gratuity is exempt subject to the limits prescribed in this regard and PF receipts are exempt from tax, if the same are received from a recognised PF after rendering continuous service of not less than 5 years.

No exemption shall be available for the interest income accrued during the previous year in the recognised and statutory provident fund to the extent it relates to the contribution made by the employees over Rs. 2,50,000 in the previous year.

However, if an employee is contributing to the fund but there is no contribution to such fund by the employer, then the interest income accrued during the previous year shall be taxable to the extent it relates to the contribution made by the employee to that fund in excess of Rs. 5,00,000 in a financial year.

The CBDT vide notification no 95/2021, dated 31-08-2021, has notified Rule 9D for calculation of taxable interest relating to contribution in a provident fund or recognised provided fund, exceeding above specified limit.

Are arrears of salary taxable?

Yes. However, the benefit of spread over of income to the years to which it relates to can be availed for lower incidence of tax. This is called as relief u/s 89 of the Income-tax Act.

Can my employer consider relief u/s 89 for the purposes of calculating the TDS from salary?

Yes, if you are a Government employee or an employee of a PSU or company or co-operative society or local authority or university or institution or association or body. In such a case you need to furnish Form No. 10E to your employer.

My income from let out house property is negative. Can I ask my employer to consider this loss against my salary income while computing the TDS on my salary?

Yes but only to the extent of Rs. 2 lakh, however, losses other than losses under the head 'Income from house property' cannot be set-off while determining the TDS from salary.

Is leave encashment taxable as salary?

It is taxable if received while in service. Leave encashment received at the time of retirement is exempt in the hands of the Government employee. In the hands of non-Government employee leave encashment will be exempt subject to the limit prescribed in this behalf under the Income-tax Law.

Are receipts from life insurance policies on maturity along with bonus taxable?

As per section 10(10D), any amount received under a life insurance policy, including bonus is exempt from tax. However, following receipts would be subject to tax:

(A) Any sum received under sub-section (3) of section 80DD; or

(B)Any sum received under Keyman insurance policy; or

(C)Any sum received in respect of policies issued on or after April 1st, 2003, in respect of which the amount of premium paid on such policy in any financial year exceeds 20% (10% in respect of policy taken on or after 1st April, 2012) of the actual capital sum assured; or

(D)Any sum received for insurance on life of *specified person (issued on or after April 1st 2013) in respect of which the amount of premium exceeds 15% of the actual capital sum assured.

* Any person who is –

i) A person with disability or severe disability specified under section 80U; or

ii) suffering from disease or ailment as specified in the rule made under section 80DDB.

(E) Any sum received from an life insurance policy (other than a unit linked

insurance policy issued on or after 01-04-2024 if the amount of premium payable for any previous years during the term of policy exceeds Rs. 5 lakh.

Following points should be noted in this regard:

- Exemption is available only in respect of amount received from life insurance policy.
- Exemption under section 10(10D) is unconditionally available in respect of sum received for a policy which is issued on or before March 31, 2003.
- Amount received on the death of the person will continue to be exempt without any condition along with the life insurance policy issued by IFSC insurance office including the amount given as bonus.

What is the taxability of ex-gratia received from employer?

If a person or his heir receives *ex-gratia* from Central govt/state govt/ local authority/Public Sector Undertaking due to injury to the person/death **while on duty** such ex-gratia payment will not be taxable.

Where is House Rent allowance (HRA) to be reflected while filing income-tax return (ITR)?

The amount of HRA is required to be disclosed in the ITR under the column allowances to the extent exempt under section 10. section 10(3A) is the relevant section under which the amount of exempt HRA to be shown.

What is the taxability of House Rent allowance (HRA)?

Least/minimum of the following is exempt (Not taxable/deducted from total HRA received)

(a) Actual amount of HRA received

(b) Rent paid Less 10% of salary

(c) 50% of salary if rented accomandation is situated at Kolkata, Chennai, Mumbai and Delhi

or

40 % of salary if the rented accomadation is situated at other than Kolkata, Chennai, Mumbai and Delhi.

In case of no rent is paid then exemption will be zero.

Click here to calculate taxability of House Rent Allowance

What is the taxability of Fixed Medical allowance?

Medical allowance is a fixed allowance paid to the employees of a company on a monthly basis, irrespective of whether they submit the bills to substantiate the expenditure or not. It is fully taxable in the hands of employee.

What is the taxability of Conveyance allowance?

As per section 10(14) read with Rule 2BB Conveyance allowance is exempt to the extent of amount received or amount spent, whichever is less. For e.g., If amount received is Rs. 100 and amount spent is Rs. 80, then only Rs. 20 is taxable. However, if amount actually spent is Rs. 100; then nothing is taxable.

Is standard deduction applicable to all the salaried person whether he is an employee of Central or State Government?

The standard deduction is allowed while computing income chargeable under the head salaries. It is available to all class of employees irrespective of the nature of employer. Standard Deduction is also available to pensioners. Amount of Standard Deduction is Rs. 50,000 or amount of salary/pension, whichever is lower.

Note 1: The standard deduction under section 16(ia) is available only for Pension Chargeable under the head "Income under the head Salaries" and not for Pension chargeable under "Income from Other Sources".

Note 2: The standard deduction for employees paying tax under the new tax regime under section 115BAC(1A)(iii) is increased from Rs. 50,000 to Rs. 75,000 for Assessment Year 2025-26.

Is transport allowance can be claimed as exemption by an employee?

Exemption of transport allowance of Rs. 1600 p.m granted to an employee is discontinued with effect from A.Y 2019-20.
However, exemption of transport allowance of Rs. 3200 p.m granted to an employee who is blind or deaf and dumb or orthopaedically handicapped is still available.

Is standard deduction applicable to family pensioners?

Section 16(ia) has been introduced by Finance Act, 2018 for class of person whose income is chargeable to tax under head salary. Family Pension is taxable under the head income from other sources. Hence standard deduction is not applicable in case of Family Pension.

Mr. X having Gross Salary of Rs. 7,00,000 during the previous year 2024-25. Compute the standard deduction allowable to him?

Standard deduction is allowable to the extent of :
a) Rs. 50,000 or
b) Amount of Salary, whichever is lower

In this case standard deduction of Rs. 50,000 is allowable to Mr.X.
However, a higher standard deduction of Rs. 75,000 is available if Mr. X chooses the default tax regime available under section 115BAC.

What is Form 12BB?

As per RULE - Rule 26C of the Income Tax Rules - Form No. 12BB is required to be furnished by an employee to his employer for estimating his income or computing the tax deduction at source.
An assessee shall furnish evidence or particulars of the claims, such as House Rent Allowance, Leave Travel concession, Deduction of Interest under the head " Income from house property" and deductions under Chapter-VIA in Form No. 12BB for estimating his income or computing the

tax deduction at source.

When relief under section 89 of the Income Tax Act is available?

Relief under section 89 is available to an individual if he has received

- Salary or family pension in arrears or in advance [Rule 21A (2)]
- Gratuity in excess of exemption under section 10(10)(ii)/(iii) [Rule 21A(3)]
- Compensation on termination of employment [Rule 21A(4)]
- Commuted pension in excess of exemption under section 10(10A)(i) [Rule 21A(5)]

  In case of payment received other than above CBDT can allow relief under section 89 after examining each individual case. [Rule 21A (6)]

What is the effective date of enhancement of limit of gratuity from Rs 10 lakh to 20 lakh for purpose of tax exemption computation under section 10(10)(ii)?

The exemption limit under section 10(10)(ii) for the employees, who are covered under Payment of Gratuity Act, 1972, has been enhanced from Rs. 10,00,000 to Rs. 20,00,000 vide notification S.O. 1420 (E) dated 29 March 2018 notified by Ministry of Labour and Employment. The exemption limit under section 10(10)(iii) for the employees, who are not covered under the Payment of Gratuity Act, 1972, is Rs. 20,00,000 as enhanced by Notification No. SO 1213(E), dated 08-03-2019.

FAQs on Income from house property

Is rental income from sub-letting chargeable to tax under the head “Income from house property”?

Rental income in the hands of owner is charged to tax under the head “Income from house property”. Rental income of a person other than the owner cannot be charged to tax under the head “Income from house property”. Hence, rental income received by a tenant from sub-letting cannot be charged to tax under the head “Income from house property”. Such income is taxable under the head “Income from other sources” or profits and gains from business or profession, as the case may be.

Whether rental income could be charged to tax in the hands of a person who is not a registered owner of the property?

Rental income from property is charged to tax under the head "Income from house property in the hands of the owner of the property". If a person receiving the rent is not the owner of the property, then rental income is not charged to tax under the head "Income from house property" (*E.g.* Rent received by tenant from sub-letting). In the following cases a person may not be the registered owner of the property, but he will be treated as the owner (*i.e.,* deemed owner) of the property and rental income from property will be charged to tax in his hands:

(1) If an individual transfers his or her house property to his/her spouse (not being a transfer in connection with an agreement to live apart) or to his/her

minor child (not being married daughter) without adequate consideration, then the transferor will be deemed as owner of the property.

(2) Holder of impartible estate is deemed as the owner of the property comprised in the estate

(3) A member of co-operative society, company or other association of persons to whom a building (or part of it) is allotted or leased under house building scheme of the society, company or association, as the case may be, is treated as deemed owner of the property.

(4) A person acquiring property by satisfying the conditions of section 53A of the Transfer of Property Act, will be treated as deemed owner (although he may not be the registered owner). Section 53A of said Act prescribes following conditions:

(*a*) There must be an agreement in writing.

(*b*) The purchase consideration is paid or the purchaser is willing to pay it.

(*c*) Purchaser has taken the possession of the property in pursuance of the agreement.

(5) In case of lease of a property for a period exceeding 12 years (whether originally fixed or provision for extension exists), lessee is deemed to be the owner of the property. However, any right by way of lease from month-to-month or for a period not exceeding one year is not covered by this provision.

Under which head is the rental income from a shop charged to tax?

To tax the rental income under the head “Income from house property”, the rented property should be building or land appurtenant thereto. Shop being a building, rental income will be charged to tax under the head “Income from house property”.

What is the tax treatment of composite rent when the composite rent pertains to letting of building along with other assets?

Composite rent includes rent of building and rent towards other assets or facilities. The tax treatment of composite rent is as follows:-
(a) In a case where letting out of building and letting out of other assets are inseparable (i.e., both the lettings are composite and not separable, e.g., letting of equipped theatre), entire rent (i.e. composite rent) will be charged to tax under the head “Profits and gains of business and profession” or “Income from other sources”, as the case may be. Nothing is charged to tax under the head “Income from house property”..
(b) In a case where, letting out of building and letting out of other assets are separable (i.e., both the lettings are separable, e.g., letting out of refrigerator along with residential bungalow), rent of building will be charged to tax under the head “Income from house property” and rent of other assets will be charged to tax under the head “Profits and gains of business and profession” or “Income from other sources”, as the case may be. This rule is applicable, even if the owner receives composite rent for both the lettings. In other words, in such a case, the composite rent is to be allocated for letting out of building and for letting of other assets.

What is the tax treatment of composite rent when the composite rent pertains to letting out of building along with charges for provision of services?

In such a case, composite rent includes rent of building and charges for different services (like lift, watchman, water supply, etc.): In this situation, the composite rent is to be bifurcated and the sum attributable to the use of property will be charged to tax under the head “Income from house property” and charges for various services will be charged to tax under the head “Profits and gains of business and profession” or “Income from other sources” (as the case may be).

How to compute income from a property which is let out throughout the year?

Income chargeable to tax under the head "Income from house property" in the case of a let-out property is computed in the following manner:

Particulars	***Amount***
Gross annual value	XXXX
Less:- Municipal taxes paid during the year	XXXX
Net Annual Value (NAV)	XXXX
Less:- Deduction under section 24	
➢Deduction under section 24(a)) at 30% of NAV ➢Deduction under section 24(b)) on account of interest on borrowed capital	(XXXX) (XXXX)
Income from house property	XXXX

How to compute gross annual value of a property which is let-out throughout the year?

Gross annual value of a property which is let-out throughout the year is determined in the following manner :

Step 1: Compute reasonable expected rent of the property (for details refer to FAQ on computation of reasonable expected rent).

Step 2: Compute actual rent of the property (for details refer to FAQ on computation of actual rent).

Step 3: Compute gross annual value (Gross annual value will be higher of amount computed at step 1 or step 2).

How to compute reasonable expected rent while computing gross annual value of a property which is let-out throughout the year. ?

Reasonable expected rent will be higher of the following:

- Municipal value of the property (Note 1); or
- Fair rent of the property (Note 2).

If a property is covered under Rent Control Act, then the reasonable expected rent cannot exceed standard rent (Note 3).

Note 1: Meaning of Municipal Value

For collection of municipal taxes, local authorities make periodic survey of all buildings in their jurisdiction. Such value determined by the municipal authorities in respect of a property, is called as municipal value of the property.

Note 2: Meaning of Fair Rent

It is the reasonable expected rent which the property can fetch. It can be determined on the basis of rent fetched by a similar property in the same or similar locality.

Note 3: Meaning of Standard Rent

It is the maximum rent which a person can legally recover from his tenant under the Rent Control Act. Standard rent is applicable only in case of properties covered under Rent Control Act**.**

How to compute actual rent while computing gross annual value of a property which is let-out throughout the year?

Actual rent means the rent for which the property is let out during the year. While computing actual rent, rent pertaining to vacancy period is not to be deducted. However, unrealised rent (*) is to be deducted from actual rent if conditions specified in this regard are satisfied.

(*) Unrealised rent is the rent of the property which the owner of the property could not recover from the tenant, *i.e.,* rent not paid by the tenant. If following conditions are satisfied, then unrealised rent is to be deducted from actual rent of the year:

➢ The tenancy is *bona fide.*

➢ The defaulting tenant has vacated the property, or steps have been taken to compel him to vacate the property.

➢ The defaulting tenant is not in occupation of any other property of the taxpayer.

➢ The taxpayer has taken all steps to recover such amount, including legal proceedings or he satisfies the Assessing Officer that legal proceedings would be useless.

How to compute gross annual value of a property which is let-out throughout the year?

The steps involved in computation of gross annual value of a property which is let-out throughout the year are already discussed earlier, hence, we will take an illustration for better understanding.

Illustration

From the following information provided by Mr. Raja in respect of 3 properties rented out by him compute the gross annual value of all the properties.

Particulars	***Property A (Rs.)***	***Property B (Rs.)***	***Property C (Rs.)***
Municipal Value	8,48,484	8,48,484	2,52,252
Fair Rent	2,52,252	2,52,252	8,48,484
Standard Rent	Not Applicable	84,252	9,84,000
Actual rent for the entire year	9,60,000	60,000	9,60,000
Unrealised rent **(*)**	1,60,000	NIL	80,000

(*) All the conditions specified for deduction of unrealised rent are satisfied.

**

Gross annual value will be computed as follows:

Step 1: Compute reasonable expected rent of the property.

Step 2: Compute actual rent of the property.

Step 3: Compute gross annual value.

Based on these steps the computation will be as follows

Particulars	***Property A (Rs.)***	***Property B (Rs.)***	***Property C (Rs.)***
Amount at Step 1 (Note 1)	8,48,484	84,252	8,48,484
Amount at Step 2 (Note 2)	8,00,000	60,000	8,80,000
Amount at Step 3, *i.e.,* Gross annual value (Note 3)	8,48,484	84,252	8,80,000

Note 1: Amount at Step 1 (,*i.e.,* Reasonable expected rent) is higher of municipal value or fair rent (subject to standard rent).

Note 2: Amount at Step 2 is actual rent after deducting unrealised rent., *i.e.,* Rs. 8,00,000 (9,60,000 – Rs. 1,60,000) in case of property A, Rs. 60,000 in case of property B and Rs. 8,80,000 (Rs. 9,60,000 – Rs. 80,000) in case of property C.

Note 3: Gross annual value will be higher of amount at Step 1 or Step 2.

How to compute the gross annual value in the case of a property which is vacant for some time during the year?

Where the property or any part of the property is let and was vacant during the whole or any part of the previous year and owing to such vacancy the actual rent received or receivable by the owner in respect thereof is less than the reasonable expected rent than the actual rent so received or receivable (as reduced by the vacant allowance) shall be considered to be the Gross Annual Value of the property.

While computing income chargeable to tax under the head “Income from house property” in the case of a let-out property, what are the expenses to be deducted from gross annual value?

While computing income chargeable to tax under the head "Income from house property" in the case of a let-out property, only following items can be claimed as deductions from gross annual value. In other words, deduction cannot be claimed for any expenditure incurred by the taxpayer other than following:

- Deduction on account of municipal taxes paid by the taxpayer during the year (*).
- Deduction under section 24(a) @ 30% of Net Annual Value.
- Deduction under section 24(b) on account of interest on capital borrowed for the purpose of purchase, construction, repair, renewal or reconstruction of the property.

(*) Only municipal taxes paid by the owner during the year can be deduced, hence, municipal taxes due but not paid during the year cannot be deducted or taxes borne by the tenant cannot be deducted.

Can interest paid on loans taken from friends and relatives be claimed as deduction while calculating house property income?

Yes, if the loan is taken for purchase, construction, repair, renewal or reconstruction of the house. If the loan is taken for personal or other purposes then the interest on such loan cannot be claimed as deduction.

While computing income chargeable to tax under the head “Income from house property” in the case of a let-out property, how much interest on housing loan can be claimed as deduction?

While computing income chargeable to tax under the head "Income from house property" in case of a let-out property, the taxpayer can claim deduction under section 24(b) on account of interest on loan taken for the purpose of purchase, construction, repair, renewal or reconstruction of the property.

In case of a let-out property, there is no limit on the quantum of interest which can be claimed as deduction under section 24(b). However, in case of a self occupied property, limit is Rs. 2,00,000 or Rs. 30,000, as the case

may be.

What is pre-construction period?

While computing income chargeable to tax under the head "Income from house property" in case of a let-out property, the taxpayer can claim deduction under section 24(b) on account of interest on loan taken for the purpose of purchase, construction, repair, renewal or reconstruction of the property.

Deduction on account of interest is classified in two forms, *viz.,* interest pertaining to pre-construction period and interest pertaining to post-construction period.

Post-construction period interest is the interest pertaining to the relevant year (*i.e.,* the year for which income is being computed).

Pre-construction period is the period commencing from the date of borrowing of loan and ends on earlier of the following:

- Date of repayment of loan; or
- 31st March immediately prior to the date of completion of the construction/acquisition of the property.

Interest pertaining to pre-construction period is allowed as deduction in five equal annual instalments, commencing from the year in which the house property is acquired or constructed.

Thus, total deduction available to the taxpayer under section 24(b) on account of interest will be 1/5th of interest pertaining to pre-construction period (if any) + Interest pertaining to post construction period (if any).

My spouse and I jointly own a house in which both of us have invested equally out of independent sources. Can the rental income received be split up between us and taxed in the individual hands?

Yes, if the share of each co-owner is ascertainable.

What is self-occupied property?

A self-occupied property means a property which is occupied throughout the year by the taxpayer for his residence (also refer next FAQ).

How to compute income from self occupied property?

A self-occupied property means a property which is occupied throughout the year by the taxpayer for his residence. Income chargeable to tax under the head "Income from house property" in case of a self-occupied property is computed in following manner :

Particulars	***Amount***
Gross annual value	Nil

Less:- Municipal taxes paid during the year	Nil
Net Annual Value (NAV)	Nil
Less:- Deduction under section 24	
➢Deduction under section 24(a) @ 30% of NAV ➢Deduction under section 24(b) on account of interest on borrowed capital	Nil (XXXX)
Income from house property	XXXX

From the above computation it can be observed that "Income from house property" in the case of a self occupied property will be either Nil (if there is no interest on housing loan) or negative (*i.e.,* loss) to the extent of interest on housing loan. Deduction in respect of interest on housing loan in case of a self-occupied property cannot exceed Rs. 2,00,000 or Rs. 30,000, as the case may be (discussed later). Deduction of municipal taxes paid during the year will not be allowed in case of self occupied property.

Can a property not used for residence by the taxpayer be treated as self occupied property?

A self-occupied property means a property which is occupied throughout the year by the owner for his residence. Thus, a property not occupied by the owner for his residence cannot be treated as a self occupied property. However, there is one exception to this rule. If the following conditions are satisfied, then the property can be treated as self-occupied and the annual value of a property will be "Nil", even though the property is not occupied by the owner throughout the year for his residence :

(a) The taxpayer owns a property;

(b) Such property cannot actually be occupied by him due to any reason.

(c) The property mentioned in (a) above (or part thereof) is not actually let out at any time during the year;

(d) No other benefit is derived from such property.

What income is charged to tax under the head “Income from house property”?

Rental income from a property being building or land appurtenant thereto of which the taxpayer is owner is charged to tax under the head “Income from house property”.

What will be the tax implications if a person occupies more than one property for his residence? Can he treat all the properties as self occupied (SOP) and claim gross annual value (GAV) as Nil?

W.e.f. Assessment Year 2020-21, a person can claim two properties as self-accupied house property.

I own two houses. One is a farmhouse that I visit on weekends and the other is in the city that I use on weekdays. Is it correct to treat both these residences as self occupied?

W.e.f. Assessment 2020-21, a person can claim two properties as self-occupied house properties subject to certain conditions. Thus, from Assessment Year 2020-21 onwards only, both the houses can be treated as self-occupied properties subject to fulfilment of specified conditions.

I own three houses which are occupied by me and my family. Is there any tax implication for financial Year 2023-24?

Yes, as already mentioned in the earlier FAQ, w.e.f., Assessment Year 2020-21, a person can claim two properties as self-occupied house properties. Thus, any two of the house properties (as per your choice) shall be treated as self-occupied and the remaining property shall be treated as deemed let-out and will be taxed accordingly.

In case of a self-occupied property, how much of interest on housing loan can be claimed as deduction?

In the case of self-occupied property, deduction under section 24(b) cannot exceed Rs.2,00,000 or Rs. 30,000 (as the case may be). If all the following conditions are satisfied, then the limit in respect of interest on borrowed capital will be Rs.2,00,000:

➢ Capital is borrowed on or after 1-4-1999.

➢ Capital is borrowed for the purpose of acquisition or construction (*i.e.,* not for repair, renewal, reconstruction).

➢ Acquisition or construction is completed within 5 years from the end of the financial year in which the capital was borrowed.

➢ The person extending the loan certifies that such interest is payable in respect of the amount advanced for acquisition or construction of the house or as re-finance of the principal amount outstanding under an earlier loan taken for acquisition or construction of the property.

If any of the above condition is not satisfied, then the limit of Rs. 2,00,000 will be reduced to Rs. 30,000.

Deduction from Assessment Year 2017-18

As per Section 80EEof the Income-tax Act, deduction of up to Rs. 50,000 is allowed to an Individual towards interest on loan taken for acquisition of a residential house property. However, the deduction is allowed subject to following conditions:

The deduction under Section 80EE is allowed subject to following conditions:

(*a*) the loan should be sanctioned by the financial institution during the period beginning on the 01-04-2016 and ending on 31-03-2017;

(*b*) the amount of loan should not exceed Rs. 35 lakhs;

(*c*) the value of residential house property should not exceed Rs. 50 lakh; and

(*d*) the assessee should not own any residential house property on the date of sanction of loan.

Deduction from Assessment Year 2020-21

With an objective to provide an impetus to the 'Housing for all' initiative of the Government and to enable the home buyer to have low-cost funds at his disposal, the Finance (No. 2) Act, 2019 has inserted a new Section 80EEA under the Income-tax Act for those individuals who are not eligible to claim deduction under Section 80EE. An individual can claim deduction up to Rs. 150,000 under Section 80EEA subject to following conditions:

(*a*) Loan should be sanctioned by the financial institution during the period beginning on 01-04-2019 and ending on the 31-03-2022;

(*b*) Stamp duty value of residential house property should not exceed Rs. 45 lakhs;

(*c*) The assessee should not own any residential house property on the date of sanction of loan; and

(*d*) The assessee should not be eligible to claim deduction under Section 80EE.

Hence, an individual who does not meet the criteria of Section 80EE shall now be eligible to claim deduction under Section 80EEA of up to Rs. 150,000 in addition to deduction under section 24(b).

How to compute income from a property which is self-occupied for part of the year and let out for part of the year?

At times a property may be let-out for some time during the year and is self-occupied for the remaining period (*i.e.,* let-out as well as self occupied during the year). For the purpose of computation of income chargeable to tax under the head "Income from house property", such a property will be treated as let-out throughout the year and income will be computed accordingly.

However, while computing the taxable income in case of such a property, actual rent will be considered only for the let-out period.

How to compute income from a property, when part of the property is self-occupied and part is let-out?

A house property may consist of two or more independent units, one of which is self-occupied and the remaining are/are used for any other purpose (*i.e.,* let-out or used for own business). Income from such property will be computed in the following manner:

a) Part/unit which is occupied by the taxpayer for his residence throughout the year will be treated as an independent property and income from such a part/unit will be computed in the manner as discussed in case of a self-occupied property.

b) Part/unit which is let out will be treated as an independent property and income from such a part/unit will be computed in the manner as discussed in

case of let out property.

What is the tax of treatment of unrealised rent which is subsequently realised?

Any subsequent recovery of unrealized rent shall be deemed to be the income of taxpayer under the head “Income from house property” in the year in which such rent is realized (whether or not the assesse is the owner of that property in that year). It will be charged to tax after deducting a sum equal to 30% of unrealized rent.

I have 5 separate let out properties. Should I calculate the house property income separately for each individual property or by clubbing all the rental receipts in one calculation?

The calculation will have to be made separately for each of the properties.

What is the tax treatment of arrears of rent?

The amount received on account of arrears of rent (not charged to tax earlier) will be charged to tax after deducting a sum equal to 30% of such arrears. It is charged to tax in the year in which it is received. Such amount is charged to tax whether or not the taxpayer owns the property in the year of receipt.

FAQs on Tax on Presumptive Taxation Scheme

What is the meaning of presumptive taxation scheme?

As per sections 44AA of the Income-tax Act, 1961, a person engaged in business or profession is required to maintain regular books of account under certain circumstances. To give relief to small taxpayers from this tedious work, the Income-tax Act has framed the presumptive taxation scheme under sections 44AD, sections 44ADA, sections 44AE., Section 44BB and Section 44BBB

A person adopting the presumptive taxation scheme can declare income at a prescribed rate and, in turn, is relieved from tedious job of maintenance of books of account.

For small taxpayers, the Income-tax Act, 1961 has framed presumptive taxation schemes as given below:

- Section 44AD : Computation of income on estimated basis in the case of taxpayers [being a resident individual, resident Hindu undivided family or resident partnership firm (not being a limited liability firm] engaged in certain business subject to certain conditions.

- Section 44ADA : Computation of professional income on estimated basis for assessee being a resident in India and engaged in a profession referred to in section 44AA(1) subject to certain conditions.

- Section 44AE : Computation of income on estimated basis in the case of taxpayers (being an Individual, HUF, AOP, BOI, Firm, Company, Co-operative society or any other person may be resident or non-resident) engaged in the business of plying, leasing or hiring goods carriages, subject to certain conditions.

- Section 44B : Taxation of shipping profits derived by a person being a non-resident in India, subject to certain conditions.

- Section 44BB : Computation of taxable income of a person being a non-resident (may be an India citizen or a foreign citizen) from activities connected with exploration of mineral oils, subject to certain conditions.

- Section 44BBA : Computation of income in respect of foreign airlines, subject to certain conditions.

- Section 44BBB : Computation of profits and gains of foreign companies engaged in the business of civil construction, subject to certain conditions.

Who is eligible to take advantage of the presumptive taxation scheme of section 44AD?

The presumptive taxation scheme of section 44AD can be adopted by following persons :

1) Resident Individual

2) Resident Hindu Undivided Family

3) Resident Partnership Firm (not Limited Liability Partnership Firm)

In other words, the scheme cannot be adopted by a non-resident and by any person other than an individual, a HUF or a partnership firm (not Limited Liability Partnership Firm).

Further, this Scheme cannot be adopted by a person who has made any claim towards deductions under section 10A/10AA/10B/10BA or under sections 80HH to 80RRB in the relevant year.

Which businesses are not eligible for presumptive taxation scheme of section 44AD?

The scheme of section 44AD is designed to give relief to small taxpayers engaged in any business, except the following businesses:

- Business of plying, hiring or leasing goods carriages referred to in sections 44AE.
- A person who is carrying on any agency business.
- A person who is earning income in the nature of commission or brokerage
- Any business whose total turnover or gross receipts exceeds two crore rupees.

  However, if the amount of cash received during the previous year does not exceed 5% of the total turnover or gross receipt of such year then the threshold limit for total turnover or gross receipt shall be taken as Rs. 3,00,00,000 instead of Rs. 2,00,00,000. The receipts through the mode of cheque or a bank draft which is not an account payee, shall be considered a receipt in cash for this purpose. [Applicable w.e.f. Assessment Year 2024-25]

  Apart from above discussed businesses, a person carrying on profession

as referred to in section 44AA(1) is not eligible for presumptive taxation scheme under section 44AD.

Can an insurance agent adopt the presumptive taxation scheme of section 44AD?

A person who is earning income in the nature of commission or brokerage cannot adopt the presumptive taxation scheme of section 44AD. Insurance agents earn income by way of commission and, hence, they cannot adopt the presumptive taxation scheme of section 44AD.

Can a person engaged in a profession as prescribed under section 44AA(1) adopt the presumptive taxation scheme of section 44AD?

A person who is engaged in any profession as prescribed under section 44AA(1) cannot adopt the presumptive taxation scheme of section 44AD.

However, he can opt for presumptive taxation scheme under section 44ADA and declare 50% of gross receipts of profession as his presumptive income. Presumptive Scheme under section 44ADA is applicable only for resident assessee whose total gross receipts of profession do not exceed fifty lakh rupees.

Further, if the amount of cash received during the previous year does not exceed 5% of the total gross receipt of such year then the threshold limit for total gross receipt shall be taken as Rs. 75 lakhs instead of Rs. 50 lakhs. The receipts through the mode of cheque or a bank draft which is not an account payee, shall be considered a receipt in cash for this purpose. [Applicable w.e.f. Assessment Year 2024-25]

Can a person whose total turnover or gross receipts for the year exceed threshold limit adopt the presumptive taxation scheme of section 44AD?

The presumptive taxation scheme of section 44AD can be opted by the eligible persons if the total turnover or gross receipts from the business do not exceed the limit prescribed under section 44AB. In other words, if the total turnover or gross receipt of the business exceeds Rs. 2,00,00,000/3,00,00,000 then the scheme of section 44AD cannot be adopted.

What is the manner of computation of taxable business income under the normal provisions of the Income-tax Law, i.e., in case of a person not adopting the presumptive taxation scheme of section 44AD?

Generally, as per the Income-tax Law, the taxable business income of every person is computed as follows :

Particulars	***Amount***
Turnover or gross receipts from the business	XXXXX

Less : Expenses incurred in relation to earning of the income	(XXXXX)
Taxable Business Income	XXXXX

For the purpose of computing taxable business income in the above manner, the taxpayers have to maintain books of account of the business and income will be computed on the basis of the information revealed in the books of account.

What is the manner of computation of taxable business income in case of a person adopting the presumptive taxation scheme of section 44AD?

In case of a person adopting the provisions of section 44AD, income will be computed on presumptive basis, *i.e.,* @ 8% of the turnover or gross receipts of the eligible business for the year.

Income shall be calculated at rate of 6% in respect of total turnover or gross receipts which is received by an account payee cheque or draft or use of electronic clearing system or through such other electronic mode as may be prescribed.

In other words, in case of a person adopting the provisions of section 44AD, income will not be computed in normal manner as discussed in previous FAQ (*i.e.,* Turnover *less* Expense) but will be computed @ 8%/6% of the turnover.

Income at higher rate, *i.e.,* higher than 8% can be declared if the actual income is higher than 8%.

As per the presumptive taxation scheme of section 44AD, income of a taxpayer will be computed @ 8%/6% of the turnover or gross receipt and from such income can the taxpayer claim any further deductions?

Under the normal provisions of the Income-tax Law, taxable business income will be computed after allowing deduction in respect of expenses which are deductible as per the Income-tax Act and after disallowing expenses which are not deductible as per the Income-tax Act.

In case of a person who is opting for the presumptive taxation scheme of section 44AD, the provisions of allowance/disallowances as provided under the Income-tax Law will not apply and income computed at the presumptive rate of 8%/6% will be the final taxable income of the business covered under the presumptive taxation scheme and no further expenses will be allowed or disallowed. However, the assessee can claim deduction under chapter VI-A.

While computing income as per the provisions of section 44AD, separate deduction on account of depreciation is not available, however, the written down value of any asset used in such business shall be calculated as if depreciation as per section 32 is claimed and has been actually allowed.

If a person adopts the presumptive taxation scheme of section 44AD, then is he required to maintain books of account as per section 44AA?

Section 44AA deals with provisions relating to maintenance of books of account by a person engaged in business/profession. Thus, a person engaged in business/profession has to maintain books of account of his

business/profession according to the provisions of section 44AA.

In case of a person engaged in a business and opting for the presumptive taxation scheme of section 44AD, the provisions of section 44AA relating to maintenance of books of account will not apply. In other words, if a person adopts the provisions of section 44AD and declares income @ 8%/6% of the turnover, then he is not required to maintain the books of account as provided under section 44AA in respect of business covered under the presumptive taxation scheme of section 44AD.

If a person adopts the presumptive taxation scheme of section 44AD, then is he liable to pay advance tax in respect of income from business covered under section 44AD?

Any person opting for the presumptive taxation scheme under section 44AD is liable to pay whole amount of advance tax on or before 15th March of the previous year. If he fails to pay the advance tax by 15th march of previous year, he shall be liable to pay interest as per section 234B and section 234C.

Note: Any amount paid by way of advance tax on or before 31st day of March shall also be treated as advance tax paid during the financial year ending on that day.

If a person adopts the presumptive taxation scheme but he opts out from the scheme in any of the subsequent five years, then what are the consequences?

If a person opts for presumptive taxation scheme then he is also require to follow the same scheme for next 5 years. If he failed to do so, then presumptive taxation scheme will not be available for him for next 5 years. [For example, an assessee claims to be taxed on presumptive basis under Section 44AD for AY 2019-20. For AY 2020-21 and 2021-22 also he offers income on basis of presumptive taxation scheme. However, for AY 2022-23, he did not opt for presumptive taxation Scheme. In this case, he will not be eligible to claim benefit of presumptive taxation scheme for next five AYs, i.e. from AY 2023-24 to 2027-28.]

He is required to keep and maintain books of account and he is also liable for tax audit as per section 44AB from the AY in which he opts out from the presumptive taxation scheme. [If his total income exceeds maximum amount not chargeable to tax]

Who is eligible to take advantage of the presumptive taxation scheme of section 44ADA?

The presumptive taxation scheme of sections 44ADA can be adopted by a resident assessee being individual or HUF, carrying on specified profession whose gross receipts do not exceed fifty lakh rupees in a financial year. Following professions are specified profession:

1) Legal

2) Medical

3) Engineering or architectural

4) Accountancy

5) Technical consultancy

6) Interior decoration

7) Any other profession as notified by CBDT

What is the manner of computation of taxable income in case of a person adopting the presumptive taxation scheme of section 44ADA?

In case of a person adopting the provisions of sections 44ADA, income will be computed on presumptive basis, i.e. @ 50% of the total gross receipts of the profession. However such person can declare income higher than 50%.

In other words, in case of a person adopting the provisions of sections 44ADA, income will not be computed in normal manner but will be computed @50% of the gross receipts.

Can a person who adopts the presumptive taxation scheme of section 44ADA claim any further deduction of expenses after declaring profit @ 50% of gross receipts?

No, a person who adopts the presumptive taxation scheme is deemed to have claimed all deduction of expenses. Any further claim of deduction is not allowed after declaring profit @ 50%. However the assessee can claim deduction under chapter VI-A

If a person adopts the presumptive taxation scheme of section 44ADA, then is he liable to pay advance tax in respect of income from profession covered under section 44ADA?

Any person opting for the presumptive taxation scheme under sections 44ADA is liable to pay whole amount of advance tax on or before 15th March of the previous year. If he fails to pay the advance tax by 15th march of previous year, he shall be liable to pay interest as per sections 234B and section 234C.

Note: Any amount paid by way of advance tax on or before 31st day of March shall also be treated as advance tax paid during the financial year ending on that day.

If a person adopts the presumptive taxation scheme of section 44ADA, then he is required to maintain books of account as per section 44AA?

In case of a person engaged in a specified profession as referred in sections 44AA(1) and opts for presumptive taxation scheme of sections 44ADA, the provision of sections 44AA relating to maintenance of books of account will not apply. In other words, if a person opt for the provisions of sections 44ADA and declares income @50% of the gross receipts, then he is not required to maintain the books of account in respect of specified profession.

What provision will apply if a person opt for the presumptive taxation scheme of section 44ADA and declares his income from profession at lower rate (i.e. less than 50%)?

A person can declare income at lower rate (i.e. less than 50%), however, if he does so, and his income exceeds the maximum amount which is not chargeable to tax, then he is required to maintain the books of account as per the provisions of sections 44AA and has to get his accounts audited as per sections 44AB.

For whom the presumptive taxation scheme of section 44AE is designed?

The scheme of sections 44AE is available to the person who owns not more than ten goods carriages at any time during the previous year and who is engaged in the business of plying, hiring or leasing such goods carriages.

Who is eligible to take advantage of the presumptive taxation scheme of section 44AE and which business is eligible for the presumptive taxation scheme of section 44AE?

The provisions sections 44AE are applicable to every person (*i.e.*, an individual, HUF, firm, company, etc.).

The presumptive taxation scheme of sections 44AE can be adopted by a person who is engaged in the business of plying, hiring or leasing goods carriages and who does not own more than 10 goods vehicles at any time during the year.

Can a person who owns more than 10 goods vehicles adopt the presumptive taxation scheme of section 44AE?

The presumptive taxation scheme of sections 44AE can be adopted by a person who is engaged in the business of plying, hiring or leasinggoods carriages and who does not own more than 10 goods vehicles at any time during the year.

The important criterion of the scheme is the restriction of owning of not more than 10 goods vehicles at any time during the year. Thus, if a person owns more than 10 goods vehicles at any time during the year, then he cannot take advantage of this scheme.

As per the presumptive taxation scheme of section 44AE, income of a taxpayer will be computed at the rate of Rs. 7,500 per goods vehicle per month or Rs. 1000 per ton of gross vehicle weight per month and in such a case can the taxpayer claim any further

Under the normal provisions of the Income-tax Act, taxable business income will be computed after allowing deduction in respect of expenses which are deductible as per the Income-tax Act,1961 and after disallowing expenses which are not deductible as per the Income-tax Act, 1961.
In case of a person who is opting for the presumptive taxation scheme of sections 44AE, the provisions of allowance/disallowances as provided under the Income-tax Act,1961 will not apply and income computed at the presumptive rate :

a) Rs. 7,500 per month or part of the month for each goods carriage, during which the goods vehicle is owned by the assessee in the previous year. Part of the month would be considered as full month (not applicable from A.Y 2019-20)

If the actual income is higher than the presumptive rate, then such higher income can be declared if the taxpayer wants to declare as such.
b) Rs. 7,500 per month or part of the month for each goods carriage (other than heavy goods vehicle) / Rs. 1000 per ton of gross vehicle weight per month or part of the month in case of heavy goods vehicle, during which the goods vehicle is owned by the assessee, in the previous year or actual amount earned whichever is higher. Part of the month would be considered as full month. (Applicable from A.Y 2019-20)

Heavy goods vehicles means any goods carriage vehicle whose gross vehicle weight exceeds 12000 kilograms.

Income computed at the presumptive rate as specified above will be the final income and no further deduction shall be allowed under sections 30 to 38 including depreciation and unabsorbed depreciation. However, in case of taxpayer, being a partnership firm deduction can be claimed on account of remuneration and interest paid to partners (computed as per the Income-tax Act,1961).

While computing income as per the provisions of sections 44AE, separate deduction on account of depreciation is not available, however, the written down value of any asset used in such business shall be calculated as if depreciation as per sections 32 is claimed and has actually been allowed. However the assessee can claim deduction under chapter-VIA.

If a person adopts the presumptive taxation scheme of section 44AE, then is he required to maintain books of account as per section 44AA?

Section 44AA of the Income-tax Act, 1961 has provisions relating to maintenance of books of account by a person engaged in business/ profession. Thus, a person engaged in business/profession has to maintain books of account of his business according to the provisions of Section 44AA.

In case of a person opting for the presumptive taxation scheme of section 44AE, the provisions of Section 44AA relating to maintenance of books of account will not apply.

In other words, if a person adopts the provisions of section 44AE and declares his income as:
a) Rs. 7,500 per month or part of the month for each goods carriage, during which the goods vehicle is owned by the taxpayer, in the previous year. Part of the month would be considered as full month. (not applicable from A.Y 2019-20)
b) Rs. 7,500 per month or part of the month for each goods carriage (other than heavy goods vehicle) / Rs. 1000 per ton of gross vehicle weight per month or part of the month in case of heavy goods vehicle, during which the goods vehicle is owned by the taxpayer, in the previous year or actual amount earned whichever is higher. Part of the month would be considered as full month. (Applicable from A.Y 2019-20)

then he is not required to maintain the books of accounts under Section 44AA in respect of business covered under the presumptive taxation scheme of section 44AE.

If a person adopts the presumptive taxation scheme of section 44AE, then is he liable to pay advance tax in respect of income from business covered under section 44AE?

There is no concession as regards payment of advance tax in case of a person who is adopting the presumptive taxation scheme of section 44AE and, hence, he will be liable to pay advance tax even if he adopts the presumptive taxation scheme of section 44AE.

FAQs on Gifts received by an individual or HUF

Are monetary gifts received by an individual or Hindu Undivided Family (HUF) taxable?

If the following conditions are satisfied then any sum of money received (*i.e,* monetary gift may be received in cash, cheque, draft, etc.) by an individual/ HUF will be charged to tax (*):

- Sum of money received without consideration.
- The aggregate value of such sum of money received during the year exceeds Rs. 50,000.

(*) Refer next FAQ for situations in which sum of money received by an individual or HUF is not charged to tax, *i.e.,* monetary gift is not charged to tax.

Are there any cases in which sum of money received without consideration, i.e., monetary gift received by an individual or HUF is not charged to tax?

If any sum of money is received on or after 01/10/2009 by an Individual or HUF without any consideration and the aggregate value of which exceeds Rs. 50,000 during the previous year, then the whole of the aggregate value of such sum is chargeable to tax.

However, in the following cases nothing will be charged to tax in respect of any sum of money received by an Individual or HUF without any consideration if the same is received:

- from any relative or by a HUF from its members; or
- on the occasion of the marriage of the individual; or
- under a will/ by way of inheritance; or
- in contemplation of death of the payer or donor as the case may be; or
- from a local authority as defined under Explanation to clause (20) of section 10 of the Income-tax Act, 1961; or
- from any fund, foundation, university, other educational institution, hospital or other medical institution, any trust or institution referred to in section 10(23); [w.e.f. AY 2023-24, this exemption is not available if a sum of money is received by a specified person referred to in section 13(3)]. or
- by any fund, trust, institution, any university, other educational institution, any hospital, other medical institution referred to in sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) of clause (23C) of section 10; or (applicable if

the money is received on or after 1st day of April, 2017)

- from or by a trust or institution registered under section 12A, section 12AA or section 12AB [w.e.f. AY 2023-24, this exemption is not available if a sum of money is received by a specified person referred to in section 13(3)]. or; or
- by way of transaction not regarded as transfer under section 47(i)/(iv)/(v)/(vi)/(via)/ (viaa)/(vib)/ (vic)/ (vica)/ (vicb)/ (vid)/ (vii)
- from an Individual by a trust created or established solely for the benefit of relative of the Individual. (applicable if the money is received on or after 1st day of April, 2017)
- from such class of person's and subject to such conditions as may be prescribed.
- From any person, in respect of any expenditure actually incurred by individual on his medical treatment or treatment of any member of his family, for any illness related to COVID-19 (subject to such conditions as prescribed by Govt.).
- By a member of the family of a deceased person, if cause of death is illness related to COVID-19,:

- From the employer of the deceased person; or

- From any other person or persons to the extent that such sum doesn't exceed Rs. 10 lakh.

Note: The member must receive the payment within 12 months from the date of death of such person and satisfy the following conditions:

(a) the death of the individual should be within 6 months from the date of testing positive or from the date of being clinically determined as a COVID-19 case;

(b) the family member of such individual shall keep a record of the COVID-19 positive report or medical report if clinically determined to be COVID-19 positive through investigation in a hospital or in an in-patient-facility by a treating physician of a person so admitted;

(c) the family member of such individual shall keep a record of a medical report or death certificate issued by a medical practitioner or a Government civil registration office, in which it is stated that the death of the person is related to COVID-19.

(d) the family member furnished a Statement in Form A providing the details of amount received during the year. The statement shall be filed within 9 months from the end of financial year in which the amount is received or 31.12.2022, whichever is later.

Gifts received from relatives are exempt from tax. Who will be considered as relative for the purpose of claiming such exemption?

Gifts received from relatives are exempt from tax. by virtue of Section 56. Following persons would be considered as relative

(*a*) Spouse of the individual;

(*b*) Brother or sister of the individual;

(*c*) Brother or sister of the spouse of the individual;

(*d*) Brother or sister of either of the parents of the individual;

(*e*) Any lineal ascendant or descendent of the individual;

(*f*) Any lineal ascendant or descendent of the spouse of the individual;

(g) Spouse of the persons referred to in (b) to (f).

Who will be considered as a Family to receive any sum for treatment or on account of death of person due to any illness related to COVID-19?

In this case, the definition of 'Family' shall have the same meaning which has been defined under Explanation 1 to clause (5) of section 10. As per said explanation, family", in relation to an individual, means:

1. the spouse and children of the individual; and

2. the parents, brothers, and sisters of the individual or any of them, wholly or mainly dependent on the individual.

Apart from marriage are there any other occasions in which monetary gift received by an individual will not be charged to tax?

Gift received only on the occasion of marriage of the individual is not charged to tax. Apart from marriage there is no other occasion in which gift received by an individual is not charged to tax. Hence, gift received on occasions like birthday, anniversary, etc. will be charged to tax.

Are monetary gifts received from friends liable to tax?

Gifts received from relatives (as defined in the previous FAQ) are not charged to tax.

Friend is not a relative as defined in the list and hence, gift received from friends will be charged to tax (if other criteria of taxing gift are satisfied).

Are monetary gifts received from abroad liable to tax?

If the aggregate value of monetary gift received during the year by an individual or HUF exceeds Rs. 50,000 and the gifts are not covered under the exceptions prescribed in the preceding FAQ, then gifts whether received from India or abroad will be charged to tax.

An Individual received different gifts (cash) from his friends, none of the gift exceeded Rs. 50,000 but the total of the gifts received during the year exceeded Rs. 50,000. What will be the tax treatment in such a case?

Sum of money received without consideration by an individual or HUF is chargeable to tax if the aggregate value of such sum received during the year exceeds Rs. 50,000.

The important point to be noted in this regard is the "aggregate value of such sum received during the year". The taxability of the gift is determined on the basis of the aggregate value of gift received during the year and not on the basis of individual gift. Hence, if the aggregate value of gifts received during the year exceeds Rs. 50,000, then aggregate value of such gifts received during the year will be charged to tax.

If the aggregate value of gift received during the year by an individual or HUF exceeds Rs. 50,000, whether total amount of gift will be charged to tax or only the amount in excess of Rs. 50,000 will be charged to tax?

Sum of money received without consideration by an individual or HUF is charged to tax if the aggregate value of such sum received during the year exceeds Rs. 50,000. Once the aggregate value of monetary gift received during the year exceeds Rs. 50,000, then the aggregate value of gift received during the year will be charged to tax.

Are there any cases in which the value of immovable property received by an individual or HUF without consideration (i.e. by way of gift) is not charged to tax?

Stamp duty of immovable property is chargeable to tax, if immovable property is received by an Individual or HUF without any consideration and the stamp duty value exceeds Rs. 50000.

However, in the following cases nothing will be charged to tax in respect of immovable property received on or after 01/10/2009 without any consideration, even if the stamp duty value exceeds Rs. 50,000:

- from any relative or by a HUF from its members; or
- on the occasion of the marriage of the individual; or
- under a will/ by way of inheritance; or
- in contemplation of death of the payer or donor as the case may be; or
- from a local authority as defined under Explanation to clause (20) of section 10 of the Income-tax Act, 1961; or
- from any fund, foundation, university, other educational institution, hospital or other medical institution, any trust or institution referred to in section 10(*23C*); [w.e.f. AY 2023-24, this exemption is not available if property is received by a specified person referred to in section 13(3)].; or
- by any fund, trust, institution, any university, other educational institution, any hospital, other medical institution referred to in sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) of clause (23C) of section 10; or (applicable if the property is received on or after 1st day of April, 2017)
- from or by a trust or institution registered under section 12A, section 12AA or section 12AB [w.e.f. AY 2023-24, this exemption is not available if property is received by a specified person referred to in section 13(3)].; or
- by way of transaction not regarded as transfer: (applicable if the property is received on or after 1st day of April, 2017)
- property received by way of distribution at the time of total or partial partition of HUF [sec. 47(i)]
- property received by an Indian subsidiary company, if the parent company or its nominees hold the whole of the share capital of the subsidiary company [sec. 47(iv)] (Inserted by Finance Act, 2018 i.e. w.e.f 01.04.2018)
- property received by an Indian holding company, if the whole of the share capital of the subsidiary company is held by the holding company [sec. 47(v)] (Inserted by Finance Act, 2018 i.e. w.e.f 01.04.2018)
- property received by amalgamated company from amalgamating company in the scheme of amalgamation, if amalgamated company is an

Indian company. [sec. 47(vi)]

- property received by resulting company from demerged company in the scheme of demerger, if resulting company is an Indian company. [sec. 47(vib)]
- property received by a banking institution from banking company in a scheme of amalgamation of a banking company with a banking institution sanctioned and brought into force by the Central Government under sub-section (7) of section 45 of the Banking Regulation Act, 1949 (10 of 1949) [sec. 47(viaa)]
- property received by successor co-operative bank from predecessor co-operative bank in a business reorganisation. [sec. 47(vica)]
- from an Individual by a trust created or established solely for the benefit of relative of the Individual. (applicable if the property is received on or after 1st day of April, 2017)
- from such class of persons and subject to such conditions, as may be prescribed.
- From any person, in respect of any expenditure actually incurred by individual on his medical treatment or treatment of any member of his family, for any illness related to COVID-19 (subject to such conditions as prescribed by Govt.).
- By a member of the family of a deceased person, if cause of death is illness related to COVID-19,:

  - From the employer of the deceased person; or

  - From any other person or persons to the extent that such sum doesn't exceed Rs. 10 lakh.

Note: The member must receive the payment within 12 months from the date of death of such person and satisfy the following conditions:

(a) the death of the individual should be within 6 months from the date of testing positive or from the date of being clinically determined as a COVID-19 case;

(b) the family member of such individual shall keep a record of the COVID-19 positive report or medical report if clinically determined to be COVID-19 positive through investigation in a hospital or in an in-patient-facility by a treating physician of a person so admitted;

(c) the family member of such individual shall keep a record of a medical report or death certificate issued by a medical practitioner or a Government civil registration office, in which it is stated that the death of the person is related to COVID-19.

(d) the family member furnished a Statement in Form A providing the details of amount received during the year. The statement shall be filed within 9 months from the end of financial year in which the amount is received or 31.12.2022, whichever is later.

An individual received gift of three properties from his friend. The value of none of the property exceeded Rs. 50,000, but the aggregate value of these three properties exceeded Rs. 50,000. What will be the tax treatment of gift in this case?

In case of immovable property received without consideration by an individual or HUF, the limit of Rs. 50,000 is to be applied transaction-wise and all immovable properties received as gift during the year are not to be clubbed for applying the limit of Rs. 50,000. Hence, if the total stamp value of immovable properties received as gift during the year exceeds Rs. 50,000 but the stamp value of none of the property exceeds Rs. 50,000, then nothing will be charged to tax.

Are immovable properties received as gift from friends liable to tax?

Gifts received from relatives are not charged to tax. Relative for this purpose means:

(*a*) Spouse of the individual;

(*b*) Brother or sister of the individual;

(*c*) Brother or sister of the spouse of the individual;

(*d*) Brother or sister of either of the parents of the individual;

(*e*) Any lineal ascendant or descendent of the individual;

(*f*) Any lineal ascendant or descendent of the spouse of the individual;

(g) Spouse of the persons referred to in (b) to (f).

Friend is not a relative as defined in the above list and hence, gift received from friends will be charged to tax (if other criteria of taxing gift are satisfied).

An Individual received gift of a flat from his friend. The stamp duty value of the flat is Rs. 84,000. In this case whether the total value of gifted property will be charged to tax or only the value in excess of Rs. 50,000 will be charged to tax?

If the conditions discussed in earlier FAQ (regarding the taxability of gift of immovable property) are satisfied, then the entire value of immovable property received without consideration, i.e., received as gift will be charged to tax. Once the taxability is attracted, i.e., value of property received as gift exceeds Rs. 50,000 then the entire value of the property is chargeable to tax. Hence, in this case entire value of property, i.e., Rs. 84,000 will be charged to tax.

Would any taxability arise if an immovable property is received for less than its stamp duty value?

If an Individual or HUF receives (on or after 1st day of October, 2009 but before April 1, 2017) and any person receives (After April 1, 2017), in any previous year from any person or persons any immovable property(being land or building or both):

- without consideration, the stamp duty value of which exceeds Rs. 50,000 then the stamp duty value shall be chargeable to tax.
- for a consideration, if stamp duty value exceeds the amount of consideration and the difference between stamp duty value and consideration is more than Rs. 50,000, then such difference is chargeable to tax. (applicable from A.Y 2014-15 to A.Y 2018-19).
- for a consideration, if stamp duty value exceeds 110%* of the amount of

consideration and the difference between stamp duty value and consideration is more than Rs. 50,000, then such difference is chargeable to tax.

Provided that where the date of an agreement and date of registration are not same, Stamp Duty will be considered as applicable on the date of agreement. This will be applicable only when the amount of consideration is received by account-payee cheque or bank draft or online transfer or through such other electronic mode as my be precribed before the date of agreement.

Provided that if the stamp duty value of immovable property is disputed by the assessee on grounds mentioned in sub-section (2) of section 50C, the Assessing officer may refer the valuation of such property to a Valuation Officer, and the provisions of section 50C and sub-section (15) of section 155 shall apply in relation to stamp duty value of such property as they apply for valuation of a capital asset under those sections.

* To boost the demand in the real-estate sector and to enable the real-estate developers to sell their unsold inventory at a lower rate, the safe harbour limit is increased from existing 10% to 20% in case of transfer of residential property during the period from 12-11-2020 to 30-06-2021 by way of the first-time allotment to any person. Further, the consideration received or accruing as a result of such transfer should not exceed Rs. 2 crores

Are there any cases in which immovable property received by an individual or HUF for less than its stamp duty value is not charged to tax?

In the following cases nothing will be charged to tax in respect of immovable property received either for less than or more than its stamp duty value:

- from any relative or by a HUF from its members; or
- on the occasion of the marriage of the individual; or
- under a will/ by way of inheritance; or
- in contemplation of death of the payer or donor as the case may be; or
- from a local authority as defined under Explanation to clause (20) of section 10 of the Income-tax Act, 1961; or
- from any fund, foundation, university, other educational institution, hospital or other medical institution, any trust or institution referred to in section 10(*23C*); or
- by any fund, trust, institution, any university, other educational institution, any hospital, other medical institution referred to in sub-clause (iv) or sub-clause (v) or sub-clause (vi) or sub-clause (via) of clause (23C) of section 10; or (applicable if the property is received on or after 1st day of April, 2017)
- from a trust or institution registered under section 12AA ; or

- from a trust or institution registered under section 12A (applicable if the property is received on or after 1st day of April, 2017); orby way of transaction not regarded as transfer: (applicable if the property is received on or after 1st day of April, 2017)
  1. property received by way of distribution at the time of total or partial partition of HUF [sec. 47(i)]
  2. property received by an Indian subsidiary company, if the parent company or its nominees hold the whole of the share capital of the

subsidiary company [sec. 47(iv)] (Inserted by Finance Act, 2018 i.e. w.e.f 01.04.2018)

3. property received by an Indian holding company, if the whole of the share capital of the subsidiary company is held by the holding company [sec. 47(v)](Inserted by Finance Act, 2018 i.e. w.e.f 01.04.2018)
4. property received by amalgamated company from amalgamating company in the scheme of amalgamation, if amalgamated company is an Indian company. [sec. 47(vi)]
5. property received by resulting company from demerged company in the scheme of demerger, if resulting company is an Indian company. [sec. 47(vib)]
6. property received by a banking institution from banking companyin a scheme of amalgamation of a banking company with a banking institution sanctioned and brought into force by the Central Government under sub-section (7) of section 45 of the Banking Regulation Act, 1949 (10 of 1949) [sec. 47(viaa)]
7. property received by successor co-operative bank from predecessor co-operative bank in a business reorganisation. [sec. 47(vica)]

- from an Individual by a trust created or established solely for the benefit of relative of the Individual. (applicable if the property is received on or after 1st day of April, 2017)

Are gifts of movable property received by an individual or HUF charged to tax?

If the following conditions are satisfied then value prescribed for movable property (*) received by an individual or HUF will be charged to tax:

- Prescribed movable property is received without consideration (*i.e.,* received as gift).
- The aggregate fair market value of such property received by the taxpayer during the year exceeds Rs. 50,000

  In above case, the fair market value of the prescribed movable property will be treated as income of the receiver.

(*) Prescribed movable property means shares/securities, jewellery, archaeological collections, drawings, paintings, sculptures or any work of art and bullion, being capital asset of the taxpayer and includes Virtual Digital Asset (VDA).

Considering the above definition, nothing will be charged to tax in respect of gift of any item being a movable property other than covered in the above definition, ***e.g.,*** Nothing will be charged to tax in respect of a television set received as gift, because a television set is not covered in the definition of prescribed movable property.

($) Refer next FAQ for situations in which prescribed movable property received without consideration by an individual or HUF, *i.e.,* received as gift is not charged to tax.

An individual received gift of jewellery from his friends. The total value of jewellery received during the year as gift from all the friends amounted to Rs. 84,000. What will be the tax treatment of gift in this case?

If the aggregate fair market value of prescribed movable property received by an individual or HUF without consideration during the year exceeds Rs. 50,000, then the total value of such properties received during the year without consideration will be charged to tax. In this case the total value of jewellery received during the year exceeds Rs. 50,000 and hence, Rs. 84,000 will be charged to tax.

Does any taxability arise if prescribed movable property is received by an individual or HUF for less than its fair market value?

If the following conditions are satisfied then prescribed movable property (*) received by an individual or HUF will be charged to tax ***($)***:

- Prescribed movable property is acquired by an individual or HUF.
- The aggregate fair market value of such properties acquired by the taxpayer during the year exceeds the consideration of these properties by more than Rs. 50,000. In other words, the aggregate fair market value of all such properties is higher than the consideration and the difference is more than Rs. 50,000.

(*) Prescribed movable property means shares/securities, jewellery, archaeological collections, drawings, paintings, sculptures or any work of art bullion, being capital asset of the taxpayer.

Considering the above definition, nothing will be charged to tax if any movable property (other than those covered in the above definition) is received for less than its fair market value ***e.g.,*** Nothing will be charged to tax in respect of a television set received for less than its fair market value because a television set is not covered in the definition of prescribed movable property.

($) Refer next FAQ for situations in which prescribed movable property received for less than its fair market value is not charged to tax.

Are there any cases in which prescribed movable property received for less than its fair market value by an individual or HUF is not charged to tax?

If the conditions given in preceding FAQ are satisfied, then prescribed movable property received (*i.e.* acquired) by an individual or HUF for less than its fair market value is chargeable to tax. However, in the following cases nothing will be charged to tax in respect of prescribed movable property received for less than its fair market value:

- Property received from relatives (*).
- Property received by a HUF from its members.
- Property received on the occasion of the marriage of the individual.
- Property received under will/ by way of inheritance.
- Property received in contemplation of death of the donor.
- Property received from a local authority as defined under section 10(20)

of the Income-tax Act.

- Property received from any fund, foundation, university, other educational institution, hospital or other medical institution, any trust or institution referred to in section 10(23C) [w.e.f. AY 2023-24, this exemption is not available if property is received by a specified person referred to in section 13(3)].;.
- section 13(3) Property received from a trust or institution registered under section 12AA/ section 12AB or section 12A [w.e.f. AY 2023-24, this exemption is not available if property is received by a specified person referred to in section 13(3)].;.
- section 13(3) by way of transaction not regarded as transfer under section 47(i)/(iv)/(v)/(vi)/(via)/ (viaa)/(vib)/ (vic)/ (vica)/ (vicb)/ (vid)/ (vii).
- from an individual by a trust created or established solely for the benefit of relative of the individual.
- From such persons and subject to such conditions as may be prescribed.

***(*)** Relative for this purpose means:*

(*a*) Spouse of the individual;

(*b*) Brother or sister of the individual;

(*c*) Brother or sister of the spouse of the individual;

(*d*) Brother or sister of either of the parents of the individual;

(*e*) Any lineal ascendant or descendent of the individual;

(*f*) Any lineal ascendant or descendent of the spouse of the individual;

(g) Spouse of the persons referred to in (b) to (f).

FAQs on Capital Gains

What incomes are charged to tax under the head “Capital Gains”?

Any profit or gain arising from transfer of a capital asset during the year is charged to tax under the head “Capital Gains”.

What is the meaning of capital asset?

Capital asset is defined to include:

a) Property of any kind, held by an assessee, whether or not connected with his business or profession;

b) Any securities held by a FII which has invested in such securities in accordance with the SEBI Regulations;

c) Any securities held by a Category I or Category II AIF which has invested in such securities in accordance with the SEBI or IFSC Regulations;

d) Any unit linked insurance policy to which exemption under Section 10(10D) does not apply.

However, the following items are excluded from the definition of "capital asset":

- Any stock-in-trade, consumable stores, or raw materials held by a person

for the purpose of his business or profession.

E.g., Motor car for a motor car dealer or gold for a jewellery merchant, are their stock-in-trade and, hence, they are not capital assets for them.

- Personal effects of a person, that is to say, movable property including wearing apparels (*) and furniture held for personal use, by a person or for use by any member of his family dependent on him.

  (*) However, jewellery, archeological collections, drawings, paintings, sculptures, or any work of art are not treated as personal effects and, hence, are included in the definition of capital assets.

- Agricultural Land in India, not being a land situated:

* Within jurisdiction of municipality, notified area committee, town area committee, cantonment board and which has a population of not less than 10,000;

* Within range of following distance measured aerially from the local limits of any municipality or cantonment board:

* not being more than 2 KMs, if population of such area is more than 10,000 but not exceeding 1 lakh;

* not being more than 6 KMs , if population of such area is more than 1 lakh but not exceeding 10 lakhs; or

* not being more than 8 KMs , if population of such area is more than 10 lakhs.

Population is to be considered according to the figures of last preceding census of which relevant figures have been published before the first day of the year.

- 6½% Gold Bonds, 1977 or 7% Gold Bonds, 1980 or National Defence Gold Bonds, 1980 issued by the Central Government.
- Special Bearer Bonds, 1991, issued by the Central Government
- Gold Deposit Bonds issued under Gold Deposit Scheme, 1999.
- Deposit certificates issued under the Gold Monetisation Scheme, 2015.

Following points should be kept in mind :

- The property being capital asset may or may not be connected with the business or profession of the taxpayer. *E.g.* Bus used to carry passenger by a person engaged in the business of passenger transport will be his Capital asset.
- Any securities held by a Foreign Institutional Investor which has invested in such securities in accordance with the regulations made under the Securities and Exchange Board of India Act, 1992 will always be treated as capital asset, hence, such securities cannot be treated as stock-in-trade.

What is the meaning of the term ‘long-term capital asset’?

Long-term capital asset means a capital asset which is not a short-term capital asset.

A short-term capital asset means any capital asset held by a person for a period of not more than:

a. 36 months (if a capital asset is transferred before July 23, 2024) or
b. 24 months (If a capital asset is transferred on or after July 23, 2024), immediately preceding the date of its transfer will be a short-term capital asset.

Exceptions:

(a) Applicable upto July 22, 2024

In respect of certain assets like shares (equity or preference) which are listed in a recognised stock exchange in India, units of equity oriented mutual funds, listed securities like debentures and Government securities, Units of UTI and Zero Coupon Bonds, the period of holding to be considered is 12 months instead of 36 months.

In case of unlisted shares in a company, the period of holding to be considered is 24 months instead of 36 months.

Further, the period of holding of immovable property (being land or building or both), shall be considered to be 24 months instead of 36 months.

(b) Applicable from July 23, 2024

In respect of certain assets like shares (equity or preference) which are listed in a recognised stock exchange in India, units of equity oriented mutual funds, listed securities like debentures and Government securities, Units of UTI and Zero Coupon Bonds, the period of holding to be considered is 12 months instead of 2

What is long-term capital gain and short-term capital gain?

Gain arising on transfer of long-term capital asset is termed as long-term capital gain and gain arising on transfer of short-term capital asset is termed as short-term capital gain. However, there are a few exceptions to this rule, like gain on depreciable asset is always taxed as short-term capital gain.

Why capital gains are classified as short-term and long-term?

The taxability of capital gain depends on the nature of gain, i.e. whether short-term or long-term. Hence to determine the taxability, capital gains are classified into short-term capital gain and long-term capital gain. In other words, the tax rates for long-term capital gain and short-term capital gain are different. Similarly, computation provisions are different for long-term capital gains and short-term capital gains.

How to compute long-term capital gain?

Long term capital gain arising on account of transfer of long-term capital asset will be computed as follows:

(A) If transfer took place before 23-07-2024

Particulars	***Rs.***
Full value of consideration (*i.e.,* Sales consideration of asset)	XXXXX

Less: Expenditure incurred wholly and exclusively in connection with transfer of capital asset (E.g., brokerage, commission, etc.)	(XXXXX)
Net sale consideration	XXXXX
Less: Indexed cost of acquisition (*)	(XXXXX)
Less: Indexed cost of improvement, if any (*)	(XXXXX)
Long-Term Capital Gain	XXXXX

Indexed cost of acquisition is computed with the help of following formula :

Cost of acquisition × Cost inflation index of the year of transfer of capital asset

Cost inflation index of the year of acquisition

Indexed cost of improvement is computed with the help of following formula :

Cost of improvement × Cost inflation index of the year of transfer of capital asset

Cost inflation index of the year of improvement

(B) If transfer took place on or after 23-07-2024

Particulars	***Rs.***
Full value of consideration (i.e., Sales consideration of asset)	XXXXX
Less: Expenditure incurred wholly and exclusively in connection with transfer of capital asset (E.g., brokerage, commission, etc.)	(XXXXX)
Net sale consideration	XXXXX
Less: Indexed cost of acquisition (*)	(XXXXX)
Less: cost of improvement, if any	(XXXXX)
Long-Term Capital Gain	XXXXX

How to compute short-term capital gain?

Short-term capital gain arising on account of transfer of short-term capital asset is computed as follows:

Particulars	***Rs.***
Full value of consideration (*i.e.,* Sales value of the asset)	XXXXX
Less: Expenditure incurred wholly and exclusively in connection with transfer of capital asset (E.g., brokerage, commission, etc.)	- (XXXXX)
Net Sale Consideration	XXXXX
Less: Cost of acquisition (*i.e.*, the purchase price of the capital asset)	(XXXXX)
Less: Cost of improvement (*i.e.,* post purchase capital expenses incurred on addition/improvement to the capital asset)	- (XXXXX)
Short-Term Capital Gain	XXXXX

Is the benefit of indexation available while computing capital gain arising on transfer of short-term capital asset?

Indexation is a process by which the cost of acquisition/improvement of a capital asset is adjusted against inflationary rise in the value of asset. The benefit of indexation is available only in case of long-term capital assets and is not available in case of short-term capital assets.

Note: Indexation benefit on long-term capital assets is available only if transfer took place before 23-07-2024

In respect of capital asset acquired before 1st April, 2001 is there any special method to compute cost of acquisition?

Generally, cost of acquisition of a capital asset is the cost incurred in acquiring the capital asset. It includes the purchase consideration plus any expenditure incurred exclusively for acquiring the capital asset. However, in respect of capital asset acquired before 1st April, 2001, the cost of acquisition will be higher of the actual cost of acquisition of the asset or fair market value of the asset as on 1st April, 2001. This option is not available in the case of a depreciable asset.

If any undisclosed income [in the form of investment in capital asset] is declared under Income Declaration Scheme, 2016, then what should be the cost of acquisition of such capital asset?

The fair market value of the asset as on 1st June, 2016 [which has been taken into account for the purpose of said declaration Scheme, 2016] shall be deemed as cost of acquisition of the asset. [This provision is applicable w.e.f. 1-4-2017]

As per the Income-tax Law, gain arising on transfer of capital asset is charged to tax under the head “Capital gains”. What constitutes ‘transfer’ as per Income-tax Law?

Generally, transfer means sale, however, for the purpose of Income-tax Law "Transfer”, in relation to a capital asset, includes:
i. Sale, exchange or relinquishment of the asset;
ii. Extinguishment of any rights in relation to a capital asset;
iii. Compulsory acquisition of an asset;
iv. Conversion of capital asset into stock-in-trade;
v. Maturity or redemption of a zero coupon bond;
vi. Allowing possession of immovable properties to the buyer in part performance of the contract;
vii. Any transaction which has the effect of transferring an (or enabling the enjoyment of) immovable property; or
viii. Disposing of or parting with an asset or any interest therein or creating any interest in any asset in any manner whatsoever.

What are the provisions relating to computation of capital gain in case of transfer of asset by way of gift, will, etc.?

Capital gain arises if a person transfers a capital asset. section 47 excludes various transactions from the definition of 'transfer'. Thus, transactions covered under section 47 are not deemed as 'transfer' and, hence, these transactions will not give rise to any capital gain. Transfer of capital asset by way of gift, will, etc., are few major transactions covered in section 47. Thus, if a person gifts his capital asset to any other person, then no capital gain will arise in the hands of the person making the gift (*).

If the person receiving the capital asset by way of gift, will, etc. subsequently transfers such asset, capital gain will arise in his hands. Special provisions are designed to compute capital gains in the hands of the person receiving the asset by way of gift, will, etc. In such a case, the cost of acquisition of the capital asset will be the cost of acquisition to the previous owner and the period of holding of the capital asset will be computed from the date of acquisition of the capital asset by the previous owner.

(*) As regards the taxability of gift in the hands of person receiving the gift, separate provisions are designed under section 56.

I have sold a house which had been purchased by me 5 years ago. Am I required to pay any tax on the profit earned by me on account of such sale?

House sold by you is a long-term capital asset. Any gain arising on transfer of capital asset is charged to tax under the head “Capital Gains”. Income-tax Law has prescribed the method of computing capital gain arising on account of sale of capital assets. Thus, to check the taxability in your case, you have to compute capital gain by following the rules laid down in this regard, and if

the result is gain, then the same will be liable to tax.

Are any capital gains exempt under section 10?

Section 10 provides list of incomes which are exempt from tax amongst those the major exemptions relating to capital gain are as follows:

Section 10(33): Long-term or short-term capital gain arising on transfer of units of Unit Scheme, 1964 (US 64) referred to in Schedule I to the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002 (58 of 2002) and where the transfer of such asset takes place on or after 1-4-2002.

Section 10(37) : An individual or Hindu Undivided Family (HUF) can claim exemption in respect of capital gain arising from the transfer of agricultural land situated in an urban area by way of compulsory acquisition under any law or a consideration for such transfer is determined or approved by the Central Government or the Reserve Bank of India. This exemption is available if the land was used by the taxpayer (or by his parents in the case of an individual) for agricultural purposes for a period of 2 years immediately preceding the date of its transfer. Such income has arisen from the compensation or consideration for such transfer received by an assessee on or after the 1st day of April, 2004.

Section 10(37A): An individual or Hindu Undivided Family (HUF) can claim exemption in respect of capital gain arising from the transfer of land or building or both under Land Pooling Scheme under the Andhra Pradesh Capital City Land Pooling Scheme (Formulation and Implementation) Rules, 2015 made under the provisions of the Andhra Pradesh Capital Region Development Authority Act, 2014 (Andhra Pradesh Act 11 of 2014) and the rules, regulations and Schemes made under the said Act. This exemption is available if an individual or HUF was owner of such land or building as on 02-06-2014.

At what rates capital gains are charged to tax?

For provisions in this regard check tutorials on "Tax on Short-Term Capital Gains and Tax on Long-Term Capital Gains".

Is there any benefit available in respect of re-investment of capital gain in any other capital asset?

A taxpayer can claim exemption from certain capital gains by re-investing the amount of capital gain into specified asset. The following table highlights the assets in respect of which the benefit of re-investment is available:

Section under which bene fit is available	***Eligible Assessee***	***Gain eligible for claiming exemption***	***Asset in which the capital gain is to be re-invested to claim exemption***
section 54	Individual/HUF	Long-term capital gain arising on	Gain to be re-invested in

		transfer of residential house property.	purchase or construction of one residential house property in India. However, an assessee can make investment in two residential house property in India. The option of making investment in two residential house is available only if the amount of long-term capital gain doesn't exceed Rs. 2 crore. Further, the benefit of making investment in two residential houses can be availed once in a lifetime. Further, if the cost of new asset exceeds Rs. 10 crore, the excess amount shall be ignored and Rs. 10 crore shall be taken into consideration.
section 54B	Individual/HUF	Long-term or short-term capital gain arising on transfer of agricultural land which was used by individual or his parents or HUF for agriculture purposes for at least 2 years immediately prior to transfer.	Gain to be re-invested in purchase of agricultural land (may be in rural arear or urban area).

section 54EC	Any person	Long term capital gain arising on transfer of land or building or both .	Gain to be re-invested in purchase of bonds specified under section 54EC.
Section 54EE	Any person	Long-term capital gain arising on transfer of any capital asset.	Gain to be re-invested in long-term specified assets to be notified by the Central Government to finance start-ups.
section 54F	Individual/HUF	Long-term capital gain arising on transfer of any capital asset other than residential house property, provided on the date of transfer the taxpayer does not more than one residential house property from the assessment year 2001-02 (except new house property)	Net sale consideration to be re-invested in purchase or construction of only one residential house property in India. Note: if the cost of new asset exceeds Rs. 10 crore, the excess amount shall be ignored and Rs. 10 crore shall be taken into consideration.
section 54D	Any person	Long-term or Short-term capital gain arising on transfer of land or building forming part of an industrial undertaking which is compulsorily acquired by Government and was used for industrial purpose for a period of 2 years prior to its acquisition.	Gain to be re-invested to acquire land or building for industrial purposes.

section 54G	Any person	Long term or Short term capital gain arising on transfer of land, building, plant or machinery in order to shift an industrial undertaking from urban area to rural area.	Gain to be re-invested to acquire land, building, plant or machinery in order to shift an industrial undertaking to a rural area.
section 54GA	Any person	Long term or short term capital gain arising on transfer of land, building, plant or machinery in order to shift an industrial undertaking from urban area to any Special Economic Zone.	Gain to be re-invested to acquire land, building, plant or machinery in order to shift an industrial undertaking to any Special Economic Zone.
section 54GB	Individual/HUF	Long-term capital gain arising on transfer of residential property (a house or a plot of land). The transfer should take place during 1st April, 2012 and 31st March 2017. However, in case of investment in "eligible start-up", the residential property can be transferred upto 31st March 2022.	The net sale consideration should be utilised for subscription in equity shares of an "eligible company". W.e.f. April 1, 2017, eligible start-up is also included in definition of "eligible company" .

In order to claim the exemption on account of re-investment in various situations as discussed above, other conditions specified in the respective sections should also be satisfied and the re-investment should be made within the period specified in the respective sections.

Are there any bonds in which I can invest my capital gains to claim tax

relief?

As per section 54EC - An assessee can claim tax relief by investing the amount of long-term capital gain arising from long term capital asset being land or building or both in the specified bonds as follows:
a) Bond redeemable after 5 years from A.Y 2019-20 (3 years upto A.Y 2018-19) issued by National Highways Authority of India (NHAI) or
b) Bond redeemable after 5 years from A.Y 2019-20 (3 years upto A.Y 2018-19) issued by Rural Electrification Corporation Limited (REC) or
c) Bond redeemable after 5 years from A.Y 2019-20 (3 years upto A.Y 2018-19) issued on or after 15th June 2017 by Power Finance Corporation Limited or
d) Bond redeemable after 5 years from A.Y 2019-20 (3 years upto A.Y 2018-19) issued on or after 08th August 2017 by Indian Railway Finance Corporation Limited or
e) Bond redeemable after 5 years from A.Y 2019-20 (3 years for A.Y 2018-19) issued by any other authority but notified by Central Government [Applicable from A.Y 2018-2019]
f) Bonds redeemable after 5 years and issued on or after 1st day of April, 2025 by 'Housing and Urban Development Corporation Limited (HUDCO)'
within a period of 6 months from the date of transfer of capital asset and such bonds should not be redeemed before 5 years from A.Y 2019-20 (3 years upto A.Y 2018-19) from the date of their acquisition.
This benefit cannot be availed in respect of short-term capital gain. Maximum amount of investment in specified bonds cannot exceeds Rs. 50,00,000. Thus, deduction under section 54EC cannot be claimed for more than Rs. 50,00,000.

What is the meaning of stamp duty value and what is its relevance while computing capital gain in case of transfer of capital asset, being land or building or both?

"Stamp duty value means the value adopted or assessed or assessable by any authority of a State Government for the purpose of payment of stamp duty. As per section 50C, while computing capital gain arising on transfer of land or building or both, if the actual sale consideration on transfer of such land and/or building is less than the stamp duty value, then the stamp duty value will be taken as full value of consideration, i.e., as deemed selling price and capital gain will be computed accordingly." (not applicable from A.Y 2019-20)
From assessment year 2019-20 actual sales consideration will be treated as full value consideration if stamp duty value does not exceeds 105% of actual sales consideration. In case where stamp duty value exceeds 105%of actual sales consideration, then stamp duty value will be considered as full value of consideration for computing capital gain.

Whether interest received on amount deposited in capital gain account under capital gain account scheme is taxable?

- Capital Gains Account Scheme is a scheme to facilitate the taxpayer.
- If taxpayer could not invest the capital gains
  - to acquire new asset
  - before due date of furnishing of return of income
  - then the capital gains amount can be deposited

- before due date for furnishing of return of income
- in a special bank account
- maintained in any branch of a nationalized bank

• Interest earned on Capital Gains Account is **chargeable to tax** under the head **"Income from Other Sources"**

• Interest earned on Capital Gain Account is **charged to tax in the year it accrues and is credited to the capital gain account of the assessee.**

Whether profit earned from sale of land or building or both chargeable to capital gain tax?

• Profits and gains earned from sale of land or building or both are chargeable to tax under the head "Capital Gain"

• In the case of sale of land or building or both, the value determined by stamp duty authorities will be considered as full value of consideration if the following conditions are satisfied –
a) The asset transferred is land or building or both.
b) Sale Consideration is less than the value as determined by the stamp duty authority for the payment of stamp duty.
c) Stamp Duty value exceeds 105% of the consideration received or receivable on account of transfer. [Applicable from A.Y 2019-20].

• For the purpose of valuation, stamp duty valuation shall be considered on the date of registration of the property.

Exception - Where the date of agreement fixing the consideration and date of registration are not same, then the stamp duty value will be considered on the date of agreement for such transfer.

The above exception will be applicable if –
a) Full consideration or part there-of is received by an account payee cheque/draft or by use of electronic clearing system through a bank account. Or through such other electronic mode as may be prescribed.
b) Such amount is received before the date of agreement.
c) It is applicable from the A.Y 2017-2018.

Which Form is to be filed for withdrawal from Capital Gain Account?

As per Rule 9 of Capital Gain Accounts Scheme, 1988, the procedure of withdrawal from Capital Gain Account Scheme is as follows:

Withdrawal from Account-A

Amount can be withdrawn from Account-A at any time after making initial subscription by depositing Form C along with the pass book in the deposit office.

For any withdrawal from Account-A, other than initial withdrawal, a depositor needs to apply in Form D in duplicate. The details regarding the manner and extent of utilization of the amount of immediately preceeding withdrawal are as follows:-

Withdrawal from Account -B

A depositor intending to withdraw the amount from Account-B, shall first transfer the amount in his Account-B to Account-A and withdraw the amount in the same manner as is specified for Account-A. Manner of transfer and conversion of deposit account are prescribed under the Rule 7 of Capital Gain Accounts Scheme,1988.

Depositor having the deposit account B may apply in Form-B along with deposit receipts and details of deposit account A for transfer of the amount standing to credit in deposit account B. In case depositor has not opened deposit account A, depositor has also to request for opening deposit account A along with Form B.

I want to close my capital gain account. The capital gain amount is already disbursed and only interest is lying in account. The branch manager asked for Form G with AO's endorsement on it. How to get it? Please advise procedure?

1. As per Rule 13 of Capital Gain Account Scheme 1988, in case of closure of capital gain account, a depositor (other than an eligible company as referred to in section 54GB applicable w.e.f 25-10-2012) is required to file an application in Form-G along with the passbook of account-A or deposit receipt of account-B, as the case may be, to the deposit office with the prior approval of the Assessing Officer who has jurisdiction over the depositor.

   If a depositor is an eligible company as referred to in section 54GB, then for closure of capital gain account, it shall be required to make a joint application in Form G along with the passbook of account-A or deposit receipt of account-B, as the case may be, to the deposit office signed by the eligible assessee as referred to in section 54GB with the prior approval of the Assessing Officer having jurisdiction over the eligible assessee as referred to insection 54GB.

   Deposit office shall make the payment of the amount in the account of depositor including the amount of interest accrued by crediting such amount to any bank account of the depositor.
2. In case of deceased depositor where nomination is made, a nominee may file an application for the closure of account in Form-H along with the passbook of account-A or deposit receipt of account-B, as the case may be, to the deposit office with the prior approval of jurisdictional Assessing Officer of the deceased depositor. Deposit office shall make the payment of the amount in the account of the deceased depositor, including the amount of interest accrued by crediting such amount to any bank account of the nominee.
3. In case of deceased depositor where nomination is not made, a legal heir may file an application for the closure of account in Form-H along with the passbook of account-A or deposit receipt of account-B, as the case may be, to the deposit office with the prior approval of jurisdictional Assessing Officer of the deceased depositor.

   If there are more than one legal heir of the deceased depositor, the legal heir making the claim individually can do so by providing the letter of authorization from other legal heirs in his favour.

   The Assessing Officer before granting the approval for the closure of account shall obtain from the legal heir a succession certificate issued

under Part V of the Indian Succession Act, 1925, or a probate of the will of the deceased depositor, or letter of administration to the estate of the deceased, in case there is no will in order to verify the claim of such legal heir to the account of the deceased depositor.

Deposit office shall make the payment of the amount in the account of the deceased depositor, including the amount of interest accrued by crediting such amount to any bank account of the nominee.

FAQs on Clubbing of Income

What is the meaning of clubbing of income?

Normally, a person is taxed in respect of income earned by him only. However, in certain special cases income of other person is included (i.e. clubbed) in the taxable income of the taxpayer and in such a case he will be liable to pay tax in respect of his income (if any) as well as income of other person too. The situation in which income of other person is included in the income of the taxpayer is called as clubbing of income. E.g., Income of minor child is clubbed with the income of his/her parent. Section 60 to 64 contains various provisions relating to clubbing of income.

Do any clubbing provisions exist in case of transfer of income without transfer of asset?

As per section 60, if a person transfers income from an asset owned by him without transferring the asset from which the income is generated, then the income from such an asset is taxed in the hands of the transferor (*i.e.,* person transferring the income).

E.g., Mr. Raj has given a bungalow owned by him on rent. Annual rent of the bungalow is Rs. 84,000. He transferred entire rental income to his friend Mr. Kumar. However, he did not transfer the bungalow. In this situation, rent of Rs. 84,000 will be taxed in the hands of Mr. Raj.

Do any clubbing provisions exist in case of a revocable transfer?

Revocable transfer is generally a transfer in which the transferor directly or indirectly exercises control/right over the asset transferred or over the income from the asset.

As per section 61, if a transfer is held to be a revocable, then income from the asset covered under revocable transfer is taxed in the hands of the transferor. The provisions of section 61 will not apply in case of a transfer by way of trust which is not revocable during the life time of the beneficiary or a transfer which is not revocable during the lifetime of the transferee.

Can remuneration received by spouse of an individual be clubbed with his/her income?

Under certain circumstances as given in section 64(1)(ii), remuneration (*i.e.,* salary) received by the spouse of an individual from a concern in which the individual is having substantial interest is clubbed with the income of the individual. Provisions in this regard are as follows:

- The individual is having substantial interest in a concern (*).
- Spouse of the individual is employed in the concern in which the

individual is having substantial interest.

- The spouse of the individual is employed without any technical or professional knowledge or experience (*i.e.,* remuneration is not justifiable).

(*) An individual shall be deemed to have substantial interest in any concern, if such individual alone or *along with his relatives beneficially* holds at any time during the previous year 20% or more of the *equity shares* (in case of a company) or is entitled to 20% of profit (in case of concern other than a company).

Relative for this purpose includes husband, wife, brother or sister or lineal ascendantor descendent of that individual [section 2(*41*)].

Illustration A

Mr. Raja is beneficially holding 21% equity shares of Essem Minerals Pvt. Ltd. Mrs. Raja is employed as Manager (in accounts department) in Essem Minerals Pvt. Ltd. at a monthly salary of Rs. 84,000. Mrs. Raja is not having any knowledge, experience or qualification in the field of accountancy. Will the remuneration (*i.e.,* salary) received by Mrs. Raja be clubbed with the income of Mr. Raja?

**

In this situation, Mr. Raja is having substantial interest in Essem Minerals Pvt. Ltd. and remuneration of Mrs. Raja is not justifiable (*i.e.,* she is employed without any technical or professional knowledge or experience) and, hence, salary received by Mrs. Raja from Essem Minerals Pvt. Ltd. will be clubbed with the income of Mr. Raja and will be taxed in the hands of Mr. Raja.

Illustration B

Mrs. Kumar is beneficially holding 25% equity shares of SM Construction Pvt. Ltd. Mr. Kumar is an architect and he is employed as site observer of one of the construction sites of the SM Construction Pvt. Ltd. at a monthly salary of Rs. 28,400. The remuneration received by Mr. Kumar is justifiable considering his knowledge, experience and qualification. Will the remuneration received by Mr. Kumar be clubbed with the income of Mrs. Kumar because she is having substantial interest in SM Construction Pvt. Ltd.?

**

In this situation, Mrs. Kumar is having substantial interest in SM Construction Pvt. Ltd., but Mr. Kumar is deputed on the basis of his knowledge, experience and qualification and, hence, remuneration paid to him is justifiable. The clubbing provisions of section 64(1)(ii) apply only in a case where spouse is deputed without any technical or professional knowledge or experience. In this case, the remuneration of spouse is justifiable, hence, salary received by Mr. Kumar will not be clubbed with the income of Mrs. Kumar but will be taxed in his hands.

Can income from assets transferred to spouse without adequate consideration be clubbed with the income of transferor-spouse?

As per section 64(1)(*iv*), if an individual transfers (directly or indirectly) his/her asset (other than house property) to his or her spouse otherwise than for

adequate consideration, then income from such asset will be clubbed with the income of the individual (*i.e.,* transferor). Income from transfer of house property without adequate consideration will also attract clubbing provisions, however, in such a case clubbing will be done as per section 27 and not under section 64(1)(*iv*). The clubbing provisions of section 64(1)(*iv*) will apply even if the form of asset is changed by the transferee-spouse. There are certain situations in which the clubbing provisions of section 64(1)(*iv*) are not applicable (refer next FAQ for these situations).

Illustration C

Mr. Soham holds 8,400 debentures of Shyamal Minerals Ltd. He gifted these debentures to his wife. Will the income from debentures be clubbed with the income of Mr. Soham?

**

In this situation, the debentures are transferred to spouse. Transfer is via gift (*i.e.,* without any consideration) and, hence, income generated from the transferred asset, *i.e.,* interest on such debentures will be clubbed with the income of Mr. Soham.

Illustration D

Mr. Kapoor gifted Rs. 8,40,000 to his wife. The said amount is invested by his wife in debenture of a company. Will the income from the debenture purchased by Mrs. Kapoor from gifted money be clubbed with the income of Mr. Kapoor?

**

Rs. 8,40,000 is transferred to spouse. Fund is transferred via gift (*i.e.,* without adequate consideration) and, hence, the provisions of section 64(1)(*iv*) will be attracted. The provisions of clubbing will apply even if the form of asset is changed by the transferee-spouse.

In this case asset transferred is money and, subsequently, the form of asset is changed to debentures, hence, income from debentures acquired from money gifted by her husband will be clubbed with the income of her husband. Thus, interest on debenture received by Mrs. Kapoor will be clubbed with the income of Mr. Kapoor.

Are there any situations in which the clubbing provisions do not apply in case of income from assets transferred to spouse?

The clubbing provisions of section 64(1)(*iv*) are not applicable in the following situations:

- If the transfer of asset is for adequate consideration;
- If the transfer of asset is in connection with an agreement to live apart;
- If the asset is transferred before marriage, no income will be clubbed even after marriage, since the relation of husband and wife should exist both at the time of transfer of asset and at the time of accrual of income;

If on the date of accrual of income, transferee is not spouse of the transferor (*i.e.* the relation of husband and wife does not exist).

Can income from assets transferred to son's wife without adequate

consideration be clubbed with the income of transferor, i.e., father-in-law/mother-in-law?

As per section 64(1)(*vi*), if an individual transfers (directly or indirectly) his/ her asset to his/ her son's wife otherwise than for adequate consideration, then income from such asset will be clubbed with the income of the individual (*i.e.,* transferor being father-in-law/mother-in-law). The provisions of clubbing will apply even if the form of asset is changed by the transferee-daughter-in-law.

If the asset is transferred before marriage of son, no income will be clubbed even after marriage, since the relation of father-in-law/mother-in-law and daughter-in-law should exist both at the time of transfer of asset and at the time of accrual of income.

If on the date of accrual of income, the relation of father-in-law/mother-in-law and daughter-in-law does not exist, then the provisions of clubbing will not apply.

Can income from assets transferred to any person for the benefit of spouse or for the benefit of son's wife without adequate consideration be clubbed with the income of transferor?

As per section 64(1)(vii), if an individual transfers (directly or indirectly) his/ her asset otherwise than for adequate consideration to a person or an association of persons for the immediate or deferred benefit of his/her spouse, then income arising from the asset so transferred will be clubbed with the income of transferor.

As per section 64(1)(viii), if any individual transfers (directly or indirectly) his/ her asset otherwise than for adequate consideration to a person or an association of persons for the immediate or deferred benefit of his/her son's wife, then income arising from the asset so transferred will be clubbed with the income of transferor.

Is minor child's income clubbed with the income of parent? |How can parent claim TDS deducted on his minor's child income?

As per section 64(1A) , income of minor child is clubbed with the income of his/her parent (*). Income of minor child earned on account of manual work or any activity involving application of his/her skill, knowledge, talent, experience, etc. will not be clubbed with the income of his/her parent. However, accretion from such income will be clubbed with the income of parent of such minor.

Income of minor will be clubbed with the income of that parent whose income (excluding minor's income) is higher.

If the marriage of parents does not sustain, then minor's income will be clubbed with the income of parent who maintains the minor.

In case the income of individual includes income of his/her minor child, such individual can claim an exemption under section 10(32)) of Rs. 1,500 or income of minor so clubbed, whichever is less.

(*) Provisions of section 64(1A) will not apply to any income of a minor child suffering from disability specified under section 80U. In other words income of a minor suffering from disability specified under section 80U will not be clubbed with the income of his/her parent.

Illustration F

Mr. Raja has two minor children, viz., Master A and Master B. Master A is a child artist and Master B is suffering from diseases specified under section 80U. Income of A and B are as follows:

- Income of A from stage shows: Rs. 1,00,000
- Income of A from bank interest: Rs. 6,000
- Income of B from bank interest: Rs. 1,20,000.

Will the income of minor children be clubbed with the income of their parent (Mrs. Raja is not having any income)?

**

As per section 64(1A) , income of minor children is clubbed with the income of that parent whose income (excluding minor's income) is higher. In this case, Mrs. Raja is not having any income and, hence, if any income is to be clubbed then it will be clubbed with the income of Mr. Raja.

Income of minor child earned on account of manual work or income from the skill, knowledge, talent, experience, etc., of minor child will not be clubbed with the income of his/her parent. Thus, income of A from stage show will not be clubbed with the income of Mr. Raja but income of A from bank interest of Rs. 6,000 will be clubbed with the income of Mr. Raja.

Income of a minor suffering from disability specified under section 80U will not be clubbed with the income of his/her parent. Hence, any income of B will not be clubbed with the income of Mr. Raja.

The taxpayer can claim an exemption under section 10(32)). Thus, in respect of interest income of Rs. 6,000 clubbed in the income of Mr. Raja, he will be entitled to claim exemption of Rs. 1,500 under section 10(32)), hence, net income to be clubbed will be Rs. 4,500 (*i.e.,* Rs. 6,000 – Rs. 1,500). Deductee files a declaration with the deductor and the deductor reports the tax deduction in the name of the other person in the information relating to deduction of tax referred to in sub-rule (1) of rule 37BA.

Will any clubbing provision apply in case of transfer of asset to Hindu Undivided Family (HUF) by its member?

As per section 64(2), when an individual, being a member of HUF, transfers his property to the HUF otherwise than for adequate consideration or converts his property into the property belonging to the HUF (it is done by impressing such property with the character of joint family property or throwing such property into the common stock of the family), then clubbing provisions will apply as follows:

- Before partition of the HUF, entire income from such property will be clubbed with the income of transferor.

After partition of the HUF, such property is distributed amongst the members of the family. In such a case income derived from such property by the spouse of the transferor will be clubbed with the income of the individual and will be charged to tax in his hands.

FAQs on Set Off and Carry Forward of Losses

If income from any source is exempt, then can loss from such source be adjusted against any other taxable income?

If income from a particular source is exempt from tax, then loss from such source cannot be set off against any other income which is chargeable to tax.

E.g., Agricultural income is exempt from tax, hence, if the taxpayer incurs loss from agricultural activity, then such loss cannot be adjusted against any other taxable income.

What is the meaning of intra-head adjustment?

If in any year the taxpayer has incurred loss from any source under a particular head of income, then he is allowed to adjust such loss against income from any other source falling under the same head.

The process of adjustment of loss from a source under a particular head of income against income from other source under the same head of income is called intra-head adjustment, ***e.g.,*** Adjustment of loss from business A against profit from business B.

What are the restrictions to be kept in mind while making intra-head adjustment of loss?

Following restrictions should be kept in mind before making intra-head adjustment of loss:

- Loss from speculative business cannot be set off against any income other than income from speculative business. However, non-speculative business loss can be set off against income from speculative business.
- Long-term capital loss cannot be set off against any income other than income from long-term capital gain. However, short-term capital loss can be set off against long-term or short-term capital gain.
- No loss can be set off against income from winnings from lotteries, crossword puzzles, race including horse race, card game, and any other game of any sort or from gambling or betting of any form or nature.
- Loss from the business of owning and maintaining race horses cannot be set off against any income other than income from the business of owning and maintaining race horses.

Loss from business specified under section 35AD cannot be set off against any other income except income from specified business. (section 35AD is applicable in respect of certain specified businesses like setting up a cold chain facility, setting up and operating warehousing facility for storage of agricultural produce, developing and building a housing projects, etc.).

What is the meaning of inter-head adjustment?

After making intra-head adjustment (if any) the next step is to make inter-head adjustment. If in any year, the taxpayer has incurred loss under one head of income and is having income under other head of income, then he can adjust the loss from one head against income from other head, E.g.,Loss under the head of house property to be adjusted against salary

income.

Restrictions to be kept in mind while making inter-head adjustment of loss

Following restrictions should be kept in mind before making inter-head adjustment:

- Before making inter-head adjustment, the taxpayer has to first make intra-head adjustment.
- Loss from speculative business cannot be set off against any other income. However, non-speculative business loss can be set off against income from speculative business.
- Loss under head "Capital gains" cannot be set off against income under other heads of income.
- No loss can be set off against income from winnings from lotteries, crossword puzzles, race including horse race, card game, and any other game of any sort or from gambling or betting of any form or nature.
- Loss from the business of owning and maintaining race horses cannot be set off against any other income.
- Loss from business specified under section 35AD cannot be set off against any other income (section 35AD is applicable in respect of certain specified businesses like setting up a cold chain facility, setting up and operating warehousing facility for storage of agricultural produce, developing and building housing projects, etc.)
- Loss from business and profession cannot be set off against income chargeable to tax under the head "Salaries".

If the income of the year in which loss is incurred falls short, and taxpayer is unable to adjust entire loss, then can the taxpayer carry forward the unadjusted loss for adjustment in next year?

Many times it may happen that after making intra-head and inter-head adjustments, still the loss remains unadjusted. Such unadjusted loss can be carried forward to next year for adjustment against subsequent year(s)' income. Separate provisions have been framed under the Income-tax Law for carry forward of loss under different heads of income (refer next FAQ for more provisions in this regard).

What are the provisions framed under the Income-tax law in relation to carry forward and set off of business loss other than loss from speculative business?

The set-off of loss from house property against income from any other source is restricted to Rs. 2 lakh per annum.

If loss of any business/profession (other than speculative business) cannot be fully adjusted in the year in which it is incurred, then the unadjusted loss can be carried forward for making adjustment in the next year. In the subsequent year(s) such loss can be adjusted only against income charged to tax under the head "Profits and gains of business or profession".

Loss under the head "Profits and gains of business or profession" can be carried forward only if the return of income/loss of the year in which loss is

incurred is furnished on or before the due date of furnishing the return, as prescribed under section 139(1).

Such loss can be carried forward for eight years immediately succeeding the year in which the loss is incurred.

Above provisions are not applicable in case of unabsorbed depreciation (provisions relating to unabsorbed depreciation are discussed later).

- Loss from business specified under section 35AD cannot be set off against any other income except income from specified business (section 35AD is applicable in respect of certain specified businesses like setting up a cold chain facility, setting up and operating warehousing facility for storage of agricultural produce, developing and building a housing projects, etc.). Such loss can be carried forward for adjustment against income from specified business for any number of years.

  Loss from Specified business under section 35AD cannot be carried forward unless it has been determined in pursuance of return filed in accordance with the provisions of Section 139(3).

- Loss from the business of owning and maintaining race horses cannot be set off against any income other than income from the business of owning and maintaining race horses. Such loss can be carried forward only for a period of 4 years.

What are the provisions framed under the Income-tax law in relation to carry forward and set off of loss from speculative business?

If loss of any speculative business cannot be fully adjusted in the year in which it is incurred, then the unadjusted loss can be carried forward for making adjustment in the next year. In the subsequent year(s) such loss can be adjusted only against income from speculative business (may be same or any other speculative business).

Loss from speculative business can be carried forward only if the return of income/loss of the year in which loss is incurred is furnished on or before the due date of furnishing the return, as prescribed under section 139(1).

Such loss can be carried forward for four years immediately succeeding the year in which the loss is incurred.

Above provisions are not applicable in case of unabsorbed depreciation of speculative business (provisions relating to unabsorbed depreciation are discussed later).

What are the provisions framed under the Income-tax Law in relation to carry forward and set off of house property loss?

If loss under the head "Income from house property" cannot be fully adjusted in the year in which such loss is incurred, then unadjusted loss can be carried forward to next year.

The set-off of loss from house property against income from any other source is restricted to Rs. 2 lakh per annum.

In the subsequent years(s) such loss can be adjusted only against income chargeable to tax under the head "Income from house property".

Such loss can be carried forward for eight years immediately succeeding the

year in which the loss is incurred.

Loss under the head "Income from house property" can be carried forward even if the return of income/loss of the year in which loss is incurred is not furnished on or before the due date of furnishing the return, as prescribed under section 139(1).

What are the provisions framed under the Income-tax law in relation to carry forward and set off of capital loss?

If loss under the head "Capital gains" incurred during a year cannot be adjusted in the same year, then unadjusted capital loss can be carried forward to next year.

In the subsequent year(s), such loss can be adjusted only against income chargeable to tax under the head "Capital gains", however, long-term capital loss can be adjusted only against long-term capital gains. Short-term capital loss can be adjusted against long-term capital gains as well as short-term capital gains.

Such loss can be carried forward for eight years immediately succeeding the year in which the loss is incurred.

Such loss can be can carried forward only if the return of income/loss of the year in which loss is incurred is furnished on or before the due date of furnishing the return, as prescribed under section 139(1).

What is the meaning of unabsorbed depreciation, unabsorbed capital expenditure on scientific research and unabsorbed capital expenditure on promoting family planning amongst the employees?

Apart from several other deductions, while computing income chargeable to tax under the head "Profits and gains of business or profession" a person is allowed to claim deduction on account for depreciation, capital expenditure incurred by him on scientific research and capital expenditure incurred by a company for promoting family planning amongst its employees.

If the income of the year in which these expenses are incurred falls short of these expenses, then the unabsorbed expenses can be carried forward to next year in the form of unabsorbed depreciation or unabsorbed capital expenditure on scientific research or unabsorbed capital expenditure on promoting family planning amongst the employees.

What are the provisions framed under the Income-tax Law relating to set off of unabsorbed depreciation, unabsorbed capital expenditure on scientific research and unabsorbed capital expenditure on promoting family planning amongst the employees?

Depreciation is first deducted from the income chargeable to tax under the head "Profits and gains of business or profession". If such depreciation could not be fully adjusted against such income chargeable to tax in that previous year, the unabsorbed portion shall be added to the amount of depreciation for the following year and shall be deemed to be the part of depreciation for that year (similar treatment would be given to other allowances as mentioned above).However, in the case of set off, following order of priority is to be followed:

- First adjustments are to be made for current scientific research

expenditure, family planning expenditure and current depreciation.

- Second adjustment is to be made for brought forward business loss.

Third adjustments are to be made for unabsorbed depreciation, unabsorbed capital expenditure on scientific research or on family planning.

In case of change in the constitution of business, can the loss be carried forward by the reconstituted entity?

Generally, the person incurring the loss is only entitled to carry forward the loss to be adjusted in subsequent year(s). However, in certain cases of reconstitution of the business like amalgamation, demerger, conversion of proprietary firm into company or conversion of partnership firm into company, etc., the reconstituted entity is entitled to carry forward the unadjusted loss of predecessor entity (provided that conditions specified in this regard are satisfied).

Are there any special provisions in case of carry forward of loss in case of a partnership firm if any partner of the firm retires?

Section 78 contains provisions relating to carry forward and set off of loss in case of change in constitution of a partnership firm due to death or retirement of a partner (*i.e.* when a partner goes out of firm by retirement or death). In such a case, the share of loss attributable to the outgoing partner cannot be carried forward by the firm.

Restriction of section 78 is applicable only in case of loss and is not applicable in case of adjustment of unabsorbed depreciation, unabsorbed capital expenditure on scientific research or family planning expenditure.

Are there any special provisions in case of carry forward and set off of loss in case of a company in which public are not substantially interested?

As per section 79 of the Income-tax Act, where a change in shareholding has taken place in a previous year in the case of a company, not being a company in which the public are substantially interested, no loss incurred in any year prior to the previous year shall be carried forward and set off against the income of the previous year unless-

On the last day of the previous year the shares of the company carrying not less than fifty-one per cent of the voting power were beneficially held by person who beneficially held shares of the company carrying not less than fifty-one per cent of the voting power on the last day of the year or years in which the loss was incurred.

However, the above condition is not applicable in case of an eligible start up reffered under section 80-IAC in case of such start up, loss can be carried forward and set off against the income of the previous year, if all shareholders of such company (who held shares carrying voting power on the last day of the year or years in which loss was incurred) continue to hold the shares on last day of such previous year.

Restriction of section 79 is applicable only in case of loss and is not applicable in case of adjustment of unabsorbed depreciation, unabsorbed capital expenditure on scientific research or family planning expenditure.

Further, the provisions of section 79 are not applicable in case of change in share holding on account of death of shareholder or on account of transfer

of shares by way of gift to any relative of the shareholder or change in shareholding in case of an Indian company which is a subsidiary of foreign company, when such foreign company is amalgamated/demerged with another foreign company and 51% or more shareholders of the amalgamating/demerged foreign company continues to be the shareholders of the amalgamated/resulting foreign company and where any change in shareholding in the company takes place pursuant to a resolution plan approved under the IBC.

With an objective to facilitate resolution of distressed companies, the Finance (No. 2) Act, 2019 extend the benefit of section 79 to the following companies, and their subsidiary and the subsidiary of such subsidiary, where:
(a) When NCLT, on a petition moved by the Central Govt., has suspended the board of directors and has appointed new directors.
(b) When change in shareholding has taken place in a previous year pursuant to a resolution plan approved by the Tribunal.

Note:

(1) W.e.f., Assessment Year 2022-23, section 79 shall not apply in case there change in the shareholding has taken place during the previous year on account of relocation referred to in the Explanation to clauses (viiac) and (viiad) of section 47.

(2) W.e.f. Assessment Year 2022-23, section 79 shall not apply to an erstwhile Public Sector Company (PSU), subject to the condition that the ultimate holding company of such erstwhile PSU, immediately after completion of the strategic disinvestment, continues to hold, directly or through its subsidiary or subsidiaries, at least 51% of the voting power of such PSU in aggregate.

However, this relaxation shall cease to apply from the previous year in which the ultimate holding company ceases to hold, directly or through its subsidiary or subsidiaries, 51% of the voting power of the erstwhile public sector company. If the relaxation ceases to apply in any previous year, the provisions of section 79 shall apply for such previous year and subsequent previous years.

The erstwhile public sector company shall have the same meaning as assigned to it in clause (ii) of the Explanation to clause (d) of section 72A(1).

FAQs on Assessments under the Income-tax Law

What is the meaning of assessment?

Every taxpayer has to furnish the details of his income to the Income-tax Department. These details are to be furnished by filing his return of income. Once the return of income is filed by the taxpayer, the next step is the processing of the return of income by the Income-tax Department. The Income-tax Department examines the return of income for confirming its correctness. The process of examining the return of income by the Income-tax Department is called “Assessment”. Assessment also includes re-assessment or best judgment assessment under section 144.

Note: The Finance Act, 2018 has inserted section 143(3A) to implement e-assessment scheme for the regular assessment carried out by the Assessing Officer under section 143(3).

Now, the Finance Act 2020 has expanded the scope of e-assessment to cover the best judgment assessments under section 144. The Central Government may issue necessary directions in this regard by 31-03-2022.

What are the major assessments under the Income-tax Law?

Under the Income-tax Law, there are four major assessments as given below:

- section 143(1), *i.e.*, Summary assessment without calling the assessee *i.e.* taxpayer.
- Assessment under section 143(3), *i.e.*, Scrutiny assessment.
- Assessment under section 144, *i.e.*, Best judgment assessment.
- Assessment under section 147, *i.e.*, Income escaping assessment.

What is assessment under section 143(1)?

Scope of assessment under section 143(1)

Under section 143(1) is like preliminary checking of the return of income. At this stage no detailed scrutiny of the return of income is carried out. At this stage, the total income or loss is computed after making the following adjustments (if any), namely:-

(i) any arithmetical error in the return; or

(ii) an incorrect claim, if such incorrect claim is apparent from any information in the return;

(iia) Any such inconsistency in the return with respect to the information in the return of any preceding previous year, as may be prescribed

(iii) disallowance of loss claimed, if return of the previous year for which set off of loss is claimed was furnished beyond the due date specified under sub-section (1) of section 139

(iv) disallowance of expenditure indicated in the audit report but not taken into account in computing the total income in the return;

(v) disallowance of deduction claimed under sections 10AA, 80-IA, 80-IB, 80-IC, 80-ID or section 80-IE, if the return is furnished beyond the due date specified under sub-section (1) of section 139; or

However, no such adjustments shall be made unless an intimation is given to the assessee of such adjustments either in writing or in electronic mode. Further, the response received from the assessee, if any, shall be considered before making any adjustment, and in a case where no response is received within thirty days of the issue of such intimation, such adjustments shall be made.

For the above purpose “an incorrect claim apparent from any information in the return” means a claim on the basis of an entry in the return:-

(i) of an item which is inconsistent with another entry of the same or some other item in such return;

(ii) in respect of which the information is required to be furnished under the Act to substantiate such entry and has not been so furnished; or

(iii) in respect of a deduction, where such deduction exceeds specified statutory limit which may have been expressed as monetary amount or percentage or ratio or fraction;

What is the procedure adopted for making the assessment under section 143(1)?

Assessment under section 143(1) is like preliminary checking of the return of income. At this stage, the total income or loss is computed after making the preliminary adjustments (as discussed in previous FAQ). The other procedures in this regard are as follows:

- After making the adjustments (if any) as discussed in previous FAQ, the tax, interest, and fee if any, shall be computed on the basis of the adjusted income.

- Any sum payable by the taxpayer or refund due to the taxpayer shall be intimated to him.
- An intimation shall be prepared or generated and sent to the taxpayer specifying the sum determined to be payable by, or the amount of refund due to him.
- An intimation shall also be sent to the taxpayer, in a case, where the loss declared in the return of income by the taxpayer is adjusted but no tax or interest is payable by, or no refund is due to him.
- No intimation will be sent to the taxpayer in a case where no sum is payable or refundable or no adjustment is made to the returned income. In such a case, the acknowledgement of the return of income shall be deemed to be the intimation.

*As per section 234F, a fee shall be levied where the return of income is not filed within the due dates prescribed under section 139(1). Fee for default in furnishing return of income shall be Rs. 5,000 if return has been furnished after the due date prescribed under section 139(1). However, it shall be Rs. 1,000 if the total income of an assessee does not exceed Rs. 5 lakh.

What is the time limit for making the assessment under section 143(1)?

Assessment under section 143(1) can be made within a period of 9 months from the end of the financial year in which the return of income is filed.

What is assessment under section 143(3)?

This is a detailed assessment and is referred to as scrutiny assessment. At this stage, a detailed scrutiny of the return of income will be carried out. The scrutiny is carried out to confirm the correctness and genuineness of various claims, deductions, etc., made by the taxpayer in the return of income.

What is the scope of assessment under section 143(3) i.e. scrutiny assessment?

The objective of scrutiny assessment is to confirm that the taxpayer has not understated

the income or has not computed excessive loss or has not underpaid the tax in any manner.

To confirm the above, the Assessing Officer carries out a detailed scrutiny of the return of income and will satisfy himself regarding various claims, deductions, etc., made by the taxpayer in the return of income.

What is the procedure adopted for making the assessment under section 143(3) i.e. scrutiny assessment?

In case of Assessment under section 143(3), a scrutiny is carried out to confirm the correctness and genuineness of various claims, deductions, etc., made by the taxpayer in the return of income. The other procedures in this regard are as follows:

- If the Assessing Officer or prescribed income tax authority considers it

necessary or expedient to ensure that the taxpayer has not understated the income or has not computed excessive loss or has not underpaid the tax in any manner, then he will serve on the taxpayer a notice requiring him to attend his office or to produce or cause to be produced any evidence on which the taxpayer may rely on in support of the return.

- The provisions of notice are governed by section 143(2). In other words, to carry out assessment under section 143(3), the Assessing Officer should serve a notice under section 143(2).
- Notice under section 143(2) shall be served on the taxpayer within a period of six months from the end of the financial year in which the return is filed.
- The taxpayer or his representative (as the case may be) will appear before the Assessing Officer and will place his arguments, supporting, etc., on various matters/issues as required by the Assessing Officer.
- After hearing/verifying such evidence and taking into account such particulars as the taxpayer may produce and such other evidence as the Assessing Officer may require on specified points and after taking into account all relevant material which he has gathered, the Assessing Officer shall, by an order in writing, make an assessment of the total income or loss of the taxpayer and determine the sum payable by him or refund of any amount due to him on the basis of such assessment.

What is the time limit for making the assessment under section 143(3) i.e. scrutiny assessment?

As per section 153, the time limit for making assessment under section 143(3) is within:-

a. 21 months from the end of the assessment year in which the income was first assessable. [For assessment year 2017-18 or before]
b. 18 months from the end of the assessment year in which the income was first assessable. [for assessment year 2018-19]
c. 12 months from the end of the assessment year in which the income was first assessable [Assessment year 2019-20].
d. 18 months from the end of the Assessment Year in which income was first assessable [Assessment Year 2020-21].
e. 9 months from the end of the Assessment Year in which income was first assessable [Assessment Year 2021-22].
f. 12 months from the end of the assessment year in which the income was first assessable [Assessment year 2022-23 and onwards].

Note: If reference is made to TPO, the period available for assessment shall be extended by 12 months

Note: If a return of income is furnished in consequence of an order under clause (b) of Section 119(2), time limit for making assessment is within 12 months from the end of the financial year in which such return is furnished.

What is assessment under section 144?

Assessment under section 144 (called best judgment assessment) is an assessment carried out as per the best judgment of the Assessing Officer. Best judgment assessment is resorted due to certain failures (specified under section 144) on the part of the taxpayer (discussed in next FAQ).

Under what circumstances the Assessing Officer will proceed for making assessment under section 144 i.e. best judgment assessment?

As per section 144, the Assessing Officer is under an obligation to make an assessment to the best of his judgment in the following cases:

- If the taxpayer fails to file the return of income as required within the due date prescribed under section 139(1) or a belated return under section 139(4) or a revised return under section 139(5).
- If the taxpayer fails to comply with all the terms of a notice issued under section 142(1).

  Note: section 142(1) deals with the general provisions relating to an inquiry before assessment. Under section 142(1), the Assessing Officer can issue notice asking the taxpayer to file the return of income if he has not filed the return of income or to produce or cause to be produced such accounts or documents as he may require and to furnish in writing and verified in the prescribed manner information in such form and on such points or matters (including a statement of all assets and liabilities of the taxpayer, whether included in the accounts or not) as he may require.

If the taxpayer fails to comply with the directions issued under section 142(2A).

Note: Section 142(2A) deals with special audit. As per section 142(2A), if the conditions justifying special audit as given in section 142(2A) are satisfied, then the Assessing Officer will direct the taxpayer to get his

- Accounts audited from a chartered accountant;
- Inventory valued by a Cost accountant

nominated by the principal chief commissioner or Chief Commissioner or Principal Commissioner or Commissioner and to furnish a report of such audit in the prescribed form.

If after filing the return of income, the taxpayer fails to comply with all the terms of a notice issued under section 143(2), *i.e.*, notice of scrutiny assessment.

From the above criteria, it can be observed that best judgment assessment is resorted in cases where the return of income is not filed by the taxpayer or there is no co-operation

by the taxpayer on various matters.

What is the procedure adopted for making the assessment under section 144 i.e. best judgment assessment?

Assessment under section 144 (called best judgment assessment) is an assessment carried out as per the best judgment of the Assessing Officer. The other procedures in this regard are as follows:

- If the circumstances justifying best judgment assessment (discussed in previous FAQ) are satisfied, then the Assessing Officer will serve a notice on the taxpayer to show cause why the assessment should not be

completed to the best of his judgment.

- No notice as given above is required in a case where a notice under section 142(1) has been issued prior to the making of an assessment under section 144.
- If the Assessing Officer is not satisfied by the arguments of the taxpayer and he has reason to believe that the case demands a best judgment, then he will proceed to carry out the assessment as per best of his knowledge.
- If the criteria of the best judgment assessment are satisfied, then after taking into account all relevant material which the Assessing Officer has gathered, and after giving the taxpayer an opportunity of being heard, the Assessing Officer shall make the assessment of the total income or loss to the best of his judgment and determine the sum payable by the taxpayer on the basis of such assessment.

What is the time limit for making the assessment under section 144 i.e. best judgment assessment?

As per section 153, the time limit for making assessment under section 144 is within :

(a) 21 months from the end of the assessment year in which the income was first assessable. [For assessment year 2017-18 or before]

(b) 18 months from the end of the assessment year in which the income was first assessable. [for assessment year 2018-19]

(c) 12 months from the end of the assessment year in which the income was first assessable [Assessment year 2019-20].

(d) 18 months from the end of the Assessment Year in which income was first assessable [Assessment Year 2020-21].

(e) 9 months from the end of the Assessment Year in which income was first assessable [Assessment Year 2021-22].

(f) 12 months from the end of the assessment year in which the income was first assessable [Assessment year 2022-23 and onwards].

Note: If reference is made to TPO, the period available for assessment shall be extended by 12 months/

Note: If a return of income is furnished in consequence of an order under clause (b) of Section 119(2), time limit for making assessment is within 12 months from the end of the financial year in which such return is furnished.

What is assessment under section 147?

This is an income escaping assessment. This assessment is carried out if the Assessing Officer observes that any income has escaped assessment.

What are the circumstances under which assessment under section 147 i.e. income escaping assessment can be carried out?

If any income of an assessee has escaped assessment for any assessment year, the Assessing Officer may, subject to the new provisions of sections 148 to 153, assess or reassess such income and also any other income which has escaped assessment and which comes to his notice subsequently in the course of the proceedings, or recompute the loss or the

depreciation allowance or any other allowance, as the case may be, for such assessment year.

It is imperative to note that once assessment or reassessment or re-computation has started, the Assessing Officer is empowered to assess or reassess the income which has escaped assessment and which comes to his notice subsequently in the course of the proceeding under this procedure notwithstanding that the procedure prescribed in new section 148A was not followed before issuing such notice for such income.

What is the procedure adopted for making the assessment under section 147 i.e. income escaping assessment?

The Assessing Officer is required to make an assessment or re-assessment as per the following procedures:

Issue of Notice

The Assessing Officer shall serve on the assessee a notice under Section 148 along with a copy of the order passed under clause (d) of Section 148A, requiring him to furnish return of his income or the income of any other person in respect of which he is assessable under this Act during the previous year corresponding to the relevant assessment year. The return shall be furnished within 3 months from the end of the month in which such notice is issued. This period of 3 months can be extended by AO.

The notice shall be issued in the prescribed form and verified in the prescribed manner and setting forth such other particulars as may be prescribed; and the provisions of Income-tax Act shall, so far as may be, apply accordingly as if such return were a return required to be furnished under section 139.

Circumstances in which notice can be issued

Notice is required to be issued only when information with the Assessing officer suggests that the income chargeable to tax has escaped assessment. Prior approval of specified authority is also required to be obtained before issuing such notice by the Assessing Officer.

However, no such prior approval is required if the Assessing Officer has passed an order under Section 148A(d) with prior approval of the specified authority stating that the income is escaping assessment.

What is the time limit for making the assessment under section 147 i.e. income escaping assessment?

As per section 153, the time limit for making assessment under section 147 is:-

1. Within 9 months from the end of the financial year in which the notice under section 148 was served (if notice is served before 01-04-2019).
2. 12 months from the end of the financial year in which notice under section 148 is served (if notice is served on or after 01-04-2019).

Note: If reference is made to TPO, the period available for assessment shall be extended by 12 months

What recourse is available to me if I am not satisfied with the order

passed by my Assessing Officer?

If you are not satisfied with the order passed by your Assessing Officer then you can file an appeal to the higher authority. The first appellate authority is the Commissioner (Appeals). Subsequently, the matter can be taken to the Income-tax Appellate Tribunal, then to the High Court and the Supreme Court.

Alternatively, instead of going for the appeal mechanism, you can make an application of revision to the Commissioner of Income-tax.

Form No. 35 .In case of appeals to Commissioner (Appeals) (irrespective of date of initiation of assessment proceedings) the following fee is payable :

Where assessed income is Rs. 1,00,000 or less - Rs. 250.

Where assessed income is more than Rs. 1,00,000 but not more than Rs. 2,00,000 - Rs. 500.

Where assessed income is more than Rs. 2,00,000 - Rs. 1,000.

Where subject-matter of appeal is not covered under any of the above - Rs. 250.

What is limited scrutiny?

In case of assessment two type of cases have been selected for scrutiny: one is 'Limited Scrutiny' and other is 'Complete Scrutiny'.

The assessees concerned have duly been intimated about their cases falling either in 'Limited Scrutiny' or 'Complete Scrutiny' through notices issued under section 143(2) of the Income-tax Act, 1961 ('Act'). The procedure for handling 'Limited Scrutiny' cases shall be as under:
a. In 'Limited Scrutiny' cases, the reasons/issues shall be forthwith communicated to the assessee concerned.
b. The Questionnaire under section 142(1) of the Act in 'Limited Scrutiny' cases shall remain confined only to the specific reasons/issues for which case has been picked up for scrutiny. Further, the scope of enquiry shall be restricted to the 'Limited Scrutiny' issues.
c. These cases shall be completed expeditiously in a limited number of hearings.
d. During the course of assessment proceedings in 'limited Scrutiny' cases, if it comes to the notice of the Assessing Officer that there is potential escapement of income exceeding Rs. five lakhs (for metro charges, the monetary limit shall be Rs. ten lakhs) requiring substantial verification on any other issue(s), then, the case may be taken up for 'Complete Scrutiny' with the approval of the Pr. CIT/CIT concerned. However, such an approval shall be accorded by the Pr. CIT/CIT in writing after being satisfied about merits of the issue(s) necessitating 'Complete Scrutiny' in that particular case.

How to file response to notice issued under section 143(2)?

If a return has been furnished under section 139 or in response to notice under section 142(1), the Assessing Officer or the prescribed income tax authority, as the case may be, if, considers it necessary to ensure that the assessee has not understated the income or has not computed excessive loss or has not under-paid the tax in any manner, shall serve a notice on the

assessee requiring him on a date specified in the notice, either to attend the office of the Assessing Officer or to produce before the Assessing Officer any evidence on which the assessee may rely in support of the return.

Provided that no notice under this sub section shall be served on the assessee after the expiry of 6 months from the end of the financial year in which the return is furnished.

When it shall be deemed that Income has escaped Assessment?

- In cases other than Search, Survey or Requisition

The information suggesting that the income chargeable to tax has escaped assessment means any information flagged in the case of the assessee for the relevant assessment year as per the 'Risk Management Strategy' formulated by the CBDT from time to time or any final objection raised by the Comptroller and Auditor General of India (CAG) to the effect that the assessment in the case of the assessee for the relevant assessment year has not been made as per the provisions of the Income-tax Act.

- In search, survey or requisition cases

In search, survey or requisition cases initiated or made or conducted, on or after 1st April 2021, it shall be deemed that the Assessing Officer has information which suggests that the income chargeable to tax has escaped assessment in the case of the assessee for the 3 assessment years immediately preceding the assessment year relevant to the previous year in the following cases:

(a) A search is initiated under section 132 or books of account, other documents or any assets are requisitioned under section 132A, on or after the 1st day of April 2021, in the case of the assessee;

(b) A Survey is conducted under section 133A in the case of the assessee;

(c) The Assessing Officer is satisfied, with the prior approval of PCIT or CIT, that any money, bullion, jewellery or other valuable article or thing, seized or requisitioned in case of any other person on or after the 1st day of April 2021, belongs to the assessee; or

(d) The Assessing Officer is satisfied, with the prior approval of PCIT or CIT, that any books of account or documents, seized or requisitioned in case of any other person on or after the 1st day of April 2021, pertains or pertain to, or any information contained therein, relate to, the assessee.

Procedure before Issuance of Notice

The Assessing Officer shall be required to follow the below procedure as laid down in Section 148A before issuing a notice under new section 148 in cases other than search, survey or requisition.

- Conducting Inquiry

The Assessing Officer shall conduct an enquiry, if required, with the prior approval of specified authority, concerning the information which suggests that income chargeable to tax has escaped assessment.

- Granting an opportunity of being heard

The Assessing Officer shall provide an opportunity of being heard to the assessee, by serving upon him a notice to show cause within such time, as may be specified in the notice, being not less than 7 days but not exceeding 30 days from the date on which such notice is issued, or such time, as may be extended by him based on an application in this behalf, as to why a notice under new section 148 should not be issued based on information which suggests that income chargeable to tax has escaped assessment in his case for the relevant assessment year and results of an enquiry conducted, if any.

- Consider Reply of Assessee The Assessing Officer shall consider the reply furnished by the assessee furnished, if any, in response to the show-cause notice issued by AO.
- Passing an Order

The Assessing Officer shall decide, based on material available on record including reply of the assessee, whether or not it is a fit case to issue a notice under new section 148, by passing an order, with the prior approval of specified authority, within 1 month from the end of the month in which the reply of the assessee is received by him, or where no such reply is furnished, within 1 month from the end of the month in which time or extended time allowed to furnish a reply expires.

Approval of higher authorities to be obtained in Search, Survey and Requisition Cases

The Finance Act, 2022 has inserted a new section 148B, w.e.f., Assessment Year 2022-23, to provide that no order of assessment or reassessment or recomputation under the Act shall be passed by an Assessing Officer below the rank of Joint Commissioner, in respect of an assessment year to which clause (i) or clause (ii) or clause (iii) or clause (iv) of Explanation 2 to section 148 apply except with the prior approval of the Additional Commissioner or Additional Director or Joint Commissioner or Joint Director.

The above mentioned four clauses of Explanation 2 to section 148 provide cases of deemed information. If situations, circumstances, or actions as described in these 4 clauses exist, then it will be a case of deemed information, and the AO can acquire jurisdiction to issue a notice under section 148.

What is the time limit for issuing notice under section 148/148A i.e. income escaping assessment?

Time limit for issuance of notice under Section 148 of the Income-tax Act:

Issuing notice under Section 148: (applicable from 01-04-2024 till 31-08-2024		
	If the escaped assessment amounts to or likely to amounts to —	
	(*i*) less than Rs. 50,00,000	Within 3 years from end of relevant assessment year

	(*ii*) Rs. 50,00,000 or more	Within 10 years from end of relevant assessment year
Issuing notice under Section 148: (applicable from 01-09-2024)		
	If the escaped assessment amounts to or likely to amounts to —	
	(*i*) less than Rs. 50,00,000	Within 3 years and 3 months from end of relevant assessment year
	(*ii*) Rs. 50,00,000 or more	Within 5 years and 3 months from end of relevant assessment year
Issuing notice under Section 148A : (applicable from 01-09-2024)		
	If the escaped assessment amounts to or likely to amounts to —	
	(*i*) less than Rs. 50,00,000	Within 3 years from end of relevant assessment year
	(*ii*) Rs. 50,00,000 or more	Within 5 years from end of relevant assessment year

FAQs on Provisions useful for non-residents

Do NRIs have to file income tax returns in India?

As per Section 139, filing of Income-tax returns by an Individual (resident or non-resident) shall be mandatory if his income before allowing capital gain exemption and deduction under Chapter VI-A exceeds the maximum amount that is not chargeable to income tax.

Thus, an NRI is required to furnish his return of income if his income is taxable in India and such income exceeds the maximum amount, which is not chargeable to income tax, before allowing capital gain exemption and deduction under Chapter VI-A.

Further, NRIs need to file an ITR to claim a TDS refund if their income is below the exemption limit and TDS has been deducted by the payer or if their income is not taxable in India as per DTAA but the payer still deducted TDS.

Exceptions

(a) If the total income of NRI only consists of incomes specified under Section 115A and Section 115AC, he shall not be required to file a return of income if tax has been deducted from such incomes. **[Refer Section 115A(5) & Section 115AC(4)]**

Income as per Section 115A: Dividend or interest income

(i) Dividend Income

(ii) Interest received from Government or an Indian concern on monies borrowed or debt incurred by them in foreign currency.

(iii) Interest received from an Infrastructure debt fund which is notified under section 10(47)

(iv) Interest received from an Indian Company on foreign currency loans from source outside India in any of the following forms - loan agreement, long-term infrastructure bonds, long-term bonds, Rupee dominated bonds, as per section 194LC

(v) Interest received from an Indian person on investment made in rupee dominated bond of Indian Company, Government security, Municipal Debt security, as per section 194LD

(vi) Distribution of Interest income to unit holder by the business trust and interest income is from a Special Purpose Vehicle (Indian Company in which the business trust holds controlling interest and specified percentage of shareholding or interest) {ref section 194LBA(2)}

(vii) Interest received in respect of units of a Mutual Fund (purchased in foreign currency) as specified under section 10(23D).

(viii) Interest received in respect of units of the Unit Trust of India (purchased in foreign currency).

(ix) Royalty income or Fees for Technical Services (FTS) income (not related to Permanent Establishment in India, if any) as referred to in clause (b) of sub-section (1)

Income as per Section 115AC:

(i) Income by way of interest on bonds of an Indian company(issued in accordance with the Issue of FCEB Scheme 2008, Issue of FCCB and Ordinary Shares Scheme 1993 & Depository Receipts Scheme 2014 approved by the Central Govt) purchased in foreign currency.

(ii) Income by way of interest on bonds of a public sector company sold by the government and purchased by him in foreign currency.

(iii) income by way of dividends on Global Depository Receipts as per section 115AC(1)(b).

(b) If the total income of Non-Resident Indian (NRI) derived from foreign exchange assets i.e. specified asset(Shares in Indian Company; Debentures issued by/Deposits with an Indian Company which is not a private company; any security of the Central Government as per section 2(2) of Public debt Act; Any other specified assets) acquired/purchased with or subscribed to in Convertible Foreign exchange as referred to in Section 115C, or long-term capital gain arising from the transfer of such foreign exchange asset or a combination of both, the NRI is exempted from filing an income tax return

provided the conditions are met (Refer: Section 115G)and Tax Deducted at Source (TDS) at the applicable rates has been duly deducted from such income.

(c) A non-resident who doesn't have any income in India other than income from investment made in Category III AIF (Alternative Investment Fund), which fulfils the conditions of being a specified fund (as referred under Section 10(4D)or income from transfer of certain capital asset referred to in Section 47(viiab) which are listed on IFSC stock exchange, is exempted from filing of return of income subject to fulfilment of certain conditions ***[Notification No. 119, dated 11-10-2021]***

What is the applicable TDS rate for NRIs on interest income earned from Fixed deposits made in Indian banks?

When a non-resident earns interest income on deposits, the banks are required to deduct tax at source (TDS) at the rate of thirty percent under Section 195 of the Income Tax Act. The TDS rate shall be further by applicable surcharge and Health and Education cess. It is to be noted that if the tax rate is lower under DTAA, the tax shall be deducted at such rate.

(Refer to the First Schedule of the Finance Act to get the TDS rates)

Is income earned in NRE and NRO accounts taxable in the hands of NRIs?

NRI uses Non-Resident External (NRE) account to transfer foreign earnings to India. Income from interest on balances standing to the credit of NRE Accounts is exempt from tax under Section 10(4)(ii).

A Non-Resident Ordinary (NRO) Account is used to manage the income earned in India. Interest earned in an NRO account is taxable in the hands of NRI.

Is the residential status of a person relevant for determining the taxability of the income in his hands?

Yes, the residential status of a person earning income is very much relevant for determining the taxability of such income in his hands.

Taxability of any income in the hands of a person depends on the following two things :

(1) Residential status of the person as per the Income-tax Law; and

(2) Nature of income earned by him.

Hence, residential status plays a vital role in determining the taxability of the income.

What are the different classes of residential status prescribed under the Income-tax Law for an individual?

For the purpose of Income-tax Law, an individual can have any one of the following residential status:

(1) Resident and ordinarily resident in India (also known as resident)

(2) Resident but not ordinarily resident in India

(3) Non-resident

Every year the residential status of the taxpayer is to be determined by applying the provisions of the Income-tax Law designed in this regard (discussed later) and, hence, it may so happen that in one year the individual would be a resident and ordinarily resident and in the next year he may become non-resident or resident but not ordinarily resident and again in the next year his status may change or may remain same.

Will a person holding Indian citizenship be treated as a resident in India for the purpose of charging Income-tax?

The Finance Act, 2020 has introduced new section 6(1A) to the Income-tax Act, 1961. The new provision provides that an Indian citizen shall be deemed to be resident in India only if his total income, other than income from foreign sources, exceeds Rs. 15 lakhs during the previous year. For this provision, income from foreign sources means income which accrues or arises outside India (except income derived from a business controlled in or a profession set up in India).

However, such individual shall be deemed to be Indian resident only when he is not liable to tax in any country or jurisdiction by reason of his domicile or residence or any other criteria of similar nature.

Thus, from Assessment Year 2021-22, an Indian Citizen earning total income in excess of Rs. 15 lakhs (other than from foreign sources) shall be deemed to be resident in India if he is not liable to pay tax in any country.

“Liable to tax” in relation to a person and with reference to a country means that there is an income-tax liability on such person under the law of that country for the time being in force. It shall include a person who has subsequently been exempted from such liability under the law of that country.

What are the different classes of residential status prescribed under the Income-tax Law for a Hindu Undivided Family (HUF)?

For the purpose of Income-tax Law, a HUF can have any one of the following residential status:

(1) Resident and ordinarily resident in India

(2) Resident but not ordinarily resident in India

(3) Non-resident

Every year the residential status of the taxpayer is to be determined by applying the provisions of the Income-tax Law designed in this regard (discussed later) and, hence, it may so happen that in one year the HUF would be a resident and ordinarily resident and in the next year it may become non-resident or resident but not ordinarily resident and again in the next year its status may change or may remain same.

What are the different classes of residential status prescribed under the Income-tax Law for a person other than an individual or a HUF?

For the purpose of Income-tax Law, a person other than an individual or a HUF, *i.e.,* company, partnership firm, etc., can have any one of the following residential status:

(1) Resident

(2) Non-resident

Every year the residential status of the taxpayer is to be determined by applying the provisions of the Income-tax Law designed in this regard (discussed later) and, hence, it may so happen that in one year the taxpayer would be a resident and in the next year may become non-resident and again in the next year the status may change or may remain same.

How to determine the residential status of an Individual?

To determine the residential status of an individual, the first step is to ascertain whether he is resident or non-resident. If he turns to be a resident, then the next step is to ascertain whether he is resident and ordinarily resident or is a resident but not ordinarily resident.

Step 1 given below will ascertain whether the individual is resident or non-resident and step 2 will ascertain whether he is ordinarily resident or not ordinarily resident. Step 2 is to be performed only if the individual turns to be a resident.

Step 1: Determining whether resident or non-resident

Under the Income-tax Law, an individual will be treated as a resident in India for a year if he satisfies any of the following conditions (*i.e.* may satisfy any one or may satisfy both the conditions):

(1) He is in India for a period of 182 days or more in that year; or

(2) He is in India for a period of 60 days or more in the year and for a period of 365 days or more in 4 years immediately preceding the relevant year.

However, in respect of an Indian citizen and a person of Indian origin who visits India during the year, the period of 60 days as mentioned in (2) above shall be substituted with 182 days. The similar concession is provided to the Indian citizen who leaves India in any previous year as a crew member or for the purpose of employment outside India.

The Finance Act, 2020, w.e.f., Assessment Year 2021-22 has amended the above exception to provide that the period of 60 days as mentioned in (2) above shall be substituted with 120 days, if an Indian citizen or a person of Indian origin whose total income, other than income from foreign sources, exceeds Rs. 15 lakhs during the previous year. Income from foreign sources means income which accrues or arises outside India (except income derived from a business controlled in or a profession set up in India).

Note: The Finance Act, 2020 has introduced new section 6(1A) to the Income-tax Act, 1961. The new provision provides that an Indian citizen shall be deemed to be resident in India only if his total income, other than income from foreign sources, exceeds Rs. 15 lakhs during the previous

year. For this provision, income from foreign sources means income which accrues or arises outside India (except income derived from a business controlled in or a profession set up in India).

However, such individual shall be deemed to be Indian resident only when he is not liable to tax in any country or jurisdiction by reason of his domicile or residence or any other criteria of similar nature.

Thus, from Assessment Year 2021-22, an Indian Citizen earning total income in excess of Rs. 15 lakhs (other than from foreign sources) shall be deemed to be resident in India if he is not liable to pay tax in any country.

Step 2: Determining whether resident and ordinarily resident or resident but not ordinarily resident

A resident individual will be treated as resident but not ordinarily resident in India during the year if he satisfies following conditions:

(1) He is non-resident in India in 9 out of last 10 years immediately preceding the relevant year; or

(2) His stay in India is for 729 days or less during 7 years immediately preceding the relevant year.

However, w.e.f., Assessment Year 2021-22, the Finance Act, 2020 has inserted the following two more situations wherein a resident person is deemed to be 'Not Ordinarily Resident' in India:

a) An Indian Citizen or a person of Indian origin whose total income (other than income from foreign sources) exceeds Rs. 15 lakhs during the previous year and who has been in India for a period of 120 days or more but less than 182 days;

b) An Indian Citizen who is deemed to be resident in India as per new section 6(1A).

A resident individual who does not satisfy any of the aforesaid conditions or satisfies only one of the aforesaid conditions will be treated as resident but not ordinarily resident.

In short, following test will determine the residential status of an individual:

- If the individual satisfy any one or both the conditions specified at step 1 and satisfies any of the conditions specified at step 2, then he will become resident and ordinarily resident in India.
- If the individual satisfy any one or both the conditions specified at step 1 and satisfies any of the condition specified at step 2, then he will become resident but not ordinarily resident in India.
- If the individual satisfy no conditions satisfied at step one, then he will become non-resident.

Click here to calculate Residential Status

How to determine the residential status of a HUF for the purpose of the Income-tax Law?

To determine the residential status of a HUF, the first step is to ascertain whether the HUF is resident or a non-resident. If the HUF turns to be a

resident, then the next step is to ascertain whether it is resident and ordinarily resident or is resident but not ordinarily resident.

Step 1 given below will ascertain whether the HUF is resident or non-resident and step 2 will ascertain whether the HUF is ordinarily resident or not ordinarily resident. Step 2 is to be performed only if the HUF turns to be a resident.

Step 1: Determining whether resident or non-resident

For the purpose of Income-tax Law, a HUF will be treated as resident in India, if the control and management of the affairs of the HUF is located (partly or wholly) in India.

Step 2: Determining whether resident and ordinarily resident or resident but not ordinarily resident

A resident HUF will be treated as resident and ordinarily resident in India during the year if its manager (*i.e.* karta or manager) satisfies both the following conditions :

(1) He is resident in India for at least 2 years out of 10 years immediately preceding the relevant year.

(2) His stay in India is for 730 days or more during 7 years immediately preceding the relevant year.

A resident HUF whose manager (*i.e.* karta or manager) does not satisfy any of the aforesaid conditions or satisfies only one of the aforesaid conditions will be treated as resident but not ordinarily resident.

In short, following test will determine the residential status of a HUF :

- If the control and management of the affairs of the HUF is located (partly or wholly) in India and the manager (*i.e.* karta or manager) satisfies both the conditions specified at step 2, then the HUF will become resident and ordinarily resident in India.
- If the control and management of the affairs of the HUF is located (partly or wholly) in India and the manager (*i.e.* karta or manager) satisfies none or only one condition specified at step 2, then the HUF will become resident but not ordinarily resident in India.
- If the control and management of the affairs of the HUF is located wholly outside India, then the HUF will become non-resident.

How to determine the residential status of a company?

With effect from Assessment Year 2017-18, a company is said to be resident in India in any previous year, if:

(i) it is an Indian company; or

(ii) its place of effective management, at any time in that year, is in India.

For this purpose, the “place of effective management” means a place where key management and commercial decisions that are necessary for the conduct of the business of an entity as a whole are, in substance made.

The concept of POEM is effective from Assessment Year 2017-18. The CBDT has issued the final guidelines for determination of POEM of a foreign company.

The final guidelines on POEM contain some unique features. One of the unique features is test of Active Business Outside India (ABOI). The guidelines prescribe that a company shall be said to engaged in 'active business outside India' if passive income is not more than 50% of its total income. Further, there are certain additional cumulative conditions to be satisfied regarding location of total assets, employees and payroll expenses.

The place of effective management in case of a company engaged in active business outside India shall be presumed to be outside India if the majority meetings of the board of directors of the company are held outside India.

In cases of companies other than those that are engaged in active business outside India, the determination of POEM would be a two stage process, namely:—

1. First stage would be identification or ascertaining the person or persons who actually make the key management and commercial decision for conduct of the company's business as a whole.
2. Second stage would be determination of place where these decisions are in fact being made.

However, it has been provided that the POEM guidelines shall not apply to a company having turnover or gross receipts of INR 50 crores or less in a financial year vide *CIRCULAR NO.8, DATED 23-2-2017.*

(To know more about POEM guidelines, read *CIRCULAR NO.6, DATED 24-1-2017.)*

How to determine the residential status of a person other than an individual, HUF and company?

Every person other than an individual, HUF and company is said to be resident in India during the year, if the control and management of its affairs for that year is located wholly or partly in India.

Which incomes are charged to tax in India in the hands of a taxpayer?

The following chart highlights the tax incidence in case of different persons:

Nature of income		***Residential status***	
	ROR (*)	***RNOR (*)***	***NR (*)***
Income which accrues or arises in India	Taxed	Taxed	Taxed
Income which is deemed to accrue or arise in India	Taxed	Taxed	Taxed
Income which is received in India	Taxed	Taxed	Taxed

Income which is deemed to be received in India	Taxed	Taxed	Taxed
Income accruing outside India from a business controlled from India or from a profession set up in India	Taxed	Taxed	Not taxed
Income other than above (*i.e.,* income which has no relation with India)	Taxed	Not taxed	Not taxed

(*) ROR means resident and ordinarily resident.

RNOR means resident but not ordinarily resident.

NR means non-resident.

What incomes are deemed to have accrue or arise in India?

Following incomes are treated as incomes deemed to have accrued or arisen in India:

- Capital gain arising on transfer of property situated in India.
- Income from business connection in India.
- Income from salary in respect of services rendered in India.
- Salary received by an Indian national from Government of India in respect of service rendered outside India. However, allowances and perquisites are exempt in this case.
- Income from any property, asset or other source of income located in India.
- Dividend paid by an Indian company.
- Interest received from Government of India.
- Interest received from a resident is treated as income deemed to have accrued or arisen in India in all cases, except where such interest is earned in respect of funds borrowed by the resident and used by resident for carrying on business/profession outside India or is in respect of funds borrowed by the resident and is used for earning income from any source outside India.
- Interest received from a non-resident is treated as income deemed to accrue or arise in India if such interest is in respect of funds borrowed by the non-resident for carrying on any business/profession in India.
- Royalty/fees for technical services received from Government of India.
- Royalty/fees for technical services received from resident is treated as income deemed to have accrued or arisen in India in all cases, except where such royalty/fees relates to business/profession/other source of

income carried on by the payer outside India.
- Royalty/fees for technical services received from non-resident is treated as income deemed to have accrued or arisen in India if such royalty/fees is for business/profession/other source of income carried by the payer in India.

Income arising outside India, being any sum of money referred to in sub-clause (xviia) of clause (24) of section 2, paid on or after 05-07-2019 by a person resident in India to a non-resident.

When is a business connection said to be established?

Business connection includes a profession at connection. Business connection includes any activity carried out through a person acting on behalf of a non-resident who performs any one or more of the following:

- If such person has in India authority to conclude contracts on behalf of the non-resident (it will not include cases where authority is restricted to contract for purchase of goods or merchandise on behalf such non-resident); or
- If such person in India habitually maintains stock of goods or merchandise from which he regularly delivers goods or merchandise on behalf of the non-resident;
- If such person habitually secures orders in India mainly or wholly for the non-resident or for the other non-resident under the same management.

  No business connection shall be deemed to have been established, if the business is carried on through an independent broker, general commission agent or other agent (*i.e.,* a broker or commission agent who is not working mainly or wholly for such non-resident or other non-resident under same management), provided such person is working in his ordinary course of business.

Only so much of income which accrues or arises due to such business connection is deemed to be income accruing or arising from India and not the entire income of the non-resident.

What are the other provisions under the Income-tax Act which are applicable to a Non-Resident?

Refer chart and Table on ‘Non-Resident Benefit Allowable’.

What is the objective of FEMA?

The main objective of FEMA is to facilitate external trade and payments and for promoting the orderly development and maintenance of foreign exchange market in India. FEMA deals with provisions relating to procedures, formalities, dealings, etc. of foreign exchange transactions in India. The transactions relating to foreign exchange have been classified under FEMA into two main categories, viz., (1) Current Account Transaction, (2) Capital Account Transaction.

What is capital account transaction?

As defined in Section 2(e) of the FEMA 1999, "Capital Account Transaction" means transactions which alters the assets or liabilities, including contingent liabilities outside India, of persons resident in India or assets or liabilities, in

India, of persons resident outside India and includes transactions referred to in section 6(3) of the FEMA.

Note: Earlier, section 6(3) of the Foreign Exchange Management Act, 1999, contained a list of capital account transactions which the RBI could have prohibited, restricted or regulated. However, the section 6(3) got deleted with effect from October 15, 2019.

Capital account transactions are governed by Section 6 of the FEMA, 1999 read with Foreign Exchange Management (Permissible Capital Account Transactions) Regulations, 2000

What is current account transaction?

As defined in Section 2(j) of the FEMA, "current account transaction" means a transaction other than a capital account transaction and without prejudice to the generality of the foregoing such transaction includes :–

(i) payments due in connection with foreign trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business,

(ii) payments due as interest on loans and as net income from investments,

(iii) remittances for living expenses of parents, spouse and children residing abroad, and

(iv) expenses in connection with foreign travel, education and medical care of parents, spouse and children

Current account transactions are governed by section 5 of the Foreign Exchange Management Act, 1999 read with Foreign Exchange Management (Current Account Transaction) Rules, 2000

What are the major provisions covered in FEMA, 1999?

The major provisions of FEMA, 1999 relate to following matters :

- Dealing in foreign exchange, etc.
- Holding of foreign exchange, etc.
- Current account transactions
- Capital account transactions
- Accquistion and transfer of Immovable property in India
- Accquistion and transfer of Immovable property outside India
- Export of goods and services
- Realization and repatriation of foreign exchange
- Exemption from realization and repatriation in certain cases.
- Provisions relating to authorised persons. *i.e.* authorised by RBI to deal with foreign exchange or in foreign securities
- Power of RBI to inspect authorized person

- Contravention and penalties
- Adjudication and appeal
- Directorate of enforcement
- Miscellaneous provisions

For more details on FEMA refer to the FAQ section at www.rbi.org.in

What is the applicable TDS rate when a non-resident sells immovable property in India?

When a non-resident sells immovable property in India, the buyer is required to deduct tax at source (TDS) under Section 195 of the Income Tax Act. The applicable TDS rates are as follows:

a. *In case of long-term capital gains:*

If the property is held by the non-resident for more than 24 months, the gain on sale of such property would be treated as long-term capital gains. The tax shall be deducted from the gains at the following rate under Section 195 of the Income-tax Act:

- 20% if the transfer took place before 23-07-2024;
- 12.5% if the transfer took place on or after 23-07-2024.

b. *In case of short-term capital gains:*

If the property is held by the non-resident for 24 months or less, the gain on the sale of such property would be treated as short-term capital gains. The tax shall be deducted from such gains at the following rate under Section 195:

- 30% if the non-resident is an individual/firm;
- 35% if the non-resident is a foreign company.

Notes:

1. TDS rate shall be further increased by applicable surcharge and Health and Education cess.
2. For non-residents, the final TDS rate is determined by analyzing the provisions of the DTAA. In most DTAAs India has signed, the country where the property is located has the right to tax the income according to domestic laws. Therefore, the TDS rate on the sale of immovable property by the non-resident shall be the TDS rate specified under the Income-tax Act.

FAQs for Senior Citizens

What are the benefits available to a senior citizen and very senior citizen in respect of tax rates?

Senior citizens and a very senior citizen are granted a higher exemption limit as compared to normal tax payers. Exemption limit is the quantum of income up to which a person is not liable to pay tax. The exemption limit granted to senior citizen and very senior citizen for the financial year 2025-26 is as follows :

Senior citizen	*Very senior citizen*
A senior citizen is granted a higher exemption limit compared to non-senior citizens. The exemption limit for the financial year 2025-26 available to a resident senior citizen is Rs. 3,00,000. The exemption limit for non-senior citizen is Rs. 2,50,000. Thus, it can be observed that an additional benefit of Rs. 50,000 in the form of higher exemption limit is available to a resident senior citizen as compared to normal tax payers.	A very senior citizen is granted a higher exemption limit compared to others. The exemption limit for the financial year 2025-26 available to a resident very senior citizen is Rs. 5,00,000. The exemption limit for non-senior citizen is Rs. 2,50,000. Thus, it can be observed that an additional benefit of Rs. 2,50,000 in the form of higher exemption limit is available to a resident very senior citizen as compared to normal tax payers.

At what age a person will qualify as a senior citizen and very senior citizen under the Income-tax Law?

Before understanding the age criteria, it is very important to know that the tax benefits offered under the Income-tax Law to a senior citizen/very senior citizen are available only to resident senior citizen and resident very senior citizens. In other words, these benefits are not available to a non-resident even though he may be of higher age. The age and other criteria to qualify as a senior citizen and very senior citizen under the Income-tax Law are as follows :

Criteria for senior citizen	*Criteria for very senior citizen*
Must be of the age of 60 years or above but less than 80 year at any time during the respective year.	Must be of the age of 80 years or above at any time during the respective year.
Must be resident	Must be resident

Is there any special benefit available under the Income-tax law to senior citizens?

Yes, the Income-tax Law very well takes care of the senior citizens of the nation by offering them several tax benefits. In this part you can gain knowledge of various benefits offered by the Income-tax Law to senior citizens.

Is a very senior citizen granted exemption from e-filing of income tax return?

A very senior citizen filing his return of income in Form ITR 1/4 can file his return of income in paper mode, i.e., for him e filing of ITR 1/4 (as the case may be) is not mandatory. However, he may go for e-filing if he wishes.

Is a Resident senior citizen granted exemption from payment of advance tax?

As per section 208, every person whose estimated tax liability for the year is Rs. 10,000 or more, shall pay his tax in advance, in the form of "advance tax". However, section 207 gives relief from payment of advance tax to a resident senior citizen. As per section 207 a resident senior citizen (i.e., an

individual of the age of 60 years or above during the relevant financial year) not having any income from business or profession, is not liable to pay advance tax.

What are the benefits available in respect of interest on deposits in case of senior citizens?

Section 80TTB of the Income Tax law gives provisions relating to tax benefits available on account of interest income from deposits with banks or post office or co-operative banks of an amount upto Rs. 50,000 earned by the senior citizen (i.e., an individual of the age of 60 years or above). Interest earned on saving deposits and fixed deposit, both shall be eligible for deduction under this provision.

Section 194A of the Income Tax law gives corresponding provisions that no tax shall be deducted at source from payment of interest by bank or post-office or co-operative bank to a senior citizen up to Rs. 1,00,000. Therefor limit is to be computed for every bank individually.

What are the benefits available in respect of expenditure incurred on account of medical treatment of specified diseases on treatment of a senior citizen?

section 80DDB of the Income-tax Law gives various provisions relating to tax benefits available on account of expenditure on medical treatment of specified diseases. Click the following link to know about details of section 80DDB which covers the details of special benefits under section 80DDB available to a senior citizen. Check page 8 topic **"Deduction in respect of expenditure on medical treatment of specified diseases [section 80DDB]"**

https://www.incometaxindia.gov.in/tutorials/20.%20tax%20benefits%20due%20to%20health%20insurance.pdf

What are the benefits available in respect of expenditure incurred on account of medical insurance premium/ medical expenditure to a senior citizen and on account of?

Section 80D of the Income-tax Law gives various provisions relating to tax benefits available on account of payment of medical insurance premium and other related items. Click the following link to know about details of section 80D which covers the details of special benefits under section 80D available to a senior citizen. Check page 5 topic **"Deduction in respect of medical insurance premium [Section 80D]"**

Is a senior citizen exempts from filing Income-tax return (ITR)?

Income-tax Act, 1961 provides no exemption to senior citizen or very senior citizen from filing of return of income. However, to provide relief to the senior citizens (whose age is 75 years or more) and to reduce the compliance burden on them, the Finance Act, 2021, has inserted a new section 194P.

This provision requires a banking company to deduct tax under this provision if deductee is maintaining an account with it in which he is receiving his pension income. The tax is required to be deducted under this

new provision if the recipient is a resident individual whose age is 75 years or more at any time during the year and the following conditions are fulfilled:

a) Total Income of the deductee consists only income in the nature of pension and interest received or receivable from any account maintained with deductor (such bank); and

b) Deductee has furnished a declaration to deductor containing prescribed particulars.

If the above conditions are satisfied, the deductor shall compute the income of deductee after giving effect to the deduction allowable under Chapter VI-A and rebate under section 87A. Tax on such income is required to be deducted on the basis of rates in force.

If tax is deducted from the income of such senior-citizen, he shall not be liable to furnish the return of income for the previous year in which tax has been deducted.

FAQs on Tax audit

What is tax audit?

The dictionary meaning of the term "audit" is check, review, inspection, etc. There are various types of audits prescribed under different laws like company law requires a company audit, cost accounting law requires a cost audit, etc. The Income-tax Law requires the taxpayer to get the audit of the accounts of his business/profession from the view point of Income-tax Law.

Section 44AB gives the provisions relating to the class of taxpayers who are required to get their accounts audited from a chartered accountant. The audit under section 44AB aims to ascertain the compliance of various provisions of the Income-tax Law and the fulfillment of other requirements of the Income-tax Law. The audit conducted by the chartered accountant of the accounts of the taxpayer in pursuance of the requirement of section 44AB is called tax audit.

The chartered accountant conducting the tax audit is required to give his findings, observation, etc., in the form of audit report. The report of tax audit is to be given by the chartered accountant in Form Nos. 3CA/3CB and 3CD.

What is the objective of tax audit?

One of the objectives of tax audit is to ascertain/derive/report the requirements of Form Nos. 3CA/3CB and 3CD. Apart from reporting requirements of Form Nos. 3CA/3CB and 3CD, a proper audit for tax purposes would ensure that the books of account and other records are properly maintained, that they truly reflect the income of the taxpayer and claims for deduction are correctly made by him. Such audit would also help in checking fraudulent practices. It can also facilitate the administration of tax laws by a proper presentation of accounts before the tax authorities and considerably save the time of Assessing Officers in carrying out routine verifications, like checking correctness of totals and verifying whether purchases and sales are properly vouched for or not. The time of the Assessing Officers saved could be utilised for attending to more important and investigational aspects of a case.

As per section 44AB, who is compulsorily required to get his accounts audited, i.e., who is covered by tax audit?

As per section 44AB, following persons are compulsorily required to get their accounts audited :

• A person carrying on business, if his total sales, turnover or gross receipts (as the case may be) in business for the year exceed or exceeds Rs. 1 crore. This provision is not applicable to the person, who opts for presumptive taxation scheme under section 44AD and his total sales or turnover doesn't exceed Rs. 2 crores.

Note: The threshold limit, for a person carrying on business, is increased from Rs. 1 Crore to Rs. 10 crores in case when cash receipt and payment made during the year do not exceed 5% of total receipt or payment, as the case may be. In other words, more than 95% of business transactions should be done through banking channels.

• A person carrying on profession, if his gross receipts in profession for the year exceed Rs. 50 lakhs.
• An assessee who declare profit for any previous year in accordance with section 44AD and he decreases profit for any of one 5 assessment year relevant to the previous year succeeding such previous year lower than the profit computed as per section 44AD and his income exceeds the amount which is not chargeable to tax.
• If an eligible assessee opts out of the presumptive taxation scheme, within the aforesaid period, he cannot choose to revert back to the presumptive taxation scheme for a period of five assessment years thereafter.
(*) For provisions of section 44AD refer tutorial on “Tax on presumptive basis in case of certain eligible business”.
• A person who is eligible to opt for the presumptive taxation scheme of section 44ADA (*) but he claims the profits or gains for such profession to be lower than the profit and gains computed as per the presumptive taxation scheme and his income exceeds the amount which is not chargeable to tax.

• This provision does not apply to the person, who opts for presumptive taxation scheme under section 44AD/ section 44ADA

(*) For provision of section 44ADA, refer tutorial on “Tax on presumptive basis in case of certain eligible business”

• A person who is eligible to opt for the presumptive taxation scheme of sections 44AE (*) but he claims the profits or gains for such business to be lower than the profits and gains computed as per the presumptive taxation scheme of sections 44AE.
(*) For provisions of sections 44AE refer tutorial on “Tax on presumptive basis in case of certain eligible business”.
• A person who is eligible to opt for the taxation scheme prescribed under section 44BB (*) or section 44BBB (*) but he claims the profits or gains for such business to be lower than the profits and gains computed as per the taxation scheme of these sections.
(*) section 44BB is applicable to non-resident taxpayers engaged in the business of providing services or facilities in connection with, or supplying plant and machinery on hire basis to be used in exploration of mineral oils. section 44BBB is applicable to foreign companies engaged in the business of civil construction or erection of plant or machinery or testing or commissioning thereof, in connection with a turnkey power project.

If a person is required by or under any other law to get his accounts audited, then is it compulsory for him to once again get his accounts audited to comply with the requirement of section 44AB?

Persons like company or co-operative society are required to get their accounts audited under their respective law. Section 44AB provides that, if a person is required by or under any other law to get his accounts audited, then he need not again get his accounts audited to comply with the requirement of section 44AB. Is such a case, it shall be sufficient if such person gets the accounts of such business or profession audited under such law and obtains the report of the audit as required under such other law and also a report by the chartered accountant in the form prescribed under section 44AB, i.e., Form No. 3CA and Form 3CD (refer to next FAQ for relevance of these forms).

What are Form Nos. 3CA/3CB and 3CD?

The report of the tax audit conducted by the chartered accountant is to be furnished in the prescribed form. The form prescribed for audit report in respect of audit conducted under section 44AB is Form No. 3CB and the prescribed particulars are to be reported in Form No. 3CD.

In case of persons covered under previous FAQ, *i.e.,* who are required to get their accounts audited by or under any other law, the form prescribed for audit report is Form No. 3CA and the prescribed particulars are to be reported in Form No. 3CD.

What is the due date by which a taxpayer should get his accounts audited?

A person covered by section 44AB should get his accounts audited and should obtain the audit report on or before 30th September of the relevant assessment year, e.g., Tax audit report for the financial year 2025-26 corresponding to the assessment year 2026-27 should be obtained on or before 30th September, 2026.
The tax audit report is to be electronically filed by the chartered accountant to the Income-tax Department. After filing of report by the chartered accountant, the taxpayer has to approve the report from his e-fling account with Income-tax Department (i.e., at https://www.incometax.gov.in/iec/foportal).

What is the penalty for not getting the accounts audited as required by section 44AB?

According to section 271B, if any person who is required to comply with section 44AB fails to get his accounts audited in respect of any year or years as required under section 44AB or furnish such report as required under section 44AB, the Assessing Officer may impose a penalty. The penalty shall be lower of the following amounts:
(a) 0.5% of the total sales, turnover or gross receipts, as the case may be, in business, or of the gross receipts in profession, in such year or years.
(b) Rs. 1,50,000.
However, according to section 271B, no penalty shall be imposed if reasonable cause for such failure is proved.

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[As amended by Finance Act, 2025]

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